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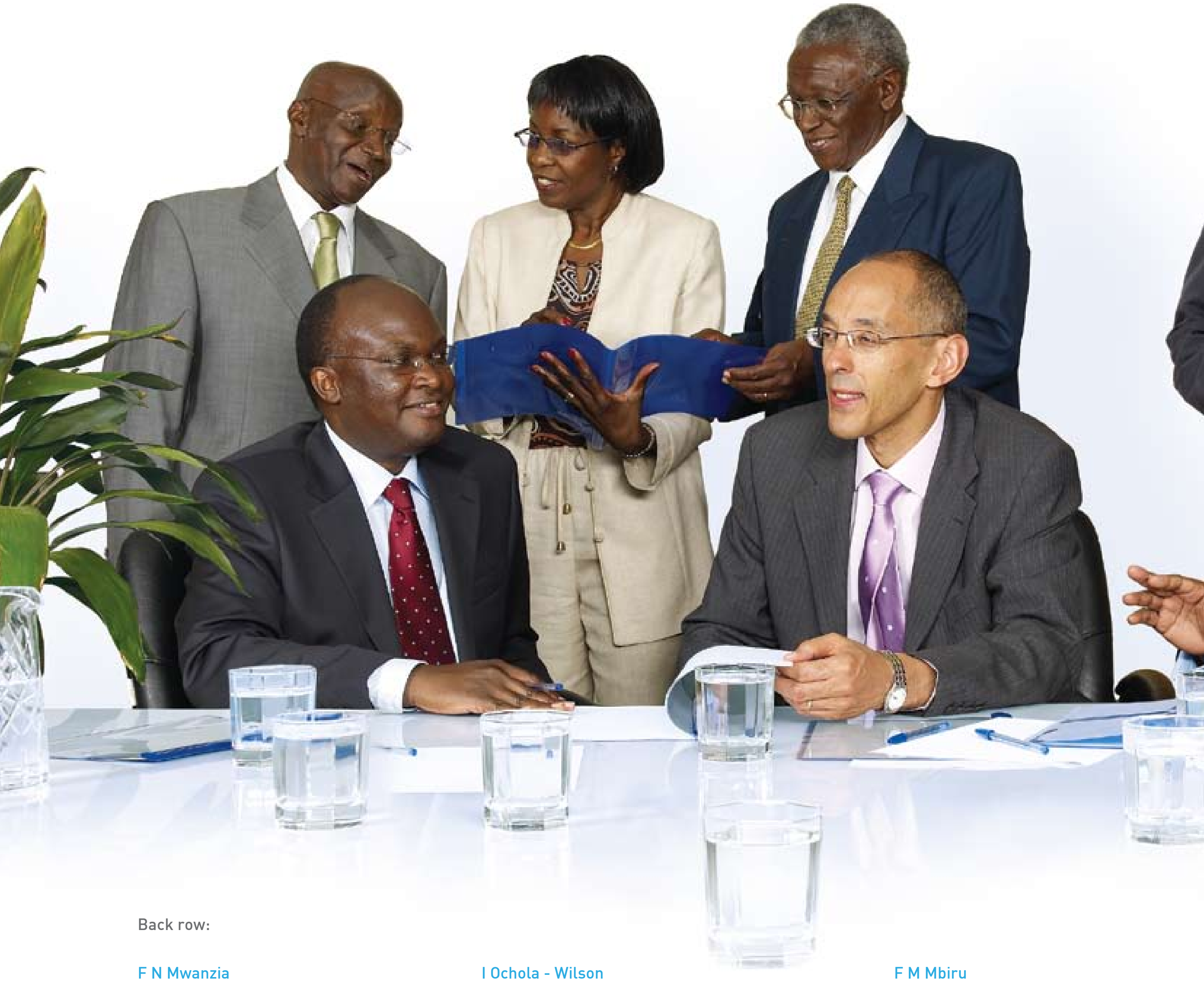
WAKURUGENZI



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Non - Executive Director

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Chairman

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L Murage
Company Secretary

A J Dodd
Executive Director

MEMBERS OF THE BOARD

WAKURUGENZI

J P M NDEGWA (CHAIRMAN)

Mr. Ndegwa, aged 45, holds an MA degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK and the Insurance Institute of Kenya. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the NIC Board on 19 November 2003.

J W MACHARIA (MANAGING DIRECTOR)

Mr. Macharia, aged 50, has a B. Com (Hons) degree from University of Nairobi and an MBA from Henley Management College, UK. He is a Chartered Accountant (Institute of Chartered Accountants in England and Wales), as well as a Certified Public Accountant (Institute of Certified Public Accountants of Kenya). He has been Managing Director of various Companies within the African Banking Corporation (ABC) Group, in both Zambia and Tanzania. He joined NIC Bank in May 2005 as Managing Director, and was appointed to the NIC Board on 1 May 2005.

A J DODD (EXECUTIVE DIRECTOR)

Mr. Dodd, aged 54, has a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, Middle East and the Far East. He joined NIC Bank in January 2006 as Director, Corporate Business, and was appointed to the NIC Board on 22 February 2006.

F M MBIRU (NON-EXECUTIVE DIRECTOR)

Mr. Mbiru, aged 71, has a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a management consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the NIC Board on 16 February 1993.

I OCHOLA-WILSON (NON-EXECUTIVE DIRECTOR)

Mrs. Ochola-Wilson, aged 60, has a BA degree from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She is currently a Business consultant having retired as a project Manager for DFID's Business Partnership Programme in 2005. She joined the NIC Board on 5 November 1999.

G A MAINA (NON-EXECUTIVE DIRECTOR)

Mr. Maina, aged 57, has a B.Tech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a business consultant and a Director of several companies. He has extensive experience in the Oil industry in Africa, Caribbean and Central America including being Managing Director of Kenya Shell and BP Kenya limited from 1998 to 2002. He joined the NIC Board on 1 June 2002.

M L SOMEN (NON-EXECUTIVE DIRECTOR)

Mr. Somen, aged 72, is a Barrister-at-Law, Grays Inn, England and holds an MA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya, and a consultant with Hamilton Harrison and Mathews having retired from the firm as a Senior partner in 2002. He joined the NIC Board on 21 February 2001.

A S M NDEGWA (NON-EXECUTIVE DIRECTOR)

Mr. Ndegwa, aged 41, holds a MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC board on 23 April 1997.

F N MWANZIA (NON-EXECUTIVE DIRECTOR)

Mr. Mwanzia, aged 64, has a B. Com (Hons) degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller and Company Secretary of NAS Airport Services in 1999. He joined the NIC Board on 3 August 1995.

L MURAGE (COMPANY SECRETARY)

Mr. Murage, aged 51, has a B. Com (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for Pricewaterhouse and Mobil Oil, before joining the banking sector in 1986. He is Director, Finance and Administration and was appointed Company Secretary on 2 September 1999.

CORPORATE INFORMATION

MAELEZO YA SHIRIKA

DIRECTORS

J P M Ndegwa	-	Chairman
F M Mbiru	-	Vice Chairman
J W Macharia	-	Managing Director
A J Dodd*		
G A Maina		
F N Mwanzia		
A S M Ndegwa		
I Ochola-Wilson		
M L Somen		

*British

CREDIT AND RISK COMMITTEE

F M Mbiru	-	Chairman
F N Mwanzia		
A S M Ndegwa		
M L Somen		

EXECUTIVE COMMITTEE

A S M Ndegwa	-	Chairman
G A Maina		
M L Somen		

COMPANY SECRETARY

L Murage
NIC House, Masaba Road
P O Box 44599
Nairobi-GPO 00100

AUDIT AND COMPLIANCE COMMITTEE

F N Mwanzia	-	Chairman
F M Mbiru		
A S M Ndegwa		

NOMINATIONS COMMITTEE

G A Maina	-	Chairman
J P M Ndegwa		
M L Somen		

HUMAN RESOURCES AND COMPENSATION COMMITTEE

I Ochola-Wilson	–	Chairman
F M Mbiru		
A S M Ndegwa		

REGISTERED OFFICE

NIC House
Masaba Road
P O Box 44599
Nairobi-GPO 00100

AUDITORS

Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
Nairobi-GPO 00100

REGISTRARS AND TRANSFER OFFICE

Custody & Registrars Services Limited
6th Floor, Bruce House , Standard Street
P O Box 8484
Nairobi-GPO 00100

CHAIRMAN'S REPORT

I am pleased to present the NIC Bank Group Annual Report and Financial Statements for the year ended 31st December 2008.

REVIEW OF THE MACRO ECONOMIC ENVIRONMENT

The Kenyan economy has been on a path of gradual recovery since the political upheavals experienced in the first quarter of last year which adversely impacted the economic gains achieved in the preceding years. Following a 1% decline during the first quarter of 2008, economic growth has been on an upward trend with Gross Domestic Product estimated to have increased by about 3% for the whole year 2008. This is however significantly lower than the 7% which was achieved in 2007.

Overall inflation accelerated during 2008 reaching a high of 31.5% in May before easing to 27.7% in December, but being still significantly higher than the 12% recorded in December 2007. The increase in inflation has been driven mainly by high food prices as well as fuel and other energy costs. International crude oil prices which peaked at US$ 140 per barrel have since fallen to about US$ 40, thus easing the pressure on fuel costs. The Government also moved to alleviate inflationary pressure by reducing taxation on electricity consumption. Food prices have however remained high due to poor harvests as a result of inadequate rainfall.

In the foreign exchange market, the Kenya Shilling experienced considerable volatility during the year, moving from a high of Shs 61.50 to the US Dollar to a low of Shs 80.25, with the average annual exchange rate being Shs 69.09 to the Dollar. The depreciation of the Kenya Shilling can be attributed to various factors, including significant outflows relating to sell-offs by foreign investors at the Nairobi Stock Exchange and a reduction in traditional sources of foreign currency such as tourism earnings and remittances from Kenyans living abroad. These adverse trends were compounded by the meltdown in the international markets.

Generally interest rates remained fairly stable during the year with the 91 day Treasury Bill rate averaging 7.7%. Bank deposit rates however spiked during the period of the Safaricom Initial Public Offering. Rates began to creep up towards the end of the year but the Central Bank of Kenya responded by reducing the cash ratio requirement for banks from 6% to 5% and lowering the Central Bank Rate from 9% to 8.5%, both with effect from December 2008. This provided a welcome boost of liquidity in the banking system and the economy in general.

In the Capital Markets, trading at the Nairobi Stock Exchange saw equity turnover increase from Shs 89 billion in 2007 to Shs 99 billion last year. The NSE share index however declined from 5,444 in December 2007 to 3,611 in December 2008. The fall in share prices, initially seen as a "correction", accelerated as international investors liquidated their holdings and repatriated the proceeds abroad due to circumstances forced upon them by the global financial crisis.

The banking sector remained relatively stable and continued to record growth in 2008 in terms of both balance sheet size and profitability. Overall, and relative to 2007, profitability increased by 18%, total assets by 24% and deposits by 23%.

FINANCIAL RESULTS

In 2008 the NIC Bank Group achieved a record profit before tax of Shs 1.48 billion, representing an improvement of 41% over 2007.

This increase in profitability was partly as a result of the expansion of the Bank's loan book, which grew by 39% to close the year at Shs 30.5 billion. The Bank is gaining market share and utilizing the enhanced capacity made possible by its increased capital base following the successful rights issue in 2007. To fund this growth in the loan book, the Bank's deposit base increased in 2008 by 42% over 2007 to Shs 35.2 billion.

Both interest and non funded sources of income grew impressively over the year with total income standing at Shs 3.75 billion an increase of 33% over 2007. Despite the expansion of the Bank's outlets and establishment including human resources, expenses excluding impairment losses on loans and advances were well contained in a year of high general inflation growing by 21% over prior year.

As at 31st December 2008 the Group's balance sheet had strengthened even further with shareholders' funds standing at Shs 5.5 billion compared to Shs 4.7 billion as at the close of 2007.

DIVIDEND

An interim dividend of Shs 0.25 per share (Shs 74m) was declared and paid in October 2008.

The directors now recommend a final dividend for the year 2008 of a similar amount of Shs 0.25 per share bringing the total dividend for the year to Shs 148 million. In addition the directors also recommend a bonus issue of one (1) ordinary share for every ten (10) ordinary shares held.

In considering its recommendations, the Board has taken into account and sought to balance the need to both reward shareholders after a successful year and to provide adequately for the Group's expansion plans and capital requirements. For the year ended 31st December 2008 the total dividend payout together with the bonus issue effectively represents 29% of the profit after tax.

BANK BRANDING, SERVICE OUTLETS AND PRODUCTS

The Group recognizes that innovation in product development, systems and service delivery are key differentiating factors in a competitive banking environment.

In this regard, the Bank has recently refreshed its corporate image. The re–branding incorporated changes to the logo and the accompanying tagline, which is now "One Life, One Bank". The modern logo and new tagline communicate to both existing and potential customers that we are a progressive financial services Group and have developed into a "one stop shop" with a comprehensive range of offerings capable of addressing all their various requirements.

In fulfillment of this promise, the Bank is rolling out new products and expanding its service delivery network. New branches have already been opened in Kisumu and Thika. During 2009 and in subsequent years the Bank will continue to establish its presence in new strategic and commercially important locations.

The Personal Banking Division was restructured during the year, resulting in a broad diversification of products and services branded Move Red, Gold and Platinum.

A new, integrated internet and mobile banking solution has been launched and now our customers can execute their banking transactions wherever they are via their computers or mobile phones.

SUBSIDIARIES AND DIVERSIFICATION

During 2008 we achieved considerable success in the pursuit of our dual strategic initiatives to grow regionally and to develop the capability to offer a full range of financial services.

We have entered into an agreement to acquire a 51% stake in one of Tanzania's mid-sized commercial banks, Sav ings & Finance Commercial Bank Limited (S&F),which marks NIC Bank's first cross-border acquisition. We believe that the Tanzanian market offers good growth potential, and our presence there will also enable us to better serve customers who are themselves operating on a regional basis. The opportunity to invest in S&F provides us with a viable means of entry to that market; it has reported steady growth and profitability and its shareholders and directors have valuable experience in the Tanzanian financial sector as well as the wider business community.

The Bank increased its shareholding in NIC Capital Securities Limited (formerly Solid Investment Securities) to 88% by way of injection of fresh capital as well as the buying out some of the other shareholders. Following the re-capitalisation, restructuring of its operational processes and human resources, and adoption of NIC Bank's best practices and corporate governance standards, the brokerage business is now a key and credible player in the market.

In tandem with this, NIC Capital Limited, which is the investment banking arm of our Group has also been revamped. With the appointment of a new chief executive to spearhead the development of this business, the company is now well positioned to participate effectively in the wider capital markets, including the provision of corporate finance and advisory services.

NIC Insurance Agents Limited was activated during 2008 to offer bancassurance services to our customers. The agency has established formal partnerships with two leading insurance companies and is thereby in a position to offer a comprehensive range of insurance products. This new line of business is expected to further contribute to the growth of the Group's non-funded income.

HUMAN RESOURCES

The Group remains committed to ensuring that employees are well selected, trained, retained and suitably motivated to contribute towards the growth of the business. One of our key objectives is to ensure that we continue to be an employer of choice in a highly competitive labour market.

NIC's total staff complement as 31st December 2008 was 375 persons, an increase from the 290 staff in December 2007. This growth was on account of several developments including the acquisition of the NIC Capital Securities brokerage business, the opening of new branches in Mombasa, Kisumu and Thika and the recruitment of a high caliber sales team as part of the roll out of the new strategy for the Personal Banking Division.

CHAIRMAN'S REPORT

As we endeavour to further diversify our business both geographically and by way of product and service offerings, we shall continue to raise the skills of our human capital in order to ensure that high standards of customer service that the NIC brand represents is upheld at all times.

RECOGNITION

The Bank was declared the overall winner of Financial Reporting (FiRe) Awards in the Banking category. The FiRe Awards is sponsored by the Capital Markets Authority, the Nairobi Stock Exchange and the Institute of Certified Public Accountants of Kenya. The Bank was also declared 1st and 2nd runner up in the listed companies and corporate governance categories respectively.

I am also pleased to report that the Bank received special commendation from the Commissioner General of the Kenya Revenue Authority for "its exemplary support in the development and administration of tax reforms in 2007."

During the year, our strong rating by Fitch was renewed. Fitch is a leading international rating agency and NIC Bank remains one of only three local banks to receive a rating from them.

SOCIAL RESPONSIBILITY

As the NIC Bank Group expands and grows, so does its responsibilities to our stakeholders. We fully recognize the scale and scope of these responsibilities both within and beyond our business and consistently aspire and adhere to the highest standards of conduct in all our business relationships.

As a corporate citizen we also recognize that we have responsibilities and obligations to the society and community in which we operate and do our business. We strongly believe that those who embrace Corporate Social Responsibility are better placed to achieve sustainable success and value creation in the long term.

In 2008, the Group supported initiatives mainly in the environment and educational sectors, and also made contributions to assist those among our society who were displaced as a result of the post-election violence that occurred at the start of the year.

OUTLOOK

2009 is expected to be an extremely challenging year given the uncertain economic environment. As noted earlier Kenya's economy has yet to recover from the effects of the events that followed the 2007 elections. To compound this the external shocks emanating from the international financial crisis are already being felt, with negative impact on the trade surplus, tourism, commodity prices and Diaspora remittances.

Globally we are now living in unprecedented times and are seeing some leading institutions, hitherto thought of as virtually impregnable, either collapsing outright or requiring state bailouts to survive. For us in Kenya, while the full magnitude and extent of these shocks are yet to be conclusively determined, the directors believe that the NIC Bank Group, with our highly experienced management team, strong diversified portfolio, mature corporate governance, strong capitalization and prudent risk management polices, is well placed to weather the direct and indirect impact of the market turmoil.

Clearly, a higher degree of conservatism in our approach to business will be required, but we also recognize that in these circumstances certain new opportunities will also be presented and consideration of these will be judiciously evaluated.

APPRECIATION

As I conclude, I would like to recognize all our various stakeholders for their valuable support that has seen NIC Bank achieve great success during the year 2008:

- Our esteemed customers for their continued and strengthening patronage of our businesses, despite the wide choice available in the market. We are committed to continue not only to meet but also to exceed their expectations.
- Our regulators, the Central Bank of Kenya and the Capital Markets Authority, for the guidance and co-operation extended to us during the year. We especially appreciate the assistance and support in reviewing and approving the acquisition of a stake in Savings & Finance Commercial Bank Limited.
- Our employees, the collective skill, knowledge and commitment of the management and the entire staff underpin a strong culture of service delivery to our customers. These attributes truly drive our performance and I thank them for their contribution to the very impressive results achieved in 2008, and assure them of the Board's continued support.
- Our shareholders, whose strong support and commitment in providing capital and considering the recommendations of the Board over the years is much appreciated. We assure you of our cardinal commitment of protecting and enhancing shareholders value.
- Finally, but not least, my fellow directors. The Bank is most fortunate to have a very strong board with a wealth of experience drawn from various professional and business backgrounds. I remain most grateful to the directors for their diligence and commitment in executing their responsibilities as members of the Board and its various committees.

Thank you all.

J P M Ndegwa
Chairman
18 February, 2009

TAARIFA YA MWENYEKITI

Ninafuraha kuwasilisha Ripoti ya Mwaka ya Kampuni ya Benki ya NIC na Taarifa za Kifedha kwa mwaka uliomalizikia Desemba 31, 2008.

TATHMINI YA MAZINGIRA YA UCHUMI MKUU

Uchumi wa Kenya umekuwa ukiinuka taratibu tangu misukosuko ya kisiasa iliyoshuhudiwa katika robo ya kwanza ya mwaka jana ambayo iliathiri pakubwa mafanikio ya uchumi uliokuwepo katika miaka iliyotangulia. Kufuatia kupungua kwa asilimia 1 wakati wa robo ya kwanza ya 2008, ukuaji wa uchumi umekuwa ukipanda huku Zao Ghafi la Ndani (ZGN) likikisiwa kuongezeka kwa takribani asilimia 3 mwaka wote wa 2008. Hata hivyo kiwango hiki ni cha chini zaidi kushinda kile cha asilimia 7 kilichopatikana 2007.

Mfumuko wa bidhaa uliongezeka kwa jumla kwenye mwaka wa 2008 na kufikia asilimia 31.5 katika mwezi wa Mei kabla ya kupungua hadi asilimia 27.7 kufikia Desemba, huku kiwango kikibakia kuwa juu kushinda asilimia 12 iliyorekodiwa Desemba 2007. Kuongezeka kwa mfumuko wa bidhaa kumechangiwa pakubwa na bei za juu za chakula pamoja na mafuta na gharama nyingine za kawi. Bei za kimataifa za mafuta ghafi ambazo ziliongezeka hadi dola140 kwa pipa zimeshuka hadi karibu dola 40 , na kwa hivyo kupunguza shinikizo la gharama za mafuta. Hali kadhalika, Serikali imechukua hatua za kupunguza shinikizo hilo kwa kupunguza ushuru wa matumizi ya umeme. Bei za vyakula hata hivyo zimeendelea kuwa juu kwa sababu ya mazao machache yaliyosababishwa na ukosefu wa mvua ya kutosha.

Katika soko la ubadilishanaji pesa za kigeni, shilingi ya Kenya ilishuhudia mabadiliko makubwa kwenye mwaka huo, kwani ilitoka Sh 61.50 kwa dola moja ya Marekani hadi Sh 80.25, kiwango cha wastani cha ubadilishanaji kwa mwaka kikiwa cha Sh 69.09 kwa dola. Kuanguka kwa thamani ya shilingi ya Kenya kunaweza kuhusishwa na masuala kadha wa kadha, ambayo ni pamoja na kupungua kwa mauzo ya hisa za wawekezaki wa kigeni katika soko la Hisa la Nairobi (Nairobi Stock Exchange) na kupungua kwa mbinu za kawaida za kupata pesa za kigeni kama mapato ya utalii na pesa kutoka kwa Wakenya wanaoishi ng'ambo. Mwelekeo huu ulichangiwa zaidi na matatizo katika masoko ya kimataifa.

Kwa jumla, viwango vya riba vilibakia dhabiti katika mwaka huo huku hawala za kifedha za siku 91 zikiwa na kiwango cha wastani cha asilimia 7.7. Kiasi cha pesa zilizowekwa benki hata hivyo kilipungua wakati wa kuuzwa kwa hisa za Safaricom. Viwango vilianza kuongezeka karibu mwisho wa mwaka lakini Benki Kuu ya Kenya ilichukua hatua kwa kupunguza kiasi cha pesa ambacho benki zilizohitajika kwa benki kutoka asilimia 6 hadi 5 na kupunguza kiwango cha Benki Kuu ya Kenya kutoka asilimia 9 hadi 8.5, zote zikianza Desemba 2008. Hatua hii ilisaidia uwezo wa kupata pesa katika mfumo wa benki na uchumi kwa jumla.

Katika Soko za Hisa, biashara katika Soko la Hisa la Nairobi zilishuhudia mapato ya hisa zisizo na riba ya kudumu yakiongezeka kutoka Shilingi bilioni 89 mnamo 2007 hadi Shilingi bilioni 99 mwaka jana. Viwango vya hisa katika Soko la Hisa la Nairobi (NSE) hata hivyo, vilipungua kutoka 5,444 mnamo Desemba 2007 hadi 3,611 kufikia Desemba 2008. Kupungua kwa bei za hisa , ambazo mwanzoni zilionekana kama "masahihisho" ziliongezeka huku wawekezaji wa kimataifa walipobadilisha hisa zao kwa pesa taslimu na kusafirisha ng'ambo mapato yao kwa sababu ya hali ambazo wameshinikiziwa na kudorora kwa uchumi ulimwenguni.

Sekta ya benki imeendelea kuwa dhabiti na kuendelea kurekodi ukuaji mnamo 2008 kuhusiana na kiwango cha maelezo kamili ya mahesabu na faida. Kwa jumla, ukilinganisha na 2007, faida iliongezeka kwa asilimia 18 , kisha amali ya jumla ikaongezeka kwa asilimia 24 na pesa zilizowekwa benki zikaongezeka kwa asilimia 23.

MATOKEO YA KIFEDHA

Katika mwaka wa 2008, Kampuni ya Benki ya NIC ilirekodi faida ya Shilingi bilioni 1.48 kabla ya kutozwa ushuru na kuimarika kwa asilimia 41 ikilinganishwa na mwaka wa 2007.

Nyongeza hii ya faida ilichangiwa pakubwa kwa sehemu moja na upanuzi wa kitabu cha mikopo ya benki ambayo ilikua kwenye kiwango cha asilimia 39 na kufunga mwaka kwa shilingi bilioni 30.5. Benki inapata sehemu ya soko na kutumia uwezo wake ambao umewezeshwa na mtaji wake kufuatia kufaulu kwa kuuzwa kwa hisa zake za haki za umiliki mnamo 2007. Ili kufadhili ukuaji huu wa kitabu cha mikopo, kiwango cha pesa zilizowekwa kwenye benki hii kiliongezeka katika mwaka wa 2008 kwa asilimia 42 na zaidi ya mwaka wa 2007 ambapo ilikuwa shilingi bilioni 35.2.

Riba pamoja na mbinu nyinginezo za mapato ambazo hazikufadhiliwa zilikuwa kwa kiasi cha kuvutia mwaka huo huku jumla ya mapato yakifikia shilingi bilioni 3.75 ambayo ni nyongeza ya asilimia 33 zaidi ya kiwango cha mwaka wa 2007. Licha ya upanuzi wa matawi ya benki na majengo ambayo ni pamoja na kitengo cha usimamizi wa wafanyikazi, gharama zisizohusisha hasara ya mikopo na karadha au pesa zilizotolewa mapema zilisimamiwa vyema kwa mwaka ambao ulikuwa na mfumuko mkubwa uliokuwa wa asilimia 21 katika mwaka uliotangulia.

Kufikia Desemba 31 2008, maelezo kamili ya mahesabu ya kampuni yalikuwa yamestawika zaidi huku pesa za wenye hisa zikifikia shilingi bilioni 5.5 zikilinganishwa na Shilingi bilioni 4.7 kufikia mwisho wa mwaka wa 2007.

MGAWO WA HISA

Mgawo wa hisa wa muda wa Shilingi 0.25 kwa hisa (sawa na shilingi milioni 74) ulitangazwa na kulipwa mnamo mwezi wa Oktoba 2008.

Sasa wakurugenzi wanapendekeza mgawo wa mwisho wa hisa wa mwaka 2008 wa kiasi sawa cha shilingi 0.25 kwa kila hisa na kuleta jumla ya mgawo kwa mwaka huo kufikia shilingi milioni 148. Zaidi ya hayo, wakurugenzi pia walipendekeza malipo ya bonasi kwa hisa moja (1) ya kawaida kwa kila hisa 10 za kawaida zinazomilikiwa na mteja.

TAARIFA YA MWENYEKITI

Katika hali ya kuyakubali mapendekezo yake, Bodi kuu imeangalia na kutaka kusawazisha haja ya kuwatunuku wenye hisa baada ya mwaka wenye ufanisi na kuwajibika vilivyo kwa mipango ya kupanua kampuni na mahitaji ya mtaji. Kwa mwaka uliomalizika Desemba 31, 2008, jumla ya mgawo uliolipwa pamoja na bonasi inawasilisha asilimia 29 ya faida baada ya ushuru.

MATANGAZO YA BENKI, MATAWI YA HUDUMA NA BIDHAA.

Kampuni inatambua kwamba ubunifu katika mifumo ya kuendeleza bidhaa na utoaji huduma ni vipengee muhimu katika kutofautisha masuala katika mazingira ya benki yenye ushindani mkali.

Kulingana na haya, majuzi benki iliboresha taswira yake ya kiushirika. Mabadiliko hayo ya taswira ya kampuni, yalijumuisha mabadiliko ya nembo na kauli-mbiu inayoambatana nayo, ambayo kwa wakati huu ni 'One Life, One Bank' (Maisha Mamoja, Benki Moja). Nembo hiyo ya kisasa na kauli-mbiu mpya inawasiliana moja kwa moja na wateja waliopo na wanaotarajiwa kwamba sisi ni kampuni ya huduma za kifedha inayojiendeleza na tumebuni 'duka moja la jumla ' lenye uwezo mkubwa wa kushughulikia mahitaji yao tofauti. Ili kutekeleza ahadi hii, benki hii inazindua bidhaa mpya na kupanua maeneo ya huduma zake. Matawi mapya tayari yamefunguliwa Kisumu na Thika. Katika 2009 na miaka inayofuata, benki hii itaendelea kuboresha kuweko kwake katika maeneo mapya na sehemu muhimu za kibiashara. Kitengo cha Huduma za Benki za Kibinafsi zilipangwa upya mwaka huu, na kuchangia pakubwa kuanzishwa kwa bidhaa tofauti tofauti na huduma zilizopatiwa majina Move Red, Gold na Platinum.

Mpango mpya wa kutumia mtandao na kupata huduma za benki kwa simu ya rununu umezinduliwa na sasa wateja wetu wanaweza kuendesha shughuli zao za benki mahali popote walipo kwa kutumia tarakilishi zao ama simu za rununu.

KAMPUNI-DAU NA UPANUZI

Katika mwaka wa 2008 tulifaulu pakubwa katika kufuatilia mikakati yetu ya uwili kwenye mipango ya ukuaji katika kanda hii na kuendeleza uwezo wa utoaji huduma za kifedha kwa kikamilifu. Tumeandika mkataba wa kununua asilimia 51 ya benki moja ya wastani ya kibiashara huko nchini Tanzania, Kampuni ya 'Savings & Finance Commercial Bank (S&F)' ikiwa ndio ishara ya kwanza kabisa kwa benki ya NIC kufanya biashara nje ya mpaka wa Kenya. Tunaamini kwamba soko la Tanzania linatoa uwezo mzuri wa kukua na kuwepo kwetu huko kutatusaidia kuwahudumia vyema wateja wetu ambao pia wanaendesha shughuli zao katika eneo hilo. Nafasi ya kuwekeza katika S&F inatupatia uwezo wa kuingia katika soko hilo; imeripoti ukuaji dhabiti wa faida na wamiliki wa hisa na wakurugenzi wana tajriba muhimu katika sekta ya kifedha ya Tanzania pamoja na ya jamii pana ya kibiashara kwa jumla.

Benki hii iliongeza wamiliki wa hisa katika kampuni ya NIC Capital Securities Limited (ambayo awali ilijulikana kama Solid Investment Securities) hadi asilimia 88 kwa kuweka mtaji mpya pamoja na kununua hisa za baadhi ya wamiliki. Kufuatia mtaji huo mpya, mabadiliko ya shughuli zake, masuala ya wafanya kazi na kutumika kwa mbinu bora ya Benki ya NIC na viwango vya uongozi katika shirika , biashara hiyo ya uwakala sasa ni mhusika mkuu na muhimu sana sokoni.

Kuambatana na haya, kampuni ya NIC Capital Limited, ambayo ni kitengo cha uwekezaji kwa benki katika kampuni yetu pia kimefufuliwa. Kufuatia kuteuliwa kwa mkurugenzi mkuu kuendesha ustawi wa biashara hii, kampuni hii sasa iko katika nafasi nzuri ya kushiriki vilivyo katika masoko makubwa ya hisa, pamoja na kutoa huduma za kifedha na ushauri kwa mashirika.

NIC Insurance Agents Limited ilianzishwa 2008 ili kutoa huduma za benki na bima kwa wateja wetu. Shirika hilo limeanzisha ushirika rasmi na kampuni mbili kubwa za bima na kwa hivyo iko katika nafasi ya kutoa huduma pana za bidhaa za bima. Biashara hii mpya inatarajiwa kuchangia zaidi ukuaji wa mapato yasiyofadhiliwa ya kampuni.

USIMAMIZI WA WAFANYIKAZI

Kampuni imeendelea kujitolea kuhakikisha kwamba wafanya kazi wote wanachaguliwa vyema, kufunzwa na kupatiwa motisha ili kuchangia katika ukuaji wa biashara. Mojawapo ya malengo yetu makuu ni kuhakikisha kwamba tunaendelea kuwa mwajiri anayependwa katika soko la wafanya kazi lenye ushindani mkubwa.

Kufikia Desemba 31 2008, NIC ilikuwa na jumla ya wafanya kazi 380, idadi ambayo imeongezeka kutoka 290 mnamo Desemba 2007. Ukuaji huu umefuatia maendeleo kadhaa ambayo ni pamoja na kununua biashara ya uwakala ya NIC Capital Securities, kufungua matawi mapya, kwenye miji ya Mombasa, Kisumu na Thika na kuajiri kikundi maalum cha wauzaji wa bidhaa zetu kama njia mpya ya kuhamasisha kuhusu Kitengo cha Kutoa Huduma za Benki za Kibinafsi.

Tunapoendelea kupanua biashara yetu kwa kutumia mbinu muafaka za kijiografia na pia kupitia kwa bidhaa na huduma, tutaendelea kuinua kiwango cha maarifa na ujuzi wa wafanya kazi wetu ili kuhakikisha kwamba viwango vya juu vya huduma zetu kwa wateja ambavyo bidhaa za NIC huwakilisha, kutekeleza na kutimiza kila wakati.

KUFAHAMIKA

Benki ilitangazwa mshindi wa tuzo za Kuripoti Masuala ya Kifedha (FiRe) katika kitengo cha benki. Tuzo hizo za FiRe zinadhaminiwa na Halmashauri ya Soko za Hisa, Soko la Hisa la Nairobi na Wahasibu wa Umma Walioidhinishwa Kenya. Benki pia ilitangazwa kwa nafasi ya pili na ya tatu katika vitengo vya kampuni zilizoorodheshwa kwenye soko la hisa na uongozi wa shirika.

Hali kadhalika, ninafuraha kuripoti kwamba ilipokea sifa maalum kutoka kwa Kamishna Mkuu wa Mamlaka ya Mapato ya Kenya kwa

¨usaidizi wake wa kipekee kuendeleza na kutekeleza mabadiliko ya ushuru ya 2007.¨

Katika mwaka huo, kuorodheshwa kwetu kutoka kwa Fitch kulianzishwa upya. Fitch ni shirika la kimataifa la kuorodhesha benki na NIC imebakia mojawapo ya benki tatu nchini kuwahi kuorodheshwa na shirika hilo.

MAJUKUMU YA JAMII

Benki ya NIC inapoendelea kustawi na kukua, wajibu wake kwa washikadau pia unaongezeka. Tunatambua kwa kikamilifu uzito na nafasi ya wajibu huu ndani na nje ya biashara yetu wakati wote kulenga na kutimiza kwa viwango vya juu zaidi vya mienendo katika uhusiano wetu wote wa kibiashara.

Kama shirika la humu nchini tunatambua kwamba tuna wajibu na jukumu kwa jamii ambayo tunaendesha shughuli na kufanya biashara zetu. Tunaamini kwa dhati kwamba wale wanaothamini wajibu kwa jamii wana nafasi nzuri ya kudumisha ufanisi na hatimaye kuthaminiwa.

Katika mwaka wa 2008, kampuni hii ilisaidia juhudi hasa katika sekta za mazingira na elimu, na pia kuchangia kusaidia wale miongoni mwa jamii yetu ambao walipoteza makao kwa sababu ya ghasia za baada ya uchaguzi mkuu zilizotokea mwanzoni mwa mwaka huo.

MTAZAMO

2009 unatarajiwa kuwa mwaka wenye changamoto nyingi hasa kwa sababu ya shauku iliyopo katika mazingira ya kiuchumi. Kama ilivyogusiwa awali, uchumi wa Kenya bado haujapata nafuu kufuatia athari za matukio yaliyofuata uchaguzi wa 2007. Kuongezea haya, matatizo yanayotokana na kuharibika kwa uchumi ulimwenguni tayari yanashuhudiwa, huku biashara za ziada, utalii, bei za bidhaa na pesa kutoka ng'ambo zikiathiriwa vibaya.

Ulimwenguni kwa jumla sasa tunaishi katika nyakati zisizoeleweka na tunaona mashirika yanayoongoza, ambayo yalidhaniwa hayawezi kutikisika, yakisambaratika moja kwa moja ama yakihitaji kuokolewa na serikali ili kuendelea. Kwetu sisi hapa Kenya, ingawaje mshtuko huu na uzito wake haujabainishwa kamilifu, wakurugenzi wanaamini Kampuni ya Benki ya NIC ambayo ina kundi la wasimamizi wenye tajriba ya juu, bidhaa tofauti dhabiti, uongozi wa shirika uliomakinika, mtaji dhabiti na sera bora za kukabiliana na hatari zozote zile, iko katika nafasi nzuri ya kukabiliana na athari za matatizo ya soko.

Kwa kweli, utambulizi wetu wa kushikilia mbinu zetu za biashara utahitajika, lakini pia tunatambua katika hali hizi nafasi mpya zitajitokeza na zitafikiriwa na kukaguliwa vilivyo.

SHUKRANI

Nikihitimisha, ningependa kuwatambua washikadau wetu wote kwa usaidizi wao ambao umefanya Benki ya NIC kupata ufanisi mkuu katika mwaka wa 2008.

- Wateja wetu tunaowaenzi mno kwa kuendelea na kufanya biashara yetu kwa udhabiti, ingawaje kuna chaguo kubwa sokoni. Tumejitolea kuendelea sio tu kutimiza bali pia kupita matarajio yao.

- Wadhibiti wetu, Benki Kuu ya Kenya na Halmashauri ya Soko la Hisa, kwa mwongozo na ushirikiano ambao tulipata katika mwaka huo. Tunashukuru zaidi usaidizi wa kuangalia upya na kuidhinisha ununuzi wa sehemu ya kampuni ya Savings & Finance Commercial Bank.

- Wafanyakazi wetu, kwa ujuzi wao wa pamoja na kujitolea kwa wasimamizi na wafanya kazi kwa jumla kunaonyesha desturi ya kutoa huduma bora kwa wateja wetu. Kwa kweli. Sifa hizi, zinachangia matokeo yetu na nawashukuru wote kwa kuchangia katika matokeo ya kuvutia yaliyopatikana 2008, na kuwahakikishia kwamba bodi itaendelea kuwaunga mkono.

- Wamiliki wa hisa zetu, ambao wameendelea kutuunga mkono na kujitolea kutoa mtaji na kufikiria mapendekezo ya bodi kwenye miaka iliyopita. Tunawahakikishia kujitolea kwetu kulinda na kuimarisha thamani ya wamiliki wa hisa.

- Nikitamatisha, kwa wakurugenzi wenzangu. Benki yetu ina bahati kuwa na bodi yenye tajriba kubwa inayotakana na utaalamu wa masuala mbali mbali na hali kadhalika ujuzi wa biashara. Nitaendelea kuwashukuru wakurugenzi kwa uadilifu wao na kujitolea kwa dhati kutekeleza wajibu wao kama wanachama wa bodi na kamati zake mbali mbali.

Nawashukuru nyote.

J P M Ndegwa
Mwenyekiti

18 Februari, 2009

CORPORATE GOVERNANCE

Corporate governance is generally defined as the system and processes by which corporations are directed, controlled and held to account. In particular it concerns the exercise of power within a corporation over its assets and resources. Good corporate governance ensures that a business is run in a transparent, just and equitable manner so as to protect and enhance shareholder value and satisfy the interests of other stakeholders.

The business and affairs of NIC Bank are directed and supervised collectively by a Board of Directors which is committed to the highest standards of corporate governance. The principles and standards adhered to by the Board have been developed with close reference to guidelines on corporate governance issued by the Centre for Corporate Governance, the Capital Markets Authority for publicly listed companies in Kenya, the Central Bank of Kenya for the banking industry and other best practices. The Board's focus is predominantly to achieve compliance with the qualitative aspects of good governance while ensuring that implementation matches the needs of the business.

BOARD OF DIRECTORS

The Board consists of a Chairman, JPM Ndegwa, seven non-executive directors and two executive directors. The directors' abridged biographies appear on page 4 of this Annual Report. All the non-executive directors are independent of management and have a diverse range of expertise, experience and skills relevant to the Group and its business.

All the non-executive directors are subject to retirement by rotation and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

BOARD RESPONSIBILITIES

The Board is responsible for setting the direction of the Bank, corporate values and standards, and ensures that its obligations to shareholders and other stakeholders are understood and met. Matters dealt with by the Board include:-

- Providing entrepreneurial leadership to the Bank within a framework of prudent and effective controls which enable risk to be assessed and managed,
- Strategy formulation and ensuring that there are adequate policies, systems and structures to successfully implement the Bank's strategies,
- Monitoring the Bank's performance against strategic plans and objectives on an ongoing basis, as well as through mandatory quarterly meetings,
- Approval for publication of quarterly financial statements,
- The selection, appointment and appraisal of senior executive officers who are qualified and competent to manage the affairs of the Bank effectively,
- Ensuring that there are adequate structures and systems to identify, measure and monitor the Bank and manage key risks facing the Bank, including compliance related risks,
- Reviewing the effectiveness of the systems for monitoring and ensuring compliance with laws and regulations,
- Determining the terms of reference of all board committees and review of reports and minutes of the committees.

To enable the Board to function effectively and allow directors to discharge their responsibilities, full and timely access is given to all relevant information. The information needs of the Board are continually reviewed and assessed, and directors have complete access to all records and documents they may require.

Strategic issues are reviewed regularly through the quarterly Managing Director's report, while monthly management accounts are circulated to each director within three weeks of the month-end containing an analysis of each business segment's financial performance, including comparisons against budget and prior year.

The Board calendar is arranged to ensure that all key matters are dealt with on a scheduled basis over the course of the year. The documentation for Board meetings consists of a comprehensive set of papers, including regular business progress reports and discussion documents regarding specific matters.

In addition, all directors have access to the advice and services of the Company Secretary, who is responsible for ensuring that the Board procedures are followed.

DELEGATION OF AUTHORITY AND EFFECTIVE CONTROL

The Board achieves effective control over the Bank's operations through a properly formulated corporate governance structure that includes various Board committees. The committees regularly report to the Board in terms of their agreed mandates while management performance is monitored through effective and regular reporting against Board approved strategies and budgets. The committees also enjoy unrestricted access to all information and records they may need.

BOARD CHAIRMAN AND MANAGING DIRECTOR

The roles and responsibilities of the Chairman of the Board and the Managing Director remain distinct and separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Managing Director is responsible to the Board and takes responsibility for the effective and efficient running of the Bank on a day-to-day basis.

SECRETARY

The Secretary is accountable to the Board on all corporate governance matters and is responsible for monitoring and coordinating the completion and dispatch of Board and Committee agenda and briefing materials.

THE BOARD AND DIRECTORS EVALUATION

The executive element of the Board is balanced by a strong independent group of non-executive directors such that no individual or small group of individuals can dominate the Board's decision-making. Procedures are in place to enable directors to satisfy themselves on the integrity of the Bank's financial information and that financial controls and systems of risk management are robust and secure. The non-executive directors have the competence, integrity and experience required for them to deliberate and support Management in the running of the Bank. If in need of specialized expertise not present in the Board, consultants and professionals are engaged.

Each year, the Board of NIC Bank Limited carries out a self review of its capacity, functionality and effectiveness. The evaluation measures the performance of the Board against its key duties and responsibilities.

For 2008 it was determined that the Board was well composed, and had effectively carried out its role and responsibilities to the Bank's various stakeholders. The performance of individual Board members during the year, which was also assessed, rated each Director highly. The overall evaluation assessment is submitted to the Central Bank of Kenya annually.

During 2008, Board members participated in a Corporate Governance seminar refreshing existing training and acknowledging the importance of continuous education in corporate governance structures.

BOARD REMUNERATION

Non executive-directors are paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in any of the Company's remuneration schemes.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors are set out on page 89.

DIRECTORS' SHAREHOLDING

No director holds shares in his individual capacity that is more than 1% of the Company's total equity.

BOARD MEETINGS

A calendar of meetings is fixed annually in advance and provided to all directors. The meetings are conducted in an open manner, striking the required balance between Management presentations and Board Committee reports while allowing full opportunity for free discussion and contribution by the directors.

The Board receives all the information and reports it requires from the Management, and the communication is availed in an appropriate format and with sufficient time to allow directors to prepare adequately for Board and Committee meetings.

The Management regularly keeps the Board up to date with developments that affect the Bank and industry generally, and are freely available for discussion with directors on such matters as and when required.

CONFLICTS OF INTEREST

The directors of the Bank are under a fiduciary duty to act honestly and in the best interests of the institution. NIC Bank has instituted a policy to ensure that directors avoid putting themselves in positions where their self interests conflict with their duty to act in the best interest of the Bank. The directors make annual declarations of their interests which include:-

- An acknowledgement that should it come to their attention that a matter concerning the Bank may result in a conflict of interest, the director is obliged to declare the same and will exclude themselves from any discussion or decision over the matter in question.
- An acknowledgement that should the director be appointed to the Board or acquire a significant interest in a business competing with the Bank, the director will be obliged to offer their resignation.
- An acknowledgment that the foregoing also applies to interests of immediate members of their families.

Business transactions with the directors or their related parties are disclosed on page 88 – 89.

COMMITTEES OF THE BOARD

As noted above, several committees have been established to assist the Board in discharging its responsibilities and obligations. However, the Board is cognizant that this does not detract from its ultimate collective accountability for the performance and good governance of the Bank.

Terms of reference have been established for each committee dealing with the scope of its responsibility and relevant administration and procedural arrangements.

The committees of the Board consist of a balanced mix of non-executive and executive directors. Management and outside service providers and experts may attend by invitation as circumstances dictate.

The Board has constituted the following committees: Audit and Compliance; Human Resource and Compensation; Nominations; Executive, and Credit and Risk Committees. Other ad hoc Committees are set up as and when the need arises and these Committees regularly report to the Board on their activities. Membership and attendance of these committees are provided on page 15 . Details of these committees are given below.

AUDIT AND COMPLIANCE COMMITTEE

The committee is chaired by a non-executive director, F N Mwanzia, and has two other non-executive directors. In addition, the Managing Director and Internal Auditor are in attendance by invitation. Other Heads of Departments are invited as and when required. The external auditors are invited from time to time but at least once in a year.

The committee meets quarterly to review the financial reporting process, ensuring that adequate internal, financial and operating controls are addressed and monitored by Management.

The committee, to whom the Internal Auditor reports, reviews Internal Audit Reports and also ensures that appropriate action has been taken and recommendations implemented.

HUMAN RESOURCES AND COMPENSATION COMMITTEE

This committee of the Board comprises three non-executive directors and is chaired by Mrs. Isabella Ochola-Wilson. The Managing Director, the Executive Director, the Director of Finance and the Director of Human Resources are in attendance by invitation.

The committee's main responsibility is to ensure that the Bank's human resource policies are in line with the best market practice. It also determines, on behalf of the Board, specific remuneration packages for senior management. It may seek external professional advice if deemed necessary in order to carry out its responsibilities.

It is the Bank's policy to provide remuneration packages that fairly reward staff for their contribution to the business, whilst considering the need to attract, retain and motivate staff of the highest calibre.

The committee also reviews development and succession plans for senior executive management of the Bank.

NOMINATIONS COMMITTEE

The committee meets on an ad hoc basis and is comprised of three non-executive directors, chaired by G A Maina.

The committee's main role is to make recommendations to the Board to fill vacancies for executive and non-executive directors. In making recommendations, the committee looks at the mix of skills, expertise and how the new appointment will add value to the present compliment. In turn, the Board as a whole approves the appointment and removal of directors.

EXECUTIVE COMMITTEE

This committee comprises three non-executive directors and is chaired by A S M Ndegwa. The Managing Director and the Director of Finance are in attendance by invitation.

The committee meets regularly to review and recommend for Board approval periodic strategic plans and key policy guidelines as developed by Management from time to time. The committee is cognizant of the various risks facing the Bank and therefore ensures that there is an adequate risk management framework for measuring, monitoring, controlling and mitigating such risks.

CREDIT AND RISK COMMITTEE

This committee comprises four non-executive directors chaired by F M Mbiru and oversees the overall lending policy of the Bank. The Managing Director, the Executive Director, the Director of Risk Management and the Director of Finance are in attendance by invitation. Other senior managers are invited to attend as and when required.

A risk management framework has been established for measuring, monitoring, controlling and mitigation of the Bank's risks. This framework is integrated in the overall management information systems of the Bank and appropriately supplemented by a management reporting structure.

The committee's primary function is to assist the Board in fulfilling its risk management responsibilities as defined by applicable laws and regulations as well as internal policies. The committee meets regularly to consider credit applications and renewal of existing facilities within limits set by the Board. It is also tasked with the responsibility of ensuring:-

- Integrity and adequacy of the risk management function of the Bank,
- Review certain risk limits and regular risk reports and make recommendations to the Board,
- That there are effective procedures to identify and manage irregular problem credits, minimize credit loss and maximize recoveries.

The risk management policies which are reviewed quarterly by the committee are as detailed on pages 52 – 65 and are in line with International Financial Reporting Standards.

MANAGEMENT COMMITTEES

A significant factor in the Bank's ongoing success is the strength of the management team. Members of the management team bring together a vital combination of leadership skills, extensive banking experience from both local and international exposure. To harness that strength, the Managing Director has established committees to assist him in the management of the Bank. These committees are chaired by the Managing Director and include the respective Heads of Department, with other senior managers being co-opted from time to time. These committees include:-

- **The Executive Management Committee (EXCOM):-** This committee meets fortnightly to discuss strategy formulation and implementation, policy matters and financial performance. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines and adherence to company policy and procedures. This committee also serves as a link between the Board and Management.
- **The Management Committee (MANCOM):-** This committee meets monthly to review operational issues of the Bank, with emphasis on the assessment and monitoring of the institution's operational risk.
- **The Assets and Liabilities Management committee (ALCO):-** This committee meets every month and more frequently when necessary. The core responsibility of this committee is the monitoring and management of the assets and liabilities of the Bank. This includes management of operational risks, interest rate and exchange rate risks and ensuring compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure and investment policies.

- **The Risk Management Committee:-**
  This committee meets regularly to approve new credit applications and renewals within the delegated limits set by the Board. The committee also regularly makes recommendations to the Board Credit and Risk Committee on the revision of limits. All approvals are independent of the originating department.

- **The Senior Risk Committee:-**
  This committee meets monthly to review the performance of the Bank's lending book and determines the level of provisions required in accordance with the approved policies and regulatory guidelines.

RELATIONSHIP WITH SHAREHOLDERS

The Bank publishes audited annual accounts which are sent out to all the shareholders.

All shareholders are entitled to attend the Annual General Meeting and receive a Notice of Meeting, which is posted at least 21 clear days before the Annual General Meeting. Shareholders also have direct access to the Company Secretary or the Company's registrars, Custody & Registrar Services, and the Company regularly responds to numerous letters from the shareholders on a wide range of issues.

The Bank's results are published in the daily newspapers every quarter in line with the Central Bank of Kenya requirements. Latest results are also available on the website, www.nic-bank.com.

All shareholders have the opportunity to ask questions on any matter relating to the Bank at the Annual General Meeting and to meet directors informally after the meeting.

INTERNAL CONTROL

The directors acknowledge their responsibility as set out on page 30 for the Bank's system of internal financial control, including taking reasonable steps to ensure that the systems are being maintained. Internal control systems are designed to meet the particular needs of the Bank, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, it is to be recognized that such a system can only provide reasonable, but not absolute, assurance against material misstatement.

2008 BOARD & BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE

Director	Classification	Designation		Board	Audit & Compliance	Credit & Risk	Human Resources & Compensation	Executive
J P M Ndegwa	Non-executive	Chairman Board	Membership	√				
			Attendance	5/5				
F M Mbiru	Non-executive	Chairman Credit & Risk Committee	Membership	√	√	√	√	
			Attendance	5/5	4/4	11/11	2/2	
J W Macharia	Executive	Managing Director	Membership	√	√	√	√	√
			Attendance	5/5	4/4	11/11	2/2	2/2
G A Maina	Non-executive	Chairman Nominations Committee	Membership	√				√
			Attendance	5/5				2/2
F N Mwanzia	Non-executive	Chairman Audit & Compliance Committee	Membership	√	√	√		
			Attendance	5/5	4/4	11/11		
A S M Ndegwa	Non-executive	Chairman Executive Committee	Membership	√	√	√	√	√
			Attendance	5/5	3/4	10/11	2/2	2/2
I Ochola-Wilson	Non-executive	Chairman Human Resources and Compensation Committee	Membership	√			√	
			Attendance	4/5			2/2	
M L Somen	Non-executive		Membership	√		√		√
			Attendance	5/5		6/11		2/2
A Dodd	Executive		Membership	√	√	√	√	√
			Attendance	5/5	3/4	9/11	2/2	2/2

√ Member of respective committee

Where a director did not attend a Board or Board Committee meeting, a suitable apology had been received by the Chairman well in advance of the scheduled meeting.

CORPORATE GOVERNANCE
MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI

SHAREHOLDING
The number of shareholders as at 31st December 2008 was 24,671 (2007-20,755).

A. PRINCIPAL SHAREHOLDERS
The top 10 shareholders, based on the Bank's share register as at 31st December 2008 are as follows: -

Name	Number of Shares	%
First Chartered Securities Ltd	47,003,337	15.84
ICEA Asset Management Ltd	26,889,399	9.06
Livingstone Registrars Ltd	24,114,933	8.13
Rivel Kenya Ltd	22,933,275	7.73
Duncan Nderitu Ndegwa	13,533,825	4.56
Saimar Ltd	12,256,668	4.13
Amwa Holdings Ltd	5,866,938	1.98
Kenya Commercial Bank Nominees Ltd A/C 769G	4,912,665	1.66
Thuthuma Ltd	3,783,720	1.28
Makimwa Consultants Ltd	3,741,618	1.26
Total	**165,036,378**	**55.63**

B. DISTRIBUTION SCHEDULE

Category	Number of Shareholders	Number of Shares	%
1-500 shares	6,822	1,662,931	0.56
501-5,000 shares	14,958	24,128,623	8.13
5,001-10,000 shares	1,411	9,523,210	3.21
10,001-100,000 shares	1,298	34,434,528	11.61
100,001-1,000,000 shares	160	40,112,528	13.52
1,000,001 and over	22	186,830,563	62.97
Total	**24,671**	**296,692,383**	**100.00**

C. SHAREHOLDER PROFILE

Category	Number of Shareholders	Number of Shares	%
Local individual investors	23,028	83,785,641	28.24
Local institutional investors	1,505	209,058,147	70.46
Foreign individual investors	121	1,902,895	0.64
Foreign institutional investors	17	1,945,700	0.66
Total	**24,671**	**296,692,383**	**100.00**

MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI

USIMAMIZI WAZI WA KIUSHIRIKA

Usimamizi wa kiushirika hufafanuliwa kwa ujumla kama mfumo na utaratibu wa kuelekeza mashirika, ili kuyasimamia vyema katika uwajibikaji wa kiutendakazi. Hususan, usimamizi wa kiushirika katika misingi ya mamlaka kwenye shirika kufuatia amali na vitega-uchumi.Usimamizi mzuri huhakikisha kwamba biashara inaendeshwa kwa njia iliyo wazi, haki na kwa nia yenye usawa ili kulinda na kuboresha thamani ya wenye hisa na kutosheleza mahitaji ya washika-dau wengine.

Hali ya biashara na ile ya Benki ya NIC inaelekezwa na kukaguliwa kwa pamoja na Halmashauri ya Wakurugenzi ambayo imejitolea kwenye viwango vikubwa vya usimamizi wa kiushirika. Kanuni na viwango vinavyofuatwa na baraza vimewekwa kukaribiana na miongozo ya ushirikiano wa uongozi uliotolewa na Kituo cha Usimamizi wa kiushirika, Mamlaka ya Mtaji wa Masoko iliyoorodheshwa kwa umma na Makampuni humu nchini, Benki Kuu ya Kenya kwenye kuendesha shughuli za benki na taratibu nyingine zilizo bora. Halmashauri hiyo inaangazia kuboresha uthabiti wa uongozi bora wakati ambapo inahakikisha kwamba utendaji kazi unaambatana na matakwa ya kibiashara.

HALMASHAURI YA WAKURUGENZI

Halmashauri inahusisha Mwenyekiti, Bw. J P M Ndegwa, Wakurugenzi saba wakuu wasio na mamlaka na Wakurugenzi wawili wakuu. Historia ya wakurugenzi hawa imeelezewa katika ukurasa 4 wa Ripoti hii ya mwaka. Wakurugenzi wote wakuu wasio na mamlaka wanajisimamia wenyewe na wana upeo mpana wa ujuzi na taaluma iliyo muhimu sana kwa kampuni hii na biashara zake.

Wakurugenzi wote wakuu wasio na mamlaka wanastahili kustaafu kwa zamu na lazima kutaka kuchaguliwa tena na wenye hisa angalau mara moja kwa kila baada ya miaka mitatu kulingana na kanuni za Msingi wa Kampuni. Mkurugenzi yeyote anayechaguliwa kwa mwaka anatakikana kustaafu na kutaka achaguliwe tena kwenye Mkutano Mkuu mwingine wa kila mwaka.

MAJUKUMU YA HALMASHAURI

Halmashauri inawajibika kutoa mikakati bora ya usimamizi wa Benki, viwango vya ubora na ushirikiano, na kuhakikisha kwamba wajibu wao kwa wenye hisa na washirika-dau wengine unaeleweka na kuafikiwa. Baadhi ya mambo ambayo yanayoshughulikiwa na Halmashauri hiyo yameelezwa katika stakabadhi ambayo inaeleza mchango na majukumu ya Wakurugenzi na yanahusisha:-

- Kutoa uongozi thabiti kwenye Benki kulingana na mifumo-wazi na mbinu za madhubuti za maongozi zinazowezesha ukaguzi na usimamamizi wa kadirio ya athari mbali
- Kuweka mikakati bora, na kuhakikisha kwamba kuna sera, mifumo na mipango mahsusi ili kuimarisha mikakati ya Benki.
- Kukagua utendaji kazi wa Benki dhidi ya mipango ya mikakati na madhumuni ya misingi inayoendelea, na vile vile kupitia kwenye mikutano ya lazima ya kila baada ya miezi mitatu.
- Kuthibitisha kuchapishwa kwa taarifa ya kifedha kila baada ya miezi mitatu,
- Kuchagua, kuteua na kuwapandisha vyeo maafisa wakuu ambao wamehitimu na wana umilisi wakusimamia hali ya Benki ipasavyo,
- Kuhakikisha kwamba kuna mipango mwafaka na mifumo ya kuonyesha, kupima na kukagua Benki na kusimamia hali za hatari zinazoikumba Benki, zikiwemo hatari zinazohusiana ridhaa,
- Kuhakiki uhalisia wa mifumo kwa kuchunguza na kuhakikisha makubaliano ya sheria na taratibu,
- Kuamua kurejelea masharti ya kamati ya halmashauri yote na kuhakiki ripoti na kumbukumbu za kamati.

Ili kuifanya halmashauri kufanya kazi vyema na kuwaruhusu wakurugenzi kutekeleza wajibu wao kwa ufasaha na kupewa fursa ya kupata habari zote muhimu. Habari halmashauri inayopata lazima ikaguliwe na wakurugenzi wana fursa ya kufikia rekodi zote na stakabadhi zile ambazo wanaweza kuzihitaji.

Masuala ya mikakati hukagulia tena mara kwa mara kupitia kwenye ripoti ya Mkurugenzi Msimamizi kila baada ya miezi mitatu. Wakati ambapo mahesabu ya usimamizi ya kila mwezi yanapitishwa kwa kila mkurugenzi kati ya wiki tatu za kila mwisho wa mwezi ikiwemo uchanganuzi wa kila kitengo cha biashara cha utendaji wa kifedha, pamoja na ulinganisho dhidi ya bajeti na mwaka uliotangulia.

Kalenda ya halmashauri imepangwa ili kuhakikisha kuwa masuala yote makuu yameshughulikiwa kikamilifu kulingana na utaratibu uliopo wa mwaka mzima. Uhifadhi wa nyaraka za mikutano ya halmashauri unahusisha aina mbali mbali za makaratasi, zikiwemo ripoti za kawaida za biashara na stakabadhi za majadiliano kuhusu mambo muhimu.

Nikiongezea, wakurugenzi wote wana fursa ya kupata ushauri na huduma za katibu wa kampuni, ambaye ana jukumu la kuhakikisha kwamba hatua za halmashauri zinafuatwa.

UWAKILISHI WA MAMLAKA NA USIMAMIZI BORA

Halmashauri hufanikisha uthibiti wakufaa dhidi ya shughuli za benki kupitia ushirikiano wa uongozi madhubuti ambao unahusisha halmashauri ya kamati nyingi. Kamati hizi hupeleka habari kwa halmashauri kulingana na wajibu wao waliokubaliana wakati ambapo utendaji wa usimamizi unakaguliwa kwa njia mwafaka na kutoa ripoti za mara kwa mara kwenye halmashauri ya kuthibitisha mikakati na bajeti. Kamati hiyo pia inafurahia kutozuiwa kwake kufikia taarifa zozote na rekodi ambazo inaweza kuhitaji.

MWENYEKITI WA HALMASHAURI NA MKURUGENZI MSIMAMIZI

Wajibu na majukumu ya mwenyekiti wa halmashauri na Mkurugenzi Msimamizi yanabaki kuwa tofauti na mbalimbali. Mwenyekiti anatoa uongozi wa jumla kwa halmashauri bila ya kujiwekea mipaka ya kanuni kwa majukumu ya pamoja kwa maoni ya halmashauri. Mkurugenzi msimamizi ana wajibu kwa halmashauri na anachukua jukumu la kufaa na madhubuti kuendesha Benki kwenye shughuli zake za kila siku

KATIBU

Katibu anawajibika kwa Hakmashauri kuhusiana na masuala ya usimamizi wa kiushirika na ana jukumu la kufuatilia na kuratibu kukamilishwa kwa kutumwa kwa habari na barua za ajenda ya Kamati ya Halmashauri.

HALMASHAURI NA TATHMINI YA WAKURUGENZI

Sehemu ya ukubwa wa halmashauri imewekwa sawa na kikundi imara cha kujitegemea cha wakurugenzi wasio na mamlaka ili kwamba kusiwe na mtu ama kikundi kidogo cha watu watakaotawala uamuzi wa halmashauri. Taratibu zimeimarishwa ili kuwawezesha wakurugenzi kuridhika wenyewe na uadilifu wa taarifa za kifedha za benki na kwamba uthibiti wa kifedha na mifumo ya kusimamia hali ya hatari iko madhubuti. Wakurugenzi wasio na mamlaka wana ustadi, uadilifu na ujuzi unaohitajika kwao ili kuwawezesha kufikiria na kusaidia usimamizi katika uendeshaji Benki. Ikiwa kuna haja ya utaalamu maalum ambao haupo kwenye Halmashauri, washauri na wataalamu wanahusishwa.

Halmashauri kuu ya Benki ya NIC hufanya tathmini ya utendaji wake wa kibinafsi kila mwaka, ambayo inahusisha kuhakiki ubora wa kazi yake, utendakazi na uthabiti wake. Vipimo vya kutathmini utendakazi wa Halmashauri dhidi ya wajibu na majukumu yake muhimu.

Katika mwaka wa 2008, iliamuliwa kwamba halmashauri ilikuwa na ubunifu mkubwa, na ilikuwa imetekeleza wajibu na majukumu yake vyema kwa vitegauchumi mbalimbali vya Benki. Uhakiki huo pia unajumuisha utendakazi wa wanachama wa Halmashauri wa mwaka huo ambao wote walifanikisha shughuli zao vyema. Ripoti ya matokeo ya uhakiki pia hupelekwa katika Benki Kuu ya Kenya kila mwaka.

Mwaka huo wa 2008, wanachama wa Halmashauri walishiriki warsha ya mafunzo ya usimamizi wa kiushirika na huku wakifahamu na kutilia maanani umuhimu wa kuendelea kuelimishana kuhusu misingi ya usimamizi bora wa kiushirika.

MALIPO YA HALMASHAURI

Wakurugenzi wasio na mamlaka wanalipwa kila mwezi, pamoja na ruzuku/posho ya kila mkutano aliohudhuria. Hawapaswi kuwa wanachama kwenye utaratibu wa kulipwa kiinua mgongo na hawashiriki katika mradi wowote wa malipo ya kampuni.

Maelezo ya malipo ya wakurugenzi watendaji wasio na mamlaka na malipo ya wakurugenzi watendaji yameelezewa kwenye ukurasa 89.

UMILIKI WA HISA KWA WAKURUGENZI

Hakuna mkurugenzi atakayemiliki hisa kwa uwezo wake wa kibinafsi zaidi ya asilimia 1 ya rasilimali za kampuni kwa ujumla.

MIKUTANO YA HALMASHAURI

Kalenda ya mikutano hutayarishwa mapema kila mwaka na kupatiwa wakurugenzi wote. Mikutano hiyo inaendeshwa kwa uwazi na kutazama usawa kati ya mawasiliano ya wasimamizi na ripoti za kamati ya Halmashauri pamoja na kutoa nafasi ya wazi ya mazungumzo na mchango wa wakurugenzi.

Halmashauri hupokea habari zote na ripoti inazohitaji kutoka kwa wasimamizi. Hali kadhalika, mawasiliano hutolewa kwa njia mwafaka pamoja na muda wa kutosha ili kuwapa muda wakurugenzi kujitayarisha vilivyo kwa mkutano wa Halmashauri na Kamati.

Wasimamizi hufahamisha Halmashauri mara kwa mara kuhusu maendeleo yanayohusiana na benki na sekta hiyo kwa jumla, na pia wanapatikana kwa mashauriano na wakurugenzi kuhusiana na masuala hayo ama pindi wakihitajika.

MGONGANO WA KIMASLAHI

Wakurugenzi wa Benki wako chini ya wajibu wa mdhamini kufanya kazi kwa uaminifu na kwa maslahi bora ya taasisi. Benki ya NIC imeanzisha sera ya kuhakikisha kwamba wakurugenzi hawajiweki kwenye nafasi ambazo maslahi yao ya kibinafsi yanagongana na wajibu wao wa kufanya kazi vyema kwa maslahi ya Benki. Wakurugenzi hutoa tangazo la maslahi yao kila mwaka ambalo linahusisha:-

- Kukubali kuwa iwapo watatambua kwamba tatizo linalo ikumba Benki litasababisha mgongano wa maslahi, Mkurugenzi atatakikana kutangaza hivyo hinyo na watajitoa wenyewe kuhusika na majadiliano yeyote ya swala lililoibuka.
- Kukubali kwamba iwapo mkurugenzi atateuliwa kwa halmashauri ama atake maslahi na wapinzani wa Benki yetu, basi mkurugenzi atatakiwa kujitolea kujiuzulu.
- Kukubali kuwa yanayoendelea pia yanahusisha ya watu wa karibu kwenye familia.

Shughuli za kibiashara kwa wakurugenzi ama washirika wao zimeelezewa kwenye ukurasa 88 – 89.

KAMATI ZA HALMASHAURI

Kama ilivyoelezewa hapo juu, kamati nyingi zimeanzishwa kusaidia Halmashauri kutekeleza majukumu na wajibu wake. Hata hivyo halmashauri inasisitiza kwamba hilo halitavuruga uwajibikaji na uongozi wake bora wa Benki.

Mkataba umeanzishwa kwa kila kamati inayohusika na upeo wa majukumu yake na usimamizi muhimu na mipango ya taratibu.

Kamati ya Halmashauri inahusisha usawa na ushirikiano wa Wakurugenzi watendaji wasio na walio na mamlaka. Usimamizi wa utendaji na watoaji huduma za nje na wataalamu wanaweza kuhudhuria ikiwa wamealikwa kutokana na hali iliyopo.

Halmashauri imejumuisha kamati zifuatazo: ukaguzi wa mahesabu na ukubaliano, Usimamizi wa wafanyikazi na fidia; Uchaguzi; Utendaji, na kamati ya Hatari na Ukopeshaji. Kamati zingine muhimu huundwa zinapotakikana na kamati hizi hupeleka ripoti zao kwenye Halmashauri husika ya shughuli yake. Uwanachama na uhudhuriaji wa kamati hizi umeelezewa vyema kwenye ukurasa 15. Maelezo zaidi ya kamati hizi yametolewa hapa chini.

KAMATI YA KUKAGUA MAHESABU NA UWIANO

Kamati inaongozwa na Mkurugenzi mtendaji asiye na mamlaka, Bw. F N Mwanzia, na ana wakurugenzi watendaji wawili wengine wasio na mamlaka. Kwa kuongezea Mkurugenzi Msimamizi na mkaguzi wa ndani wa mahesabu wanahudhuria wakialikwa. Wakuu wa Idara zingine wanaweza kualikwa wakihitajika. Wakaguzi wa nje wa mahesabu hualikwa mara kwa mara lakini angalau mara moja kwa mwaka.

Kamati hukutana kila baada ya miezi mitatu kutathmini hatua za ripoti ya kifedha, kuhakikisha kwamba uthibiti wa ndani, fedha na uendeshaji unashughulikiwa na kukaguliwa ipasavyo na Usimamizi. Kamati ambayo mkaguzi wa ndani wa mahesabu anapo wasilisha ripoti yake, inatathmini ripoti ya ndani ya mahesabu na pia kuhakikisha kwamba hatua muhimu zimechukuliwa na mapendekezo kutekelezwa.

USIMAMIZI WA WAFANYIKAZI NA KAMATI YA KUTOA FIDIA

Kamati hii ya Halmashauri inajumuisha Wakurugenzi watendaji watatu wasio na mamlaka na inaongozwa na Bi. Isabella Ochola - Wilson. Mkurugenzi Msimamizi, Mkurugenzi Mtendaji, Mkurugenzi wa Fedha na Mkurugenzi Msimamizi wa wafanyikazi wanahudhuria kwa mualiko.

Jukumu kubwa la kamati ni kuhakikisha kwamba sera za usimamizi wa wafanyikazi wa Benki zinaambatana na mambo jinsi yalivyo kwenye siko. Pia inaelezea kwa niaba ya Halmashauri kiwango maalumu cha malipo ya wasimamizi wakuu. Inaweza kuomba ushauri kutoka kwa wataalamu wa nje ikiwa unahitajika ili utekeleza majukumu yake.

Ni sera ya Benki kutoa viwango vizuri vya malipo ya wafanyikazi kutoa mchango wao katika biashara, huku wakizingatia umuhimu wa kuwavutia, kuendelea kufanya nao kazi na kuwapa motisha wafanyikazi katika tabaka la juu.

Kamati pia hutathmini maendeleo na mipango ya ufanisi kwa wasimamizi watendaji wakuu wa Benki.

KAMATI YA UTEUZI

Kamati hii hukutana kwa nadra mno na inajumuisha Wakurugenzi watendaji watatu wasio na mamlka, na inaongozwa na G A Maina.

Jukumu kubwa la kamati hii ni kutoa mapendekezo kwa halmashauri kujaza nafasi za kazi kwenye nyadhifa za utendaji na wakurugenzi watendaji wasio na mamlaka. Kwenye kutoa mapendekezo, kamati huangalia kwa makini akili, ustadi, ujuzi na taaluma ya mtu na jinsi ambavyo ataweza kuleta manufaa au faida kwenye kampuni. Na hata hivyo, halmashauri huthibitisha kuteuliwa na kuondolewa kwa Mkurugenzi.

KAMATI KUU

Kamati hii inajumuisha wakurugenzi watendaji watatu wasio na mamlaka na inaongozwa na A S M Ndegwa. Mkurugenzi Msimamizi na Mkurugenzi wa Fedha huhudhuria wakipewa mualiko.

Kamati hii hukutana mara kwa mara kutathmini na kupendekeza kwa Halmashauri kuthibitisha mipango ya mikakati ya kila wakati na sera muhimu za muongozo zinazoundwa na usimamizi kila baada ya muda. Kamati huangazia hatari mbalimbali zinazoikumba Benki na kisha kuhakikisha kwamba kuna usimamizi muafaka wakutosha wakumudu, kukagua, kuthibiti na kuepusha hatari kama hizo.

KAMATI YA MIKOPO NA KUTATHMINI HATARI

Hii kamati inahusisha wakurugenzi watendaji wanne wasio na mamlaka, wakiongozwa na Bw. F M Mbiru anayeangazia maswala yote ya sera ya ukopeshaji wa Benki. Mkurugenzi Msimamizi, Mkurugenzi Mtendaji, Mkurugenzi wa Hatari na Mkurugenzi wa Fedha wanahudhuria wakipewa mualiko. Wasimamizi wengine wakuu wanaalikwa kuhudhuria wakiwa wanahitajika.

Mfumo wa usimamizi wa hatari umeanzishwa ili kupima, kuchunguza, kuthibiti na kuepusha hatari za Benki. Mifumo hii imewekwa kwenye taarifa za usimamizi wa jumla wa benki na kuelezewa kwenye msingi wa ripoti ya usimamizi.

Baadhi ya kazi mojawapo ya Kamati ni kusaidia Halmashauri kutekeleza majukumu yake ya usimamizi kama ilivyoelezewa kwenye sheria na taratibu zinazotumika na vilevile sera za ndani. Kamati hii hukutana mara kwa mara ili kuangalia maombi ya mkopo na kuongezea muda maombi mengine katika viwango vilivyowekwa na Halmashauri. Pia imepewa jukumu la kuhakikisha kwamba:-

- Uadilifu na ubora wa usimamizi wa utathmini wa hatari za Benki,
- Kutathmini baadhi ya viwango na kutoa ripoti za mara kwa mara za hatari na kutoa mapendekezo kwa Halmashauri,
- Kuna hatua za kufaa zaidi kuonyesha kusimamia matatizo ya mikopo ya kawaida, kupunguza hasara ya mikopo na kuhakikisha kwamba mikopo inalipwa.

Sera za usimamizi wa hatari ambazo hufanyiwa tathmini kila baada ya miezi mitatu na kamati zimeelezewa zaidi kwenye ukurasa 52 – 65. Na zinaafikiana na Viwango vya Kimataifa vya Ripoti za Kifedha.

KAMATI ZA USIMAMIZI

Jambo muhimu kwenye ufanisi wa Benki unaoendelea ni ushirikiano bora wa usimamizi. Wanachama wa usimamizi hujumuika pamoja kubadilishana tajiriba na ujuzi wa shughuli za Benki za humu nchini na za Kimataifa. Ili kuhakikisha ubora huo, Mkurugenzi Msimamizi ameanzisha kamati za kusaidia usimamizi wa Benki. Kamti hizi zinaongozwa na Mkurugenzi Msimamizi na kuwajumuisha Wakuu wa Idara, pamoja na Wasimamizi wengine Wakuu ambao wanaweza kuhitajika mara kwa mara. Kamti hizi ni pamoja na:

MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI

- **Kamati Kuu ya Usimamizi Utendaji :-** Kamati hii hukutana kila baada ya wiki mbili kujadili mikakati na mapendekezo, maswala ya sera na utendaji wakifedha. Pia inatakiwa kuwajibika katika kuhakikisha kwamba mambo yanatekelezwa kulingana na kanuni na miongozo iliyowekwa ya sera na hatua za kampuni. Kamati hii inahudumu kama daraja kati ya Halmashauri na Usimamizi.

- **Kamati ya Usimamizi:-** Kamati hii hukutana kila mwezi kutathmini maswala ya kuendesha benki, ikizingatia kukagua na kuchunguza hali ya uendeshaji hatari unavyofanywa.

- **Kamati ya Usimamizi wa mali na Mikopo:-** Kamati hii hukutana kila mwezi na mara kwa mara inapohitajika. Wajibu muhimu wa kamati hii ni Kukagua na kusimamia mali na mikopo ya Benki. Hii ni pamoja na usimamizi wa kuendesha hatari, viwango vya riba na hatari za viwango vya ubadilishanaji na kuhakikisha kutekeleza matakwa ya uongozi wan nchi, viwango vya pesa taslimu na ubadilishanaji wa pesa za kigeni na sera za uwekezaji.

- **Kamati ya Usimamizi wa tathmini za hatari:-** Kamati hii hukutana mara kwa mara kuidhinisha maombi mapya ya mkopo na kuongezea muda wa maombi mengine kulingana na viwango vilivyowekwa na Halmashauri. Kamati hii pia hutoa mapendekezo mara kwa mara kwa Halmashauri ya kamati ya Mkopo na hatari ili kukagua tena viwango vyake. Kila idara inatoa idhini yake kipekee.

- **Kamati kuu ya mambo ya Hatari:-** Kamati hii hukutana kila mwezi kutathmini utendaji kazi ya vitabu vya Benki na kutambua viwango vinavyostahili kutengwa kulingana na sera, mwongozo na taratibu za Benki zilizowekwa.

UHUSIANO NA WENYE HISA

Benki huchapisha hesabu zilizokaguliwa za kila mwaka na kuzituma kwa kila mwenye hisa.

Wenye hisa wote wanatakikana kuhudhuria Mkutano Mkuu wa kila mwaka na kupokea tangazo la mkutano, ambalo linatumwa siku 21 kabla ya Mkutano Mkuu wa mwaka
Wenye hisa pia wana fursa ya kumfikia Katibu wa kampuni ama wasajili wa kampuni, Hifadhi na huduma za msajili, na majibu ya barua zinazoandikwa na kampuni kwa wenye hisa kuhusu maswala fulani Fulani.

Matokeo ya Benki huchapishwa kwenye gazeti la kila siku kwa kila baada ya miezi mitatu kulingana na mahitaji ya Benki Kuu Ya Kenya. Matokeo ya hivi karibuni pia ya napatikana kwenye wavuti wa www.nic-bank.com.

Wenye hisa wote wana fursa ya kuuliza maswali ya aina yeyote kuhusiana na Benki kwenye Mkutano Mkuu wa Kila Mwaka na kukutana na wakurugenzi baada ya mkutano.

USIMAMIZI WA NDANI

Wakurugenzi wanakubali majukumu yao kama yalivyoelezwa kwenye ukurasa 30 wa mfumo wa Benki kwa uthibiti wa fedha za ndani, ikiwemo ni pamoja na kuchukua hatua kabambe kuhakikisha kwamba mifumo inadumishwa. Mifumo ya uthibiti wa ndani imeundwa kukabiliana na mahitaji maalumu ya Benki, na hatari ambazo zinaweza kuikumba kwa hatua zilizokusudiwa kutoa uthibiti wakufaa wakifedha. Hata hivyo inafaa kufahamika kwamba, mfumo kama huo unaweza tu kueleweka, lakini sio hauna hakikisho dhidi ya kutoa maelezo ya kupotosha.

SOCIAL AND ENVIRONMENTAL RESPONSIBILIES STATEMENT

The Bank recognizes that it has a corporate social and environmental responsibility and has a documented policy approved by the Board in support of this.

The Bank is committed to partnering with groups with similar objectives towards social development and empowerment of the broader community through various corporate social initiatives. In particular the bank has paid attention to the importance of education. Care for the natural environment also receives special consideration.

Some of the areas that benefited from our contribution and participation are highlighted on page 23.

EMPLOYEE WELFARE

- **Ethical Standards**

  The Bank conducts business in compliance with high ethical standards of business practice. The Bank has a Code of Conduct which outlines the principles and policies that govern the activities of the company, and to which the employees must adhere. All employees and directors have committed to follow NIC Bank's Code of Conduct.

  New members of staff, upon employment, must sign the Code of Conduct acknowledging that they have read and are committed to abide by the Code of Conduct.

- **Communication**

  The Bank encourages dialogue and participation from all employees through internal e-mail, team-building initiatives and staff magazine. Further, the Bank holds an annual staff conference where all staff members meet for discussions on the Bank's progress and strategic direction.

  Following the staff survey conducted in 2007 to generate specific feedback on the important matter of employee satisfaction, work groups were established comprising of employees from all departments. Specific recommendations made by the groups were implemented during 2008 and these have contributed towards enhanced communication and employee satisfaction.

- **Staff Training & Development**

  NIC Bank attaches great importance to staff training and development as a means of ensuring that the organization is fully and appropriately staffed with employees who have requisite competencies to perform their jobs and that all staff feel valued and supported.

  The training program is designed to attain the highest standards in the banking industry and is continuously benchmarked with other leading players. The Bank's policy is to provide training that strikes the appropriate balance between short and long term resource requirements with regard to the size and complexity of its operations and the need to offer the highest quality of service.

  The training process begins with an induction phase which also comprises mandatory courses on the Bank's products and services and strategic thrusts. Thereafter on-the-job-training is the foundation upon which all other types of training must depend. This process is fully supplemented by a mentoring program and we acknowledge the role our experienced members of staff play in training their colleagues. In addition tailor made course/ workshops are arranged to meet specific skill and knowledge requirements. Recent attention has been given to enhancing customer care skills and uniformity of customer care across the branches.

  To give staff an international exposure the Bank has identified overseas strategic partners with which staffs are able to train and gain experience.

  With the current employee skill-base, the Bank is able to effectively compete both locally and internationally.

TAARIFA YA MAJUKUMU YA KIJAMII NA KIMAZINGIRA

Benki hii inatambua kwamba inajukumu kubwa la ushirikiano wa mazingira kwa jamii na ina imeandikisha sera zilizoithinishwa na Halmashauri Kuu kwa lengo hilo.

Benki imejitolea mhanga kuwa na ushirika na kampuni zenye malengo sawa kuhusu maendeleo ya kijamii na kuboresha jamii kupitia kuundwa kwa mifumo ya ushirikiano mbalimbali. Hata hivyo, Benki hii imezingatia umuhimu wa elimu. Kadhalika, utunzaji wa kimazingira umeangaziwa pakubwa.

Baadhi ya maeneo yaliyofaidi kutokana na mchango na kushiriki kwetu yameelezewa kwenye ukurasa 23.

MASLAHI YA WAFANYI KAZI

- **Viwango vya Kimaadili**

  Benki huendesha biashara kulingana na viwango vya tamaduni za kibiashara. Benki ina masharti yake ambayo yanaelezea kanuni na sera zinazoongoza shughuli za kampuni, na ambazo wafanyakazi lazima wazifuate. Wafanyikazi na Wakurugenzi wamejitolea kufuata masharti hayo ya Benki ya NIC.

  Wafanyikazi wapya wanaoandikwa kazi, lazima watie sahihi kukubali masharti hayo kuwa wameyasoma na kujitolea kuyatekeleza.

- **Mawasiliano**

  Benki na wafanyikazi wake wote hupenda kuwasiliana kupitia barua-pepe za wenyewe kwa wenyewe, kuanzisha vikundi na jarida la wafanyi kazi. Zaidi ya hayo, benki hufanya mkutano kila mwaka wa wafanyikazi ili kukutana na kujadili maendeleo ya Benki na mtazamo wa mikakati.

  Kufuatia utafiti uliofanywa mnamo mwaka wa 2007 ili kupata picha kamili kuhusu kutosheka kwa wafanyikazi, makundi yaliyojumuisha wafanyi kazi kutoka kwa idara zote yalibuniwa. Mapendekezo maalum yaliyotolewa na makundi hayo yalitekelezwa katika mwaka huo na kuchangia kuimarisha mawasiliano na kuwaridhisha wafanyi kazi.

- **Mafunzo na Maendeleo ya Wafanyikazi**

  NIC Benki inathamini mafunzo na maendeleo kwa wafanya kazi kama njia ya kuhakikisha shirika lina wafanya kazi wa kutosha na wanaofaa ambao wana uwezo wa kugawanya kazi zao vyema na kwamba wafanyi kazi wote wahisi kuthaminiwa na kuungwa mkono.

  Mpango wa mafunzo umeundwa kufikia ubora wa juu zaidi katika sekta ya benki na hulinganishwa kila wakati na wahusika wengine wanaoongoza. Sera ya benki ni kutoa mafunzo ambayo yanalingana na mahitaji ya muda mfupi na pia mrefu hasa kuhusiana na ukubwa na uzito wa shughuli pamoja na haja ya kutoa huduma bora za hali ya juu.

  Utaratibu wa mafunzo huanza na sehemu ya ufahamishaji ambayo pia inajumuisha kozi muhimu kuhusu bidhaa za benki na huduma na mikakati yake. Baada ya hapo mafunzo ya mtu akiwa kazini ndiyo msingi ambao mafunzo mengine yoyote huegemea. Hatua hii husaidiwa na mpango wa ukuzaji na kadhalika tunafahamu ya kwamba jukumu la wafanyi kazi wetu wenye tajriba ya juu kwa kuwafunza wenzao. Pamoja na hayo, warsha huandaliwa ili kuhakikisha kwamba kiwango fulani cha ujuzi maalum na mahitaji ya ujuzi yameafikiwa.

  Kuwapatia wafanyi kazi wote mtazamo wa kimataifa, benki imetambua washirika maalum ambao wafanyi kazi wanaweza kufunzwa na kupata ujuzi.

  Wafanya kazi wakiwa na ujuzi wa juu, benki inaweza kushindana humu nchini na kimataifa.

SOCIAL AND ENVIRONMENTAL RESPONSIBILITIES STATEMENT

MAJUKUMU YA KIJAMII NA MAZINGIRA

James Wainaina, Director Personal Banking NIC Bank with Cecilia Mwangi and Staff of Ahadi Trust after presenting a Cheque of Shs 100,000. The Ahadi Trust is an organization driving the anti-jigger campaign in Kenya through cleaning of homesteads and schools in the affected communities and also training these communities on hygienic maintenance of their environment.

Yvonne Njuguna, Corporate and Communications Manager NIC Bank presents a Cheque to Staff of Edumed Trust. The Trust is a Non-profit organization which identifies needy students for support in secondary education. The donation will go towards the support of five such students.

Alan Dodd, Director, Corporate Banking NIC Bank presenting a Cheque worth Shs 100,000 to Gertrude Children's Hospital CEO, Gordon Otieno Odundo. The hospital was directly involved in providing food and healthcare to children in the IDP camps in Nairobi.

NIC Bank Staff took part in the Dettol Heart Run, marathon organized to raise funds for the operation and treatment of children with heart conditions.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the forty-ninth Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC), Nairobi on Wednesday 29th April 2009, at 11.00 am for the following purposes:-

1. To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31st December 2008 and the Directors' and Auditors' Reports thereon.

2. To confirm the payment of the interim dividend of 5% (Shs 0.25 per share) paid on 3 October, 2008 and to approve the payment of a final dividend of Shs 0.25 (2007 Shs 0.80 per share) on the paid up capital of Shs 1,483,461,920.

3. To approve the payment of fees to the Directors for the year ended 31st December 2008.

4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorize the Directors to fix their remuneration.

5. To elect Directors:
   In accordance with Articles 108, 109 and 110 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election:

   i) I Ochola- Wilson
   ii) G A Maina

6. Special business:

   i. M L Somen, who has attained the age of 70, retires in accordance with Section 186 (2) of the Companies Act (Cap 486). Special Notice has been received by the company pursuant to Section 142 of the Companies Act, that the following resolution be proposed in accordance with Section 186 (5) of the said Act, and, if thought fit, passed by the members:

   "That M L Somen, a Director who has attained the age of 70 years, be and is hereby re-elected as a director of the Company".

   ii. Bonus issue:
   To consider and if thought fit, pass the following resolution which will be proposed as an ORDINARY RESOLUTION;

   'That it is desirable in pursuance of Article 152 of the Articles of Association to capitalize the sum of Shs 148,346,190 being part of the amount standing to the credit of the share premium reserve of the company and accordingly that such sum be capitalized and that the Directors be and are hereby authorized and directed to appropriate such sum to the holders of ordinary shares registered at the close of business on 19th March, 2009 subject to receipt by the Company of the necessary consent from the relevant authorities, from whom permission has been sought, in proportion to the number of ordinary shares held by them respectively on 19th March, 2009 and to apply such sum on behalf of such holders in paying up in full at par 29,669,238 of the unissued shares of the capital of the company, such shares to be allotted, distributed and credited as fully paid up to and amongst such holders in the proportion of one new ordinary shares for every ten ordinary shares then held, and that such new shares shall rank for all purposes pari passu with the existing issued ordinary shares of the Company and that the Directors be and are hereby also authorized generally to do and effect all acts and things required to give effect to this Resolution and to deal with fractions in such manner as they think fit subject always to the Articles of Association of the Company'.

   iii. THAT subject to the issue of all approvals required under the laws of Kenya and Tanzania including that of the Central Bank of Kenya under section 8A of the Banking Act (Cap 488, Laws of Kenya) the terms of the sale and purchase agreement dated 9 February 2009 between NIC Bank Limited, Savings and Finance Commercial Bank Limited and the Vendors named therein, and relating to the proposed acquisition of 51% of the equity of Savings & Finance Commercial Bank Limited, Tanzania and as more particularly described in the Circular to Shareholders despatched to all shareholders of the Company with this notice, be and is hereby approved, and in accordance with Article 132 of the Articles of Association, the Directors be and are hereby authorised generally to do and effect all acts and things required to give effect to this Resolution including the completion of such transaction, following which Savings and Finance Commercial Bank Limited shall become a subsidiary Company.

7. To transact any other business of the Annual General Meeting of which due notice has been received.

BY ORDER OF THE BOARD

L Murage

Company Secretary
Nairobi
16 March 2009

"A Member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his, her or its behalf. A proxy need not be a Member of the Company. To be valid a proxy must be duly completed by the Member and lodged with the Company Secretary at the Company's registered office situated at NIC Bank Limited, NIC House, Masaba Road, Nairobi, Kenya, before 11 am on Tuesday 28th April 2009, failing which it will be invalid. In the case of a Member which is a corporate body then the proxy must be given under its common seal."

TANGAZO LA MKUTANO MKUU WA MWAKA

Tangazo linatolewa hapa kuhusu Mkutano Mkuu wa Mwaka wa arobaini na tisa (49) wa Wenye hisa wa Benki ya NIC utakaofanyika katika Jumba la mikutano la KICC, Nairobi, mnamo siku ya Jumatano tarehe 29 Aprili 2009, kuanzia saa tano asubuhi (5.00) kwa sababu zifuatazo:-

1. Kupokea, kukubali na kama itawezekana, kupitisha Taarifa za Kifedha za mwaka uliomalizikia Desemba 31 2008 na Ripoti za Wakurugenzi Wakuu pamoja na zile za Wakaguzi wa Kifedha kwa wakati huo.

2. Kupitisha malipo ya mgawo wa muda wa hisa wa asilimia 5 ambayo ni (Shillingi 0.25 kwa kila hisa) iliyolipwa mnamo tarehe 30, Oktoba 2008 na kuidhinisha malipo ya mgawo wa mwisho wa shilingi 0.25 (2007 shilingi 0.80 kwa kila hisa) katika malipo ya mtaji ya Shillingi 1,483,461,920.

3. Kupitisha malipo ya ada kwa Wakurugenzi kwa mwaka uliomalizikia tarehe 31 Desemba 2008.

4. Ili kufahamu ya kwamba kampuni ya Deloitte & Touche wataendelea kuhudumu kama Wakaguzi wa Kifedha kulingana na Kifungu cha 159(2) cha Sheria za Kampuni (Ibara ya 486) kwa kutegemea kuidhinishwa na Benki Kuu ya Kenya kulingana na kifungu cha sheria cha 24(1) cha Sheria ya Benki (Ibara ya 488) na kuwaruhusu Wakurugenzi kutoa maamuzi kuhusu malipo yao.

5. Ili kuteua Wakurugenzi:
   Kulingana na Vifungu vya 108, 109 na 110 vya Sheria za Ushirika wa Kampuni, Wakurugenzi wafuatao hustaafu kwa zamu na wana fursa ya kupigania tena mamlaka yao ya ukurugenzi:

   i) I Ochola- Wilson
   ii) G A Maina

6. Biashara Maalum:

   i. M L Somen, ambaye amefikisha umri wa miaka 70, anastaafu kulingana na kifungu cha 186 (2) cha Sheria za Kampuni (Ibara ya 486). Tangazo Maalum limepokelewa na Kampuni kulingana na Kifungu cha 142 cha Sheria za Kampuni, kwamba maamuzi yafuatayo yanafaa kupendekezwa kulingana na kifungu cha sheria cha 186 (5) cha sheria hiyo, na, ikiwa imewaziwa vyema, ipitishwe na wanachama:

      "Kwamba M L Somen, Mkurugenzi ambaye amefikisha umri wa miaka 70, aweze na hivyo basi anachaguliwa upya kama Mkurugenzi wa kampuni".

   ii. Kutolewa kwa Bonasi
      Ili kupitisha hoja hiyo ikiwa suala hilo limeeleweka vyema, pitisha maamuzi yafuatayo yatakayopendekezwa kama MAAMUZI YA KAWAIDA;

      'Kwamba inafaa kufuatia kifungu cha 152 cha Sheria za Kiushirika ili kuwekeza shilingi 148,346,190 kama fedha za mkopo wa kibaba cha hifadhi ya mgawo wa hisa za kampuni na kwa misingi hiyo, kiwango hicho cha fedha kiwekezwe ili kwamba Wakurugenzi wawe na waruhusiwe kuwagawia wamiliki wa hisa za kawaida zilizosajiliwa kufikia mwisho wa saa za kazi mnamo tarehe 19, Machi 2009 kwa kutegemea ukubalifu wa kampuni kupitia kwa wasimamizi husika. Kwa desturi, huwa wameombwa ruhusa, kuambatana na kiwango cha hisa za kawaida wanazomiliki mtawalio na tarehe 19 Machi 2009 na pia kuitisha kiwango hicho cha fedha kwa niaba ya wamiliki ili kulipa pesa zote kiukamilifu sawa na 29,669,238 za hisa ambazo hazikugawanywa za mtaji wa kampuni, hisa kama hizo za kutengwa, kugawanywa na kuidhinishwa kwamba zimelipwa kikamilifu kwa na miongoni mwa wenye hisa hao kwa mgao wa hisa moja ya kawaida kwa kila hisa kumi za kawaida zinazomilikiwa. Kadhalika, hisa mpya kama hizo huwekwa katika kiwango cha matumizi ya jumla (pari passu) pamoja na hisa za kampuni zilizopo na zilizotolewa na ya kwamba Wakurugenzi waruhusiwe kwa jumla kufanya na kutekeleza shughuli zitakazosaidia utekelezaji wa maamuzi na kuangazia masuala ya kiakisami kwa hali hiyo ikiwa wataonelea inafaa kuwa mada katika Vifungu vya sheria ya Kampuni za Kenya'.

   iii. KWAMBA kwa kutegemea kupata ithini zote muhimu za kisheria chini ya sheria za Kenya na Tanzania, pamajo na zile za Benki Kuu ya Kenya kuambatana na kifungu cha 8A cha Sheria za Benki (Ibara ya 488, ya Sheria za Kenya) kanuni za makubaliano ya uuzaji na ununuzi zilizopitishwa mnano tarehe 9 Februari 2009 kati ya Benki ya NIC na Savings and Finance Commercial Bank Limited na Mawakala waliotajwa, na ikihusiana na ununuzi uliopendekezwa wa asilimia 51 ya mgao wa Savings & Finance Commercial Bank Limited, ya Tanzania na kama ilivyoelezewa kwenye barua kwa wenye hisa iliyopelekewa wenyehisa wa Kampuni na Tangazo hili, ilipitishwe na imeidhinishwa, na kuambatana na Kifungu cha 132 cha Sheria za Kiushirika, Wakurugenzi waruhusiwe na wameruhusiwa ili kutekeleza na kuwajibikia shughuli zote zinazohitajika kuwezesha Maamuzi ikiwa ni pamoja na kukamilika kwa biashara hiyo ya uuzaji na ununuzi, ambapo Savings and Finance Commercial Bank Limited itakuwa ni Kampuni-dau ya kamuni hii.

7. Kuendesha biashara nyinginezo za Mkutano Mkuu wa Mwaka ambao tangazo lake maalum limepokelewa.

KWA AMRI YA HALMASHAURI KUU

L Murage

Katibu wa Kampuni
Nairobi
16 Machi 2009

"Mwanachama aliyeidhinishwa kuhudhuria na kupiga kura kwenye mkutano na yule ambaye hataweza kuhudhuria ana fursa ya kumchagua muwakilishi wake ili kumuwakilisha. Muwakilishi huyo sio lazima awe mfanyikazi wa kampuni hii. Ili kukubalika kama muwakilishi, mwanachama huyo anahitajika kufikisha jina la yule atakayemuwakilisha kwa afisi za Katibu wa Kampuni zilizosajiliwa na zilizoko katika Benki ya NIC, NIC House, Masaba Road, Nairobi, Kenya, kabla ya saa tano asubuhi (5) siku ya Jumanne tarehe 28 Aprili 2009, bila ya hivyo uwakilishi wake utabatilishwa. Ikiwa Mwanachama ni Kampuni, basi muwakilishi wake ni lazima apigiwe muhuri wa uwakilishi. "

FIVE YEAR FINANCIAL REVIEW

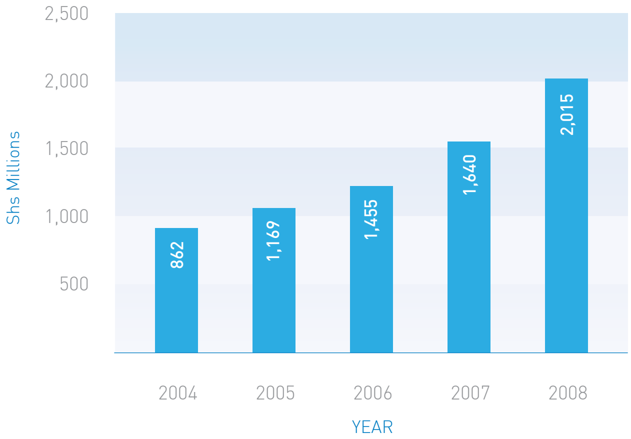
HISTORIA YA DHIMA

	2004 Shs'000	2005 Shs'000	2006 Shs'000	2007 Shs'000	2008 Shs'000
CONSOLIDATED BALANCE SHEET					
Assets					
Government securities	1,751,907	2,472,787	2,148,688	2,411,997	3,974,918
Loans and advances to customers	11,541,195	14,259,286	16,570,116	22,209,186	29,954,948
Property and equipment	495,817	528,731	503,173	506,813	673,997
Other assets	2,854,574	3,439,064	6,840,436	6,153,022	8,015,256
Total assets	**16,643,493**	**20,699,868**	**26,062,413**	**31,281,018**	**42,619,119**
Liabilities					
Customer deposits	12,504,011	16,575,398	21,978,078	24,805,595	35,238,381
Line of credit	601,644	354,404	278,195	650,100	663,275
Other liabilities	893,871	977,550	769,898	1,087,590	1,151,713
Total liabilities	**13,999,526**	**17,907,352**	**23,026,171**	**26,543,285**	**37,053,369**
Total equity	**2,643,967**	**2,792,516**	**3,036,242**	**4,737,733**	**5,565,750**
Total liabilities and equity	**16,643,493**	**20,699,868**	**26,062,413**	**31,281,018**	**42,619,119**
CONSOLIDATED INCOME STATEMENT					
Interest income	1,068,995	1,940,340	2,365,847	2,799,924	3,747,301
Interest expense	206,980	770,868	911,250	1,159,829	1,732,079
Net interest income	**862,015**	**1,169,472**	**1,454,597**	**1,640,095**	**2,015,222**
Total non-interest income	292,761	372,244	515,441	736,294	1,149,231
Operating income	**1,154,776**	**1,541,716**	**1,970,038**	**2,376,389**	**3,164,453**
Operating expenses	762,358	930,323	1,159,607	1,226,415	1,485,728
Impairment loss on loans and advances	19,862	208,383	133,389	100,067	194,551
Operating expenses	**782,220**	**1,138,706**	**1,292,996**	**1,326,482**	**1,680,279**
Profit before taxation	**372,556**	**403,010**	**677,042**	**1,049,907**	**1,484,174**
Income tax expense	111,200	127,362	219,068	304,220	446,493
Profit for the year	**261,356**	**275,648**	**457,974**	**745,687**	**1,037,681**
Earnings Per Share (Shs) – Basic and diluted	0.90	0.95	1.58	2.57	3.49
Dividend Per Share (Shs)	2.40	2.50	2.70	0.80	0.50
OTHER DISCLOSURES					
1) Non-performing loans and advances					
a) Non-performing loans and advances	589,583	705,865	1,270,942	967,724	1,031,988
b) Specific provision	375,947	529,947	646,706	479,884	621,360
c) Net Non-performing loans and advances (a-b)	213,636	175,918	624,236	487,840	410,628
2) Number of employees	203	252	262	290	375
3) Number of branches	5	5	7	10	12
KEY PERFORMANCE INDICATORS					
Return on Capital Employed (ROCE)	14.09%	14.43%	22.30%	22.16%	26.67%
Non-funded income to total income	25.35%	24.14%	26.16%	30.98%	36.32%
Non-performing loans to total loans	1.85%	1.23%	3.77%	2.20%	1.37%
Return on total assets	2.24%	1.95%	2.60%	3.36%	3.48%

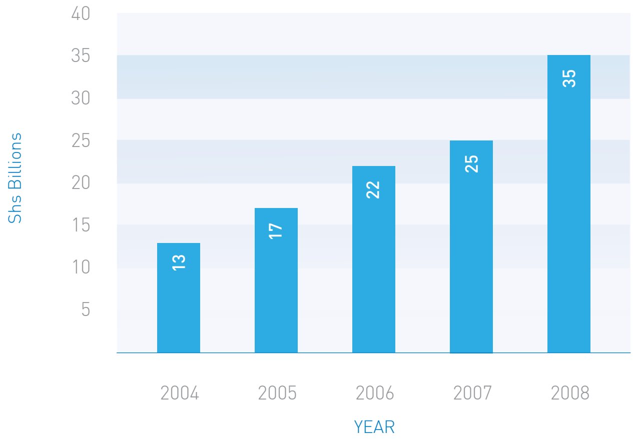
FIVE YEAR FINANCIAL REVIEW

HISTORIA YA DHIMA

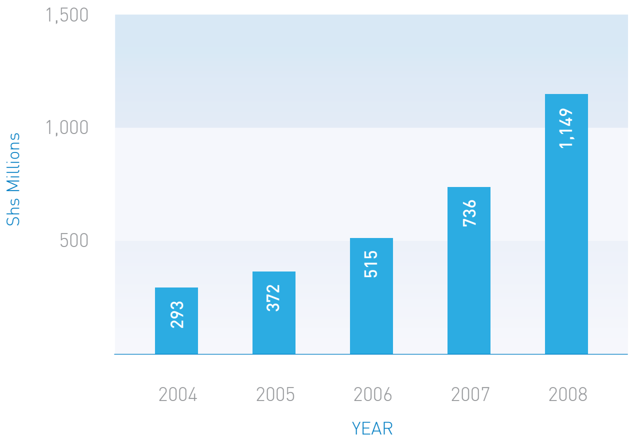
NET INTEREST INCOME



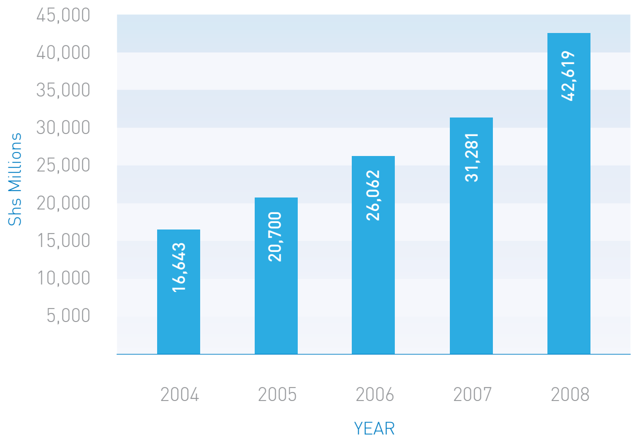
CUSTOMER DEPOSITS



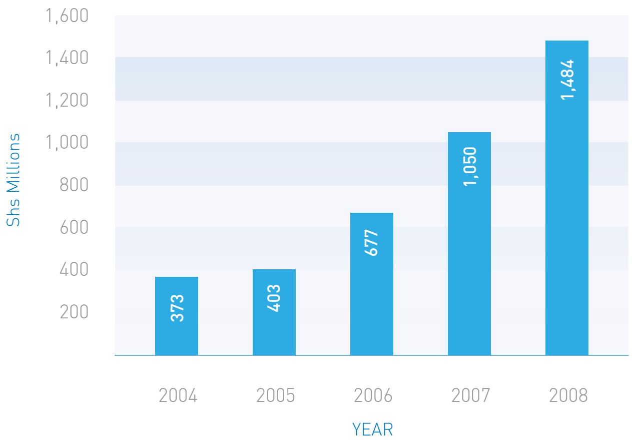
NON - INTEREST INCOME



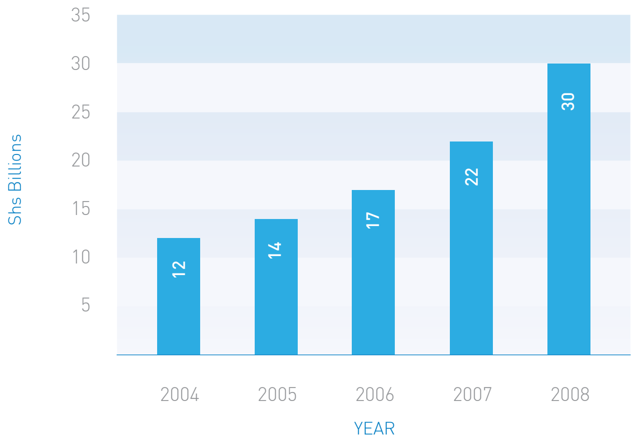
TOTAL ASSETS



PROFIT BEFORE TAXATION



LOANS & ADVANCES TO CUSTOMERS



REPORT OF THE DIRECTORS

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2008 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of the group and bank.

1. ACTIVITIES

The principal activities of the group, are the provision of banking, stock brokerage, financial and related services.

2. RESULTS

The profit for the year of Shs 1,035,763,000 (2007: Shs 745,687,000) has been added to revenue reserves.

3. DIVIDENDS

An interim dividend of Shs 0.25 per share amounting to Shs 74,173,000 was paid to shareholders on 3 October 2008.

The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 29 April 2009, the payment of a final dividend for the year of Shs 0.25 (2007: Shs 0.80) for every ordinary share of Shs 5.

The dividends will be payable to the shareholders registered on the Company's Register at the close of business on 19 March 2009 and will be paid on or after 29 April 2009. The Register will remain closed on 20 March 2009 for the preparation of dividend warrants.

4. BONUS SHARES

Subject to receiving all the regulatory approvals, the directors propose to issue bonus shares in the ratio of one bonus share for every ten shares held.

5. DIRECTORS

The directors who held office during the year and to date are shown on page 5. In accordance with articles 108, 109 and 110 of the Articles of Association, I Ochola-Wilson (Mrs), G A Maina and M L Somen retire by rotation and, being eligible, offer themselves for re-election.

6. AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

7. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the board of directors on 18 February 2009.

BY ORDER OF THE BOARD

L. Murage

Company Secretary
Nairobi
18 February 2009

RIPOTI YA WAKURUGENZI

Wakurugenzi wana furaha isiyo kifani kuwasilisha ripoti yao pamoja na taarifa ya kifedha iliyokaguliwa ya mwaka uliomalizikia tarehe 31, Desemba 2008 kulingana na Kifungu cha 22 kwenye kanuni za kuweka pesa na kifungu cha 157 cha Kanuni za Kampuni nchini Kenya, ambazo zinabainisha hali halisi ya Kampuni na Benki.

1. SHUGHULI

Shughuli muhimu za kampuni, ambazo zilikatiwa leseni chini ya sheria ya uwekaji pesa benki, ambazo zimetengwa ni pamoja na utoaji huduma za shughuli za benki, uwakala wa soko la hisa, fedha na huduma nyingine husika.

2. MATOKEO

Faida ya mwaka ya shilingi 1,035,763,000 (2007: shilingi 745,687,000) ziliongezewa kwenye akiba ya mapato.

3. MGAWO

Mgawo wa Shilingi 0.25 kwa kila hisa kwa kiwango cha shilingi 74,173,000 ulilipwa kwa wenye hisa mnamo tarehe 3 Oktoba 2008.

Halmashauri imepitisha ili kupendekeza kwa wenye hisa Mkutano Mkuu wa mwaka, uliopangwa kuwa tarehe 29 Aprili 2009, malipo ya mgawo wa mwisho wa mwaka wa shilingi 0.25 (2007: Shilingi 0.80) kwa kila hisa ya kawaida ya shilingi 5.

Mgawo utalipwa kwa wenye hisa waliojisajili kwenye rejesta ya Kampuni kufikia kufungwa kwa biashara tarehe 29 Aprili 2009 na utalipwa wakati huo ama baada ya tarehe 19 Machi 2009. Kisha rejesta itafungwa katika siku ya 20 Machi 2009 ili kutayarisha kutoa idhini ya mgawo huo.

4. HISA ZA ZIADA

Kwa kutegemea kupokea idhinisho la wahusika, Wakurugenzi wanapendekeza kutoa hisa za ziada kwa mgawo wa hisa moja ya ziada kwa kila hisa kumi zinazomilikiwa.

5. WAKURUGENZI

Wakurugenzi waliokuwepo uongozini katika kipindi cha mwaka huo hadi leo hii wameorodheshwa katika ukurasa 5. Kulingana na vifungu vya 108, 109 na 110 vya Kanuni za Msingi za Kampuni, I Ochola-Wilson, G A Maina na M L Somen watastaafu kwa zamu na, kwa sababu wana fursa uteuzi mwingine, wanaweza kujitolea kuteuliwa tena.

6. WAKAGUZI WA MAHESABU

Baada ya Deloitte & Touche, kuonyesha kujitolea kwao, wataendelea kuwa wakaguzi wa mahesabu kulingana na Kifungu 159[2] cha Kanuni za Kampuni na Kutokana na Kifungu cha 24 [1] cha kitengo cha uwekaji pesa kwenye Benki.

7. KUIDHINISHWA KWA TAARIFA ZA MAHESABU

Taarifa za Mahesabu ziliidhinishwa na Kamati ya Wakurugenzi mnamo tarehe 18 Februari 2009.

KWA AMRI YA HALMASHAURI KUU

L. Murage

Katibu wa Kampuni
Nairobi
18 Februari 2009

STATEMENT OF DIRECTORS' RESPONSIBILITIES

TAARIFA YA MAJUKUMU YA WAKURUNGENZI

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the bank as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the bank and it's subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the bank. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the bank and of the group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the bank and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

J P M Ndegwa
Chairman

J W Macharia
Managing Director

18 February 2009

Sheria ya Kampuni za Kenya inawahitaji wakurugenzi watayarishe taarifa za fedha katika kila mwisho wa mwaka wa kifedha na ambazo zitadhihirisha ukweli na haki katika masuala ya kampuni na benki kufikia mwisho wa mwaka wa kifedha pamoja na matokeo ya shughuli za kifedha za mwaka huo. Taarifa hiyo pia inawahitaji wakurugenzi kuhakikisha kwamba benki na mashirika-dau yake yanaweka rekodi za akaunti zilizo sawa na ambazo wakati wowote zinaweza kubainisha hali kamilifu ya kifedha ya kampuni na benki. Hali kadhalika, wakurugenzi hao wana wajibu mkuu wa kulinda amali za kampuni.

Wakurugenzi wanawajibika kutayarisha na kuwasilisha kwa usawa taarifa hizi za kifedha kulingana na Viwango vya Kimataifa vya Kuripoti Masuala ya Fedha na mahitaji ya Sheria ya Kampuni za Kenya. Wajibu huu unahusisha: kuunda, kutekeleza na kudumisha kanuni muhimu kwa matayarisho na uwasilishaji wa taarifa za fedha ambazo hazitahusisha taarifa mbaya aidha kwa sababu ya ulaghai ama makosa, kuchagua na kutumia sera zinazofaa za uhasibu na kutengenaza makadirio ya uhasibu yanayofaa kulingana na hali halisi iliyopo.

Wakurugenzi wanakubali wajibu wa taarifa za kifedha za mwaka, ambazo zimetayarishwa kwa kutumia sera za uhasibu zinazofaa kwa kuyalingania maoni, maamuzi na makadirio yanayofaa na yenye busara, kulingana na Viwango vya Kimataifa vya Kuripoti Masuala ya Fedha na jinsi inavyohitajika na Sheria ya Kampuni za Kenya.
Wakurugenzi wanaonelea kwamba taarifa hizo za kifedha zinaonyesha picha halisi na yenye haki kwenye masuala hayo ya kifedha ya kampuni na benki na hali kadhalika katika matokeo ya shughuli za utendakazi wa kampuni. Wakurugenzi pia wanakubali wajibu wa kutunza rekodi za uhasibu ambazo huenda zikategemewa katika matayarisho ya taarifa za fedha pamoja na mbinu za kutosha za kudhibiti fedha kwa ndani.

Hakuna jambo ambalo limewafikia wakurugenzi kuonyesha kwamba benki na mashirika dau yake hayatashughulikiwa kwa angalau miezi kumi na mbili ijayo kutoka tarehe ya taarifa hii.

J P M Ndegwa
Mwenyekiti

J W Macharia
Mkurugenzi Mkuu

18 Februari 2009

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii"
Ring Road, Westlands
P.O. Box 40092 - GPO 00100
Nairobi, Kenya

Tel: +254 (20) 423 0000
+254 (20) 444 1344/05-12
Fax: +254 (20) 444 8966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke
www.deloitte.com

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF NIC BANK LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of NIC Bank Limited set out on pages 33 to 93 which comprise the consolidated and bank balance sheets as at 31 December 2008, and the consolidated income statement, consolidated and bank statement of changes in equity and consolidated cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.
We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the bank and its subsidiaries as at 31 December 2008 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

ii) in our opinion proper books of account have been kept by the bank, so far as appears from our examination of those books; and

iii) the bank's balance sheet is in agreement with the books of account.

Deloitte & Touche
Certified Public Accountants (Kenya)

18 February 2009
Nairobi

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii"
Ring Road, Westlands
P.O. Box 40092 - GPO 00100
Nairobi, Kenya

Tel: +254 (20) 423 0000
+254 (20) 444 1344/05-12
Fax: +254 (20) 444 8966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke
www.deloitte.com

RIPOTI YA WAKAGUZI HURU WA KIFEDHA KWA WANACHAMA WA KAMPUNI YA BENKI YA NIC

Ripoti ya Taarifa za Kifedha

Tumekagua taarifa za kifedha zinazoambatana za Kampuni ya Benki ya NIC kama zilivyo katika ukurasa wa 33 hadi wa 93, zinazohusisha taarifa za pamoja na maelezo kamili ya hesabu kufikia Desemba 31, 2008, na taarifa ya jumla ya mapato, mabadiliko ya taarifa ya jumla na ile ya benki kwa usawa na taarifa ya jumla za pesa taslimu kwa mwaka uliomalizika, na maelezo mafupi ya sera muhimu za uhasibu na matini ya maelezo kamili.

Majukumu ya Wakurugenzi kwenye Taarifa za Fedha

Wakurugenzi wanawajibika kwa matayarisho na uwasilishaji wa sawa wa taarifa hizi za fedha kulingana na Viwango vya Kimataifa vya Kuripoti Masuala ya Fedha na mahitaji ya Sheria ya Kampuni za Kenya. Wajibu huu unajuhusiha: kuunda, kutekeleza na kudumisha vidhibiti muhimu kwa matayarisho na uwasilishaji wa sawa wa taarifa za fedha ambazo hazihusishi taarifa mbaya kwa sababu ya ulaghai ama kasoro, kuchangia na kutumia sera muhimu na bora za uhasibu, na kutengeneza makadirio ya uhasibu ambayo yanafaa kulingana na hali halisi ilivyo.

Majukumu ya Wakaguzi wa Kifedha

Jukumu letu kuu ni kuyaweka wazi maoni yetu kuhusu taarifa za fedha kulingana na ukaguzi wetu. Tuliendesha ukaguzi wetu wa kifedha kulingana na Viwango vya Kimataifa vya Ukaguzi wa Kifedha. Viwango hivyo vinahitaji kwamba tufuate kanuni ya kimaadili na kupanga na kutekeleza ukaguzi ili kupata hakikisho bora kuhusu taarifa za fedha na ikiwa hazina maelezo ya kutatanisha.

Ukaguzi huo wa kifedha unahusisha mifumo bora ya utendakazi ili ushahidi kamili wa ukaguzi kuhusu kiasi cha fedha na maelezo thabiti katika taarifa za fedha. Utaratibu uliochaguliwa unategemea pakubwa maamuzi yetu, ambayo ni pamoja na ukaguzi wa athari za maelezo ya kutatanisha katika taarifa ya kifedha, ima iwe nikwa kwa sababu ya ulaghai ama makosaya kimategu. Wakati wa kutengeneza uchanganuzi huo wa kiathari, tuliangalia vidhibiti vya ndani ambavyo ni muhimu kwa matayarisho na uwasilishaji wa sawa wa taarifa za fedha ili kuunda utaratibu wa ukaguzi wa kifedha ambao unafaa kulingana na hali halisi ilivyo, lakini sio kwa madhumuni ya kueleza maoni kuhusu vidhibiti vya ndani vya shirika. Ukaguzi huo wa kifedha kadhalika unahusisha kutathmini ubora wa sera za uhasibu zilizotumika na makadirio ya uhasibu ambayo yametengezwa na wakurugenzi, pamoja na kutathmini uwasilishaji wa jumla wa taarifa ya fedha.

Tunaamini ya kwamba ushahidi wa ukaguzi wa kifedha ambao tumepata unatosha na unafaa kutoa msingi kamili wa maoni yetu ya ukaguzi huu wa kifedha.

Maoni

Kwa maoni yetu, taarifa za kifedha zinazoambatana, zinatoa mtazamo wa kweli na haki wa mashauri ya fedha ya benki na mashirika-dau yake kufikia Desemba 31, 2008 na kuhusu faida na pesa taslimu kwa mwaka huo uliomalizika kulingana na Viwango vya Kimataifa vya Kuripoti Masuala ya Fedha na mahitaji ya Sheria ya Kampuni Kenya.

Ripoti ya Mahitaji Mengine ya Kisheria

Kama tunavyohitajika na Sheria ya Kampuni za Kenya tunaripoti kwako kwamba, kulingana na ukaguzi wetu wa kifedha:

i) Tumepata habari zote na maelezo ambayo kulingana na uwezo wetu na imani, yalikuwa muhimu kwa madhumuni ya ukaguzi wetu wa kifedha;

ii) Kwa maoni yetu, vitabu sawa vya uhasibu vimewekwa na benki kama inavyoonyeshwa na uchunguzi wetu wa vitabu hivyo; na

iii) Maelezo kamili ya mahesabu ya benki yanaambatana sambamba na vitabu vya uhasibu.

Deloitte & Touche
Certified Public Accountants (Kenya)

18 Februari, 2009
Nairobi

Maandishi yaliyopo hapa juu ni tafsiri ya kiswahili ya 'Ripoti ya Wakaguzi huru wa kifedha kwa wanachama wa kampuni ya Benki ya NIC' inayoonekana kwenye ukurasa 31 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa taarifa ya wakaguzi, tafsiri ya kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the 'Independent Auditor's Report to the members of NIC Bank Limited' which appears on page 31 of this report. In the event of any dispute over the interpretation of the Independent Auditor's Report, the English version shall be the authoritative version.

CONSOLIDATED INCOME STATEMENT

for the year ended 31 December 2008

	Note	2008 Shs'000	2007 Shs'000
Interest income	8	3,747,301	2,799,924
Interest expense	9	(1,732,079)	(1,159,829)
NET INTEREST INCOME		**2,015,222**	**1,640,095**
Fee and commission income		569,821	434,195
Fee and commission expense		(26,884)	(17,849)
NET FEE AND COMMISSION INCOME		**542,937**	**416,346**
Foreign exchange income	10	385,784	206,731
Other operating income	11	220,510	113,217
OPERATING INCOME		**3,164,453**	**2,376,389**
Impairment loss on loans and advances	12 (c)	(194,551)	(100,067)
Employee expenses	13	(813,396)	(661,457)
General and administrative expenses	14	(672,332)	(564,958)
OPERATING EXPENSES		**(1,680,279)**	**(1,326,482)**
PROFIT BEFORE TAXATION		**1,484,174**	**1,049,907**
Income tax expense	15 (a)	(446,493)	(304,220)
PROFIT FOR THE YEAR	16	**1,037,681**	**745,687**
ATTRIBUTABLE TO:			
Equity holders of the company		1,035,763	745,687
Minority interest		1,918	-
		1,037,681	**745,687**
EARNINGS PER SHARE - BASIC AND DILUTED	17	**Shs 3.49**	**Shs 2.57**
DIVIDEND PER SHARE - DECLARED	18	**Shs 0.25**	-
- PROPOSED	18	**Shs 0.25**	**Shs 0.80**

CONSOLIDATED BALANCE SHEET

as at 31 December 2008

	Note	2008 Shs'000	2007 Shs'000
ASSETS			
Cash and balances with Central Bank of Kenya	19	2,670,862	2,419,208
Items in the course of collection	20	575,644	554,506
Deposits and balances due from banking institutions	21	4,095,851	2,682,391
Government securities	22	3,974,918	2,411,997
Derivative assets held for risk management	23	-	87,183
Loans and advances to customers	24	29,954,948	22,209,186
Other assets	25	204,250	199,393
Current income tax recoverable	15 (c)	2,264	-
Other investment	27 (a)	34,229	157,138
Property and equipment	28	673,997	506,813
Intangible assets	29	424,281	45,203
Operating lease prepayments	30	7,875	8,000
Total assets		**42,619,119**	**31,281,018**
LIABILITIES			
Customer deposits	31	35,238,381	24,805,595
Deposits and balances due to banking institutions	32	4,843	-
Derivative liabilities held for risk management	23	81,563	-
Line of credit	33	663,275	650,100
Current income tax payable	15 (c)	94,766	90,525
Other liabilities	35	911,852	959,707
Unclaimed dividends	18	36,552	30,136
Deferred tax liability	36	22,137	7,222
Total liabilities		**37,053,369**	**26,543,285**
EQUITY			
Share capital	37 (a)	1,483,462	1,483,462
Share premium	37 (a)	340,946	340,946
Revaluation surplus	37 (b)	161,284	101,775
Revenue reserves		3,254,083	2,608,812
Statutory reserve		284,696	202,738
		5,524,471	4,737,733
Minority interest	40 (d)	41,279	-
Total equity		**5,565,750**	**4,737,733**
Total liabilities and equity		**42,619,119**	**31,281,018**

The financial statements on pages 33 to 93 were approved by the Board of Directors on 18 February 2009 and were signed on its behalf by:

J P M NDEGWA	J W MACHARIA	F N MWANZIA	L MURAGE
Chairman	Managing Director	Director	Company Secretary

BANK BALANCE SHEET

as at 31 December 2008

	Note	2008 Shs'000	2007 Shs'000
ASSETS			
Cash and balances with Central Bank of Kenya	19	2,670,862	2,419,208
Items in the course of collection from other banks	20	567,924	554,506
Deposits and balances due from banking institutions	21	4,093,538	2,682,391
Government securities	22	3,974,918	2,411,997
Derivative assets held for risk management	23	-	87,183
Loans and advances to customers	24	29,954,948	22,209,186
Other assets	25	167,142	194,126
Due from Group Companies	26	262,598	63
Investment in subsidiary companies	27 (b)	278,666	277,666
Property and equipment	28	671,790	506,813
Intangible assets	29	53,910	45,203
Operating lease prepayments	30	7,875	8,000
Total assets		**42,704,171**	**31,396,342**
LIABILITIES			
Customer deposits	31	35,238,381	24,805,595
Deposits and balances due to banking institutions	32	4,843	-
Derivative liabilities held for risk management	23	81,563	-
Line of credit	33	663,275	650,100
Amounts due to group companies	34	290,413	134,872
Current income tax payable		94,724	90,808
Other liabilities	35	742,975	942,315
Unclaimed dividends	18	36,552	30,136
Deferred tax liability	36	22,303	7,319
Total liabilities		**37,175,029**	**26,661,145**
EQUITY			
Share capital	37 (a)	1,483,462	1,483,462
Share premium	37 (a)	340,946	340,946
Revaluation surplus	37 (b)	174,207	101,775
Revenue reserves		3,245,831	2,606,276
Statutory reserve		284,696	202,738
Total equity		**5,529,142**	**4,735,197**
Total liabilities and equity		**42,704,171**	**31,396,342**

The financial statements on pages 33 to 93 were approved by the Board of Directors on 18 February 2009 and were signed on its behalf by:

J P M NDEGWA	J W MACHARIA	F N MWANZIA	L MURAGE
Chairman	Managing Director	Director	Company Secretary

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2008

	Note	Share Capital Shs'000	Share Premium Shs'000	Revaluation Surplus Shs'000	Revenue Reserves Shs'000	Statutory Reserve Shs'000	Equity attributable to equity holders Shs'000	Minority Interest Shs'000	Total Equity Shs'000
At 1 January 2007		**412,073**	**299,943**	**104,768**	**2,069,308**	**150,150**	**3,036,242**	**-**	**3,036,242**
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-	-	-
Profit for the year		-	-	-	745,687	-	745,687	-	745,687
Transfer to statutory reserve		-	-	-	(52,588)	52,588	-	-	-
Rights issue	37 (a)	82,414	1,071,389	-	-	-	1,153,803	-	1,153,803
Rights issue expenses	37 (a)		(41,411)	-	-	-	(41,411)	-	(41,411)
Bonus issue	37 (a)	988,975	(988,975)	-	-	-	-	-	-
Dividends:									
- final for 2006 declared	18	-	-	-	(156,588)	-	(156,588)	-	(156,588)
At 31 December 2007		**1,483,462**	**340,946**	**101,775**	**2,608,812**	**202,738**	**4,737,733**	**-**	**4,737,733**
At 1 January 2008		**1,483,462**	**340,946**	**101,775**	**2,608,812**	**202,738**	**4,737,733**	**-**	**4,737,733**
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-	-	-
Surplus on revaluation	37 (b)	-	-	107,750	-	-	107,750	-	107,750
Deferred income tax on revaluation surplus	36	-	-	(32,325)	-	-	(32,325)	-	(32,325)
Revaluation of available-for- sale financial assets	27 (a)	-	-	(12,923)	-	-	(12,923)	-	(12,923)
Acquisition of subsidiary	40 (d)	-	-	-	-	-	-	39,361	39,361
Profit for the year		-	-	-	1,035,763	-	1,035,763	1,918	1,037,681
Transfer to statutory reserve		-	-	-	(81,958)	81,958	-	-	-
Dividends:									
- final for 2007 declared	18	-	-	-	(237,354)	-	(237,354)	-	(237,354)
- interim 2008 declared	18	-	-	-	(74,173)	-	(74,173)	-	(74,173)
At 31 December 2008		**1,483,462**	**340,946**	**161,284**	**3,254,083**	**284,696**	**5,524,471**	**41,279**	**5,565,750**

The statutory reserve represents an appropriation from retained earnings to comply with Central Bank of Kenya's prudential guidelines on impairment of loans and advances. It represents the excess of loan provision as computed in accordance with Central Bank of Kenya Prudential guidelines over the impairment arrived at in accordance with IAS 39.

The revaluation surplus and statutory reserve are not distributable.

BANK STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2008

	Note	Share Capital Shs'000	Share Premium Shs'000	Revaluation Surplus Shs'000	Revenue Reserves Shs'000	Statutory Reserve Shs'000	Total Equity Shs'000
At 1 January 2007		412,073	299,943	104,768	2,068,021	150,150	3,034,955
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-
Profit for the year		-	-		744,438	-	744,438
Transfer to statutory reserve	37 (a)	-	-	-	(52,588)	52,588	-
Rights issue	37 (a)	82,414	1,071,389	-	-	-	1,153,803
Rights issue expenses	37 (a)	-	(41,411)	-	-	-	(41,411)
Bonus issue		988,975	(988,975)	-	-	-	-
Dividends:	18						
- final for 2006 declared		-	-	-	(156,588)	-	(156,588)
At 31 December 2007		1,483,462	340,946	101,775	2,606,276	202,738	4,735,197
At 1 January 2008		1,483,462	340,946	101,775	2,606,276	202,738	4,735,197
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-
Surplus on revaluation	37 (b)	-	-	107,750	-	-	107,750
Deferred income tax on revaluation surplus	36	-	-	(32,325)	-	-	(32,325)
Profit for the year		-	-	-	1,030,047	-	1,030,047
Transfer to statutory reserve		-	-	-	(81,958)	81,958	-
Dividends:							
- final for 2007 declared	18	-	-	-	(237,354)	-	(237,354)
- interim 2008 declared	18	-	-	-	(74,173)	-	(74,173)
At 31 December 2008		1,483,462	340,946	174,207	3,245,831	284,696	5,529,142

The statutory reserve represents an appropriation from retained earnings to comply with Central Bank of Kenya's prudential guidelines on impairment of loans and advances. It represents the excess of loan provision as computed in accordance with Central Bank of Kenya Prudential guidelines over the impairment arrived at in accordance with IAS 39.

The revaluation surplus and statutory reserve are not distributable.

CONSOLIDATED CASH FLOW STATEMENT

for the year ended 31 December 2008

	Note	2008 Shs'000	2007 Shs'000
OPERATING ACTIVITIES			
Cash generated from / (used in) operations	39 (a)	3,178,080	(1,457,375)
Income tax paid	15 (c)	(460,199)	(315,626)
Net cash generated from / (used in) operating activities		**2,717,881**	**(1,773,001)**
INVESTING ACTIVITIES			
Cash outflow on acqusition of subsidiary	40 (b)	(62,123)	(157,138)
Investment in quoted shares	27 (a)	(46,152)	-
Purchase of equipment	28	(159,753)	(110,861)
Purchase of intangible assets	29	(29,104)	(11,765)
Proceeds on sale of equipment	39 (c)	5,997	8,153
Net cash used in investing activities		**(291,135)**	**(271,611)**
FINANCING ACTIVITIES			
Dividends paid	18	(305,111)	(152,879)
Rights issue proceeds net of expenses	37 (a)	-	1,112,392
Net cash (used in) / generated from financing activities		**(305,111)**	**959,513**
NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS		**2,121,635**	**(1,085,099)**
CASH AND CASH EQUIVALENTS AT 1 JANUARY		**5,137,651**	**6,222,750**
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	39 (b)	**7,259,286**	**5,137,651**

NOTES TO THE FINANCIAL STATEMENTS

1) Reporting Entity

NIC Bank Limited (The "bank") is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Bank's shares are listed on the Nairobi Stock Exchange (NSE).

2) Basis of preparation

a) Statement of compliance

i) Statement of Compliance with International Financial Reporting Standards

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS)

Adoption of new and revised International Financial Reporting Standards (IFRSs)

Standards and interpretations effective in the current period

The following new interpretations issued by the International Financial Reporting Interpretations Committee and revised standard are effective for the current period:

- IFRIC 12, Service Concession Arrangements (effective 1 January 2008);
- IFRIC 13, Customer Loyalty Programmes (effective 1 July 2008);
- IFRIC 14, IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their interaction (effective 1 January 2008);
- IFRIC 16, Hedges of a Net Investment in a Foreign Operation (effective 1 October 2008).
- IAS 39, Financial Instruments: Recognition and Measurement: Reclassification of financial assets (effective for accounting periods beginning on or after 1 November 2008)
- IFRS 7, Financial Instruments: Presentation: Reclassification of financial assets (effective for accounting periods beginning on or after 1 November 2008)

Adoption of these interpretations and the revised standard has not led to any changes in the group's accounting policies.

New and revised standards and interpretations in issue not yet adopted

At the date of authorisation of these financial statements, the following revised standards and interpretations were in issue but not yet effective.

- IFRIC 15, Agreements for the construction of Real Estate (effective for accounting periods beginning on or after 1 January 2009)
- IFRIC 17, Distributions of Non-cash Assets to Owners (effective for accounting periods beginning on or after 1 January 2009)
- IFRIC 18, Transfers of Assets from Customers (effective for accounting periods beginning on or after 1 July 2009)
- IFRS 1, First-Time Adoption of International Financial Reporting Standards – Amendment relating to cost of an investment on first-time adoption (effective for accounting periods beginning on or after 1 January 2009)
- IFRS 3, Business Combinations – Comprehension revision on applying the acquisition method (effective for accounting periods beginning on or after 1 July 2009)
- IFRS 8, Operating Segments (effective for accounting periods beginning on or after 1 January 2009)
- IAS 1, Presentation of Financial Statements (effective for accounting periods beginning on or after 1 January 2009)
- IAS 23 (Revised), Borrowing Costs (effective for accounting periods beginning on or after 1 January 2009)

2) Basis of preparation (continued)

a) Statement of compliance (continued)

New and revised standards and interpretations in issue not yet adopted (continued)

- IAS 27, Consolidated and Separate Financial Statements: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 July 2009)
- IAS 28, Investments in Associates: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 July 2009).
- IAS 31, Interests in Joint Ventures: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 July 2009).
- IAS 32, Financial Instruments: Presentation: Amendments relating to puttable instruments and obligations arising on liquidation (effective for accounting periods beginning on or after 1 January 2009)
- IAS 39, Financial Instruments: Recognition and Measurement: Amendments for eligible hedged items (effective for accounting periods beginning on or after 1 July 2009)
- "Improvements to IFRSs" was issued in May 2008 and its requirements are effective over a range of dates, with the earliest effective date being for annual periods beginning on or after 1 January 2009. The IASB's annual improvements process deals with non-urgent, minor amendments to the standards.

The directors anticipate that the adoption of these standards and interpretations and amendments to other IFRSs resulting from the International Accounting Standards Board (IASB)'s annual improvements project published in May 2008, when effective, will have no material impact on the financial statements of the group.

b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis of accounting as modified by the revaluation of property and financial instruments which are accounted for at fair value.

c) Functional and presentation currency

The financial statements are presented in Kenya Shillings (Shs), which is also the group's functional currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

d) Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reported year. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised and in any future periods affected.

During the year, the areas involving a higher degree of judgement or complexity or where assumptions and estimates significant to the financial statements are disclosed in note 6.

3) Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below.These policies have been applied consistently throughout the year.

a) Basis of consolidation

I. Subsidiaries

The consolidated financial statements incorporate the financial statements of the bank and its subsidiaries for the year ended 31 December. A list of the bank's subsidiaries is set out in note 27(b).

Subsidiaries are those companies in which the bank either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations of the entities. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal.

Intra-company balances and any unrealised income and expenses arising from intra-company transactions are eliminated in preparing the consolidated financial statements.

The purchase method of accounting is used to account for the acquisition of subsidiaries by the group. The cost of an acquisition is measured as the fair value of the assets given, liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any minority interest. The excess of the cost of acquisition over the fair value of the group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the income statement.

Investment in subsidiaries is accounted for at cost in the books of the bank.

II. Transactions and minority interests

The group applies a policy of treating transactions with minority interests as transactions with parties external to the group. Disposals to minority interests result in gains and losses for the group and are recorded in the income statement. Purchases from minority interests result in goodwill, being the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary.

b) Foreign currency transactions

Transactions in foreign currencies are translated to the functional currency of the group at exchange rates ruling at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the exchange rate at that date. The resultant foreign currency gain or loss is recognised in the income statement.

c) Interest income and expense

Interest income and expense for all interest bearing financial instruments are recognised within the income statement on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial asset and liability and is not revised subsequently.

3) Summary of significant accounting policies (continued)

c) Interest income and expense (continued)

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or liability.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

d) Fees and commissions

In the normal course of business, the group earns fees and commission income from a diverse range of services to it's customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, placement fees, brokerage fees, bancassurance fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are expensed as the services are received.

e) Financial instruments

I. Recognition

The group initially recognises loans and advances, deposits and debt securities issued on the date that they are originated. All other financial assets and liabilities are initially recognised on the trade date at which the group becomes a party to the contractual provisions of the instrument.

II. Classification

The group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans, advances and receivables; available for sale financial assets, and held-to-maturity investments. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are categorised as fair value through profit and loss.

3) Summary of significant accounting policies (continued)

e) Financial instruments (continued)

II. Classification (continued)

Derivatives held for risk management

These comprise solely of forward foreign exchange contracts and are initially recognised at fair value on the date the derivative contract is entered into and subsequently measured at fair value. The fair value is determined using forward exchange market rates at the balance sheet date or appropriate pricing models. The derivatives do not qualify for hedge accounting. Changes in fair value of derivatives are recognised immediately in the income statement.

Loans, advances and receivables

Loans advances and receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market. Loans and advances are recognised when cash is advanced to borrowers.

Trade receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the group will not be able to collect all amounts due according to the original terms of the receivables. Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue) are considered indicators that the trade receivable is impaired. The amount of the provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in the income statement within 'General and administrative expenses'. When a trade receivable is uncollectible, it is written off against the allowance account for trade receivables. Subsequent recoveries of amounts previously written off are credited against 'General and administrative expenses' in the income statement.

Held to maturity

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

Available-for-sale financial assets

Available-for-sale assets are financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

Financial liabilities

Borrowings – Line of credit

Line of credit represent drawn down facilities extended to the bank. These borrowings are recognised initially at fair value, net of transaction costs incurred. They are subsequently stated at amortised cost using the effective interest method.

3) Summary of significant accounting policies (continued)

e) Financial instruments (continued)

II. Classification (continued)

Financial liabilities (continued)

Trade payables

Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

III. Derecognition

The group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers substantially all the risks and rewards of ownership of the financial asset. A financial liability is derecognised when its contractual obligations are discharged or extinguished.

IV. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financials assets at 'fair value through profit and loss' are subsequently carried at fair value. Gains and loss arising from changes in the fair value in those assets are recognised in the income statement in the period in which they arise.

Gains and losses arising from changes in the fair value in of 'available-for-sale financial assets' are recognised directly into equity in the period in which they arise.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in equity are included in the income statement as 'gains and losses from investment securities'.

Dividends on available-for-sale equity instruments are recognised in the income statement as part of other income when the group's right to receive payments is established.

The fair values of quoted investments are based on current bid prices. If the market for a financial asset is not active (and for unquoted securities), the group establishes fair value by using valuation techniques that include the use of recent arm's length transactions.

Loans and advances and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

V. Impairment

The group reviews regularly, on a case-by–case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

3) Summary of significant accounting policies (continued)

e) Financial instruments (continued)

V. Impairment (continued)

In the case of equity securities classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the income statement. Impairment losses recognised in the income statement on equity instruments are not reversed through the income statement.

f) Offsetting

Financial assets and liabilities are set off and the net amount reported in the balance sheet when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

g) Impairment of tangible and intangible assets

At each balance sheet date, the group reviews the carrying amount of its tangible and intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence on impairment losses exist, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the income statement. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the group is cognisant of the estimated future cashflow discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

Intangible assets with indefinite useful life and intangible assets not yet available for use are tested for impairment annually, and when there is indication that the asset may be impaired.

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.

NOTES TO THE FINANCIAL STATEMENTS

3) Summary of significant accounting policies (continued)

h) Loan impairment

At each balance sheet date, the group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset, and that the loss event has an impact on the future cash flows on the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include default or delinquency by a borrower, restructuring of a loan or advance by the group on terms that the group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group.

Loan impairments are recognised promptly when there is objective evidence that impairment has occurred. In assessing impairment losses, the group considers the following factors, in each category:

i) Individual assessed loans

- The aggregate exposure to the group.
- The viability of the customer's business model and it's capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet it's debt obligation.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors commitment ranking pari passu with the group and the likelihood of other creditors continuing to support the customer.

ii) Collectively assessed loans

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision of impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

3) Summary of significant accounting policies (continued)

h) Loan impairment (continued)

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.

i) Employee expenses

I. Retirement benefit obligations

The group operates a defined contribution plan under which the group pays fixed contributions into a separate entity. The group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the group and the employees.

In addition, the group also contributes to the National Social Security Fund, which is a defined contribution scheme registered under the National Social Security Act. The contributions are determined by local statute.

The group's contributions to the defined contribution schemes are charged to the income statement in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

II. Short-term benefits

Short-term employee benefit obligations (e.g medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the related service is provided.

The monetary benefits for employee accrued leave entitlement at the balance sheet date are recognised as an expense accrual.

j) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease.

k) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year, using currently enacted tax rates.

Deferred tax is provided using the balance sheet liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

NOTES TO THE FINANCIAL STATEMENTS

3) Summary of significant accounting policies (continued)

k) Income tax expense (continued)

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

l) Earnings per share

The group presents basic and diluted earnings per share (EPS) in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding adjusted for the effects of all dilutive potential ordinary shares.

m) Dividends

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

n) Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Central Bank of Kenya (CBK), items in the course of collection from other banks, deposits held at call with banks and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the balance sheet.

o) Leases

When the group is the lessor in a lease agreement that transfers substantially all of the risks When the group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and advances. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding asset. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease.

Rentals payable under operating leases are charged to the income statement over the terms of the relevant lease.

3) Summary of significant accounting policies (continued)

p) Repurchase agreements

When the group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognised in the group's financial statements.

q) Property and equipment

I. Recognition and measurement

Items of property and equipment are measured at cost less accumulated depreciation. Buildings held for administrative purposes are stated in the balance sheet at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated deprecation.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

II. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in the income statement as incurred.

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the balance sheet date. Any revaluation increase / decrease arising on the revaluation is credited / charged to the revaluation surplus component of equity.

The gains or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the income statement.

III. Depreciation

Depreciation is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Buildings	2.5 %
Furniture, fittings and equipment	20.0 %
Motor vehicles	20.0 %
Computers	33.3 %

3) Summary of significant accounting policies (continued)

q) Property and equipment (continued)

III. Depreciation (continued)

Depreciation methods, useful lives and residual values are reassessed at each reporting date.

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to revenue reserve.

r) Intangible assets

I. Goodwill

Goodwill arises on business combinations through acquisition of subsidiaries when the cost of acquisition exceeds the fair value of the group's share of the identifiable assets, liabilities and contingent liabilities acquired. If the group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired business is greater than the cost to acquire, the excess is recognised immediately in the income statement.

Goodwill is allocated to cash-generating units for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least annually, and whenever there is an indication that the cash-generating unit may be impaired, by comparing the present value of the expected future cash flows from a business with the carrying value of its net assets, including attributable goodwill. Goodwill is stated at cost less accumulated impairment losses which are charged to the income statement.

II. Computer software

Acquired computer software and related licenses are stated at cost less accumulated amortisation. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Where software is not an integral part of the related hardware it is recognised as an intangible asset.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimate useful life of software is three to five years.

III. License

Separately acquired licences in business combination are recognised at fair value at the acquisition date. Licenses with an indefinite useful life are not amortised and are reviewed at each balance sheet date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. Consequently, the group would test the asset for impairment by comparing it's recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment.

3) Summary of significant accounting policies (continued)

s) Provisions

Provisions for legal claims are recognised when the group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

t) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

u) Statutory reserve

IAS 39 requires the group to recognise an impairment loss when there is objective evidence that loans and advances are impaired. However, CBK prudential guidelines require the bank to set aside amounts for impairment losses on loans and advances in addition to those losses that have been recognised under IAS 39. Any such amounts set aside represent appropriations of retained earnings and not expenses in determining profit or loss. These amounts are dealt with in the statutory reserve.

v) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally written by the bank to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

w) Fiduciary activities

Assets and income arising thereon together with related undertakings to return such assets to customers are excluded from these financial statements where the bank acts in a fiduciary capacity such as nominee, trustee or agent.

x) Segmental reporting

A segment is a distinguishable component of the group that is engaged in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments. The operating segments are based on the group's management and internal reporting structure. For the key segments (or business clusters) see note 7.

y) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4) Financial risk management objectives

Group risk management framework and governance structures

The board of directors has overall responsibility for the establishment and oversight of the group's risk management framework. As part of it's governance structure, the board of directors has embedded a comprehensive risk management framework for measuring, monitoring, controlling and mitigation of the group's risks. The policies are integrated in the overall management information systems of the group and supplemented by a management reporting structure.

Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees / stakeholders understand their roles and obligations.

The board's Credit and Risk Committee (CRC) is responsible for monitoring compliance with the group's risk management policies and procedures, and review of the adequacy of risk management framework in relation to the risks faced by the group. The group's CRC is assisted in these functions by various management committees which undertake both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the board.

The most important type of financial risks to which the group is exposed to are:

- Credit risk
- Liquidity risk
- Market risk
    - Interest rate risk
    - Foreign exchange risk
- Capital Management

The notes below provide detailed information on each of the above risks and the group's objectives, policies and processes for measuring and managing risk, and the group's management of capital.

a) Credit risk

Credit risk refers to the risk that a customer or counter party will default on its contractual obligations resulting in financial loss to the group. It arises principally from lending, leasing, trade finance, stock brokerage and treasury activities. The amounts presented in the balance sheet are net of impairment for doubtful debts, estimated by the group's management based on prior experience and their assessment of the current economic environment.

4) Financial risk management objectives (continued)

a) Credit risk (continued)

I. Management of credit risk

The board of directors has delegated responsibility for the management of credit risk to its Credit and Risk Committee (CRC).

A Risk Management Department Head, who reports to the Managing Director for administrative purposes and to the board CRC on the delegated authorities, is responsible for oversight of the group's credit risk, including:

- Formulating credit policies in consultation with business units, covering risk acceptances criteria in target market, collateral requirements, credit appraisal, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- Establishing the authorisation structure for the approval and renewal of credit facilities.
- Reviewing and assessing credit risk on all exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process.
- Limiting concentrations of exposure to counterparties and industries (for loans and advances).
- Developing and maintaining the group's risk gradings in order to categorise exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk grading system is used in determining where impairment provisions may be required against specific credit exposures. The current risk grading framework consists of several grades reflecting varying degrees of risk of default and the availability of collateral or other credit risk mitigation. The responsibility for setting risk grades lies with the Committee and risk grades are subject to regular reviews by the CRC.
- Reviewing compliance of business units with agreed exposure limits, including those for selected industries and product types. Regular reports are provided to the CRC on the credit quality of local portfolios and appropriate corrective action is taken.
- Providing advice, guidance and specialist skills to business units to promote best practice throughout the group in the management of credit risk.

Each business unit is required to implement group credit policies and procedures, in line with credit approval authorities delegated from the CRC. Each business unit is responsible for the quality and performance of its credit portfolio and for monitoring and controlling all credit risks in its portfolios, including those subject to central approval.

Regular audits of business units and group credit processes are undertaken by Internal Audit.

4) Financial risk management objectives (continued)

a) Credit risk (continued)

II. Maximum exposure to credit risk before collateral held

	2008		2007	
	Shs'000	%	Shs'000	%
Credit Exposures				
On – balance sheet items				
Items in the course of collection	575,644	1	554,506	2
Deposits and balances due from banking institutions	4,095,851	9	2,682,391	8
Loans and advances to customers	29,954,948	68	22,209,186	69
Government securities	3,974,918	9	2,411,997	7
Other assets - trade receivables	32,928	-	-	-
	38,634,289	**87**	**27,858,080**	**86**
Off-balance sheet items				
Letters of credit	1,303,084	3	2,097,602	6
Guarantee and performance bonds	4,391,968	10	2,452,565	8
	5,695,052	**13**	**4,550,167**	**14**
	44,329,341	**100**	**32,408,247**	**100**

The above represents the worst case scenario of credit exposure for both years, without taking into account any collateral held or other credit enhancements attached.

Loans and advances to customers and off-balance sheet items comprise of 68% of the total maximum exposure. While collateral is an important mitigant to credit risk, the group's policy is to establish that loans are within the capacity of the customer to repay, as the primary way out. Other than exposures amounting to Shs 945,607,000 (2007 - Shs 905,926,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery among others. The fair value of collateral held for impaired loans and advances is Shs 410,628,000 (2007 - Shs 487,840,000). The group is confident that it's policies and procedures provide sufficient safeguards against exposure on credit risk as shown on the following table:

4) Financial risk management objectives (continued)

a) Credit risk (continued)

III. Classification of loans and advances

Loans and advances to customers	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
2008				
Neither past due nor impaired	28,469,518	-	28,469,518	95
Past due but not impaired	1,160,821	86,019	1,074,802	4
Impaired	1,031,988	621,360	410,628	1
Total	**30,662,327**	**707,379**	**29,954,948**	**100**
2007				
Neither past due nor impaired	20,274,255	-	20,274,255	91
Past due but not impaired	1,502,954	55,863	1,447,091	7
Impaired	967,723	479,883	487,840	2
Total	**22,744,932**	**535,746**	**22,209,186**	**100**

Apart from the loans and advances to customers all other credit exposures are neither past due nor impaired.

Loans and advances that are neither past due nor impaired

The group classifies loans and advances under this category for those exposures that are upto date and in line with contractual agreements. Such loans would have demonstrated financial conditions, risk factors and capacity to repay that are acceptable. These exposures will normally be maintained largely within approved product programs and with no signs of impairment or distress. These exposures are categorised as normal accounts in line with CBK prudential guidelines and a provision of 1 % is made and appropriated from revenue reserves to statutory reserves.

Past due but not impaired

This category includes exposures that are over 30 days (31 – 90 days) past due, where losses have been incurred but have not been identified. These exposures are graded internally as category 2 in line with CBK guidelines.

4) Financial risk management objectives (continued)

a) Credit risk (continued)

III. Classification of loans and advances (continued)

Impaired loans and advances

Impaired loans and securities are loans and securities for which the group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan / securities agreement(s). These loans are graded categories 3 to 5 in the group's internal credit risk grading system. These accounts under CBK guidelines are termed as non-performing loans.

IV. Allowances for impairment

The group establishes an allowance for impairment losses that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of losses that have been incurred but have not been identified on loans subject to individual assessment for impairment.

V. Write-off policy

The group writes off loans and advances net of any related allowances for impairment losses, when the group's CRC determines that the loans and advances are uncollectible and securities unrealisable. This determination is reached after considering information such as the occurrence of significant changes in the borrower or issuer's financial position such that the borrower or issuer can no longer pay the obligation, or that proceeds from sale of collateral will not be sufficient to pay back the entire exposure and after exhausting all other means including litigation. For smaller balance standardised loans, charge off decisions are generally based on a product specific past due status.

Collateral held

The group holds collateral against loans and advances to customers in the form of mortgage interests over property, registered securities over assets, and guarantees. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and refreshed after every three years. Security structures and legal covenants are also subjected to regular review to ensure they continue to fulfil their intended purpose. Collateral generally is not held over deposits and balance due from banks, items in the course of collection, and government securities, except when securities are held as part of reverse repurchase and securities borrowing activity.

Settlement risk

The group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of counter-party to honour its obligations to deliver cash, securities or other assets as contractually agreed.

For certain types of transactions the group mitigates this risk by pre-arranging facilities with the customer. Settlement limits form part of the credit approval/limit monitoring process described earlier. Acceptance of settlement risk on free settlement trades requires transaction specific or counterparty specific approvals from the CRC.

4) Financial risk management objectives (continued)

a) Credit risk (continued)

VI. Concentrations of risk

The group monitors concentration of risk by economic sector in line with set limits per sector. An analysis of concentrations within the loan and advances to customers, customer deposits and off balance sheet items are as follows:

	2008		2007	
	Shs' 000	%	Shs' 000	%
Loans and advances to customers				
Wholesale and retail	3,064,602	10	1,508,873	7
Real estate	1,129,308	4	1,338,473	6
Agriculture	2,794,136	9	1,527,880	7
Social community and personal services	8,974,518	29	6,497,555	28
Manufacturing	5,823,731	19	4,846,634	21
Transport and communication	6,079,815	20	3,849,063	17
Other	2,796,217	9	3,176,454	14
	30,662,327	**100**	**22,744,932**	**100**
Customer deposits				
Mortgage finance companies	100,868	-	419,821	2
Co-operative societies	168,490	-	137,751	1
Insurance companies	4,076,551	12	2,354,410	9
Non profit institutions and individuals	10,913,113	31	6,955,654	28
Private enterprises	19,979,343	57	14,937,959	60
	35,238,365	**100**	**24,805,595**	**100**
Off-balance sheet items				
Agriculture	28,412	-	64,957	1
Business services	86,858	2	97,423	2
Wholesale and retail	1,216,898	21	104,583	2
Transport and communication	572,127	10	344,196	8
Manufacturing	1,403,358	25	1,755,700	39
Other	2,387,399	42	2,183,305	48
	5,695,052	**100**	**4,550,164**	**100**

4) Financial risk management objectives (continued)

b) Liquidity risk

Liquidity risk is the risk that the group will encounter difficulty in meeting obligations from financial liabilities. The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met when due, and that the group will not encounter difficulty in meeting obligations from its financial liabilities as they fall due. ALCO relies substantially on the group's Treasury department to coordinate and ensure discipline across the group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

The bank, like any other bank, does not maintain cash reserves to meet all of obligations as experience shows that a minimum level of reinvestment of maturing funds can be predicted with a high level of certainty.

I. Liquidity and funding management

The group's liquidity and funding policies require;

- The bank enters into lending contracts subject to availability of funds.
- Projecting cash flows by major currency and considering the level of liquid assets necessary in relation thereto.
- Monitoring balance sheet liquidity ratios against internal and regulatory requirements.
- Maintaining an array of diverse range of funding sources with back –up facilities.
- Monitoring depositor concentration in order to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix.
- Investment in short term liquid instruments, which can easily be sold in the market when the need arises. Investments in property and equipment are properly budgeted for and done when the group has sufficient cash flows.
- Maintaining liquidity and funding contingency plans. These plans must identify early indicators of stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crises while minimising adverse long-term implications.

II. Source of funding

The bank's major source of funding is from customer deposits. To this end, the bank maintains a diversified and stable funding base comprising of the core retail and corporate customers in addition to the nascent institutional banking component. The bank borrows from the inter bank market through transactions with other banks, and from the wholesale markets through transactions with pension funds and insurance companies for short term liquidity requirements.

III. Exposure to liquidity risk

The key measure used by the group for managing liquidity risk is the ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets are considered as including cash and cash equivalents and investment in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The CBK requires that the bank maintains a cash reserve ratio computed as 5% (2007 - 6%) of customer deposits of the preceding month.

4) Financial risk management objectives (continued)

b) Liquidity risk (continued)

III. Exposure to liquidity risk (continued)

Treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

Consolidated data is not utilised in the management of group liquidity as management is of the opinion the figure will not materially differ from that of the bank.

The average liquidity ratio for the period was 26% (2007 – 32%).

The table in note 45(a) shows the undiscounted cash flows on the group's financial liabilities and unrecognised loan commitments on the basis of their earliest possible contractual maturity. The group's expected cash flows on these instruments vary significantly from this analysis. For example, demand deposits from customers are expected to maintain a stable or increasing balance; and unrecognised loan commitments are not all expected to be drawn down immediately.

The gross nominal inflow/(outflow) disclosed in note 45(b) is the contractual, undiscounted cash flow on the financial liability or commitment.

c) Market risk

The objective of market risk management process is to manage and control market risk exposures in order to optimise return on risk while maintaining a market profile as a provider of financial products and services. Market risk is the risk that movement in market factors, including interest rates and foreign currency exchange rates, will reduce income or value of it's holding in financial instrument.

Overall responsibility for management of market risk rests with ALCO. The Treasury department is responsible for the development of detailed market risk management policies (subject to review and approval by ALCO) and for the day to day implementation of those policies.

4) Financial risk management objectives (continued)

c) Market risk (continued)

The management of market risk is supplemented by the monitoring of sensitivity analysis of the key market risk variables. The bank normally uses simulation models to measure the impact of changes in interest rates on net interest income. The key assumption used in these models include expected loan payoffs rates, loan volumes and pricing and changes in market conditions. Those assumptions are based on the best estimates of actual positions. The model cannot precisely predict the actual impact of changes in interest rates on income because these assumptions are highly uncertain.

I. Interest rate risk

The group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced at both fixed and floating rates. The maturities of asset and liabilities and the ability to replace at an acceptable cost, interest bearing liabilities as they mature, are important factors in assessing the group's exposure to changes in interest rates and liquidity.

In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are either pegged to the bank's base lending rate or Treasury bill rate. The base rate is adjusted from time to time to reflect the cost of deposits.

Hedging activities are evaluated regularly in line with the average interest rate and the defined risk appetite. Optimal hedging strategies are applied, by positioning the balance sheet or protecting interest expense through different interest rate cycles.

Interest rates on customer deposits are negotiated between the bank and the customer with the bank retaining the discretion to adjust the rates in line with changes in market trends. The interest rates, therefore, fluctuate depending on the movement in the market interest rates. The group also invests in fixed interest rate instruments issued by the Government of Kenya through the CBK. The interest rate risk table is found in note 46.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the group. It is unusual for a bank ever to completely be matched due to the nature of business terms and types.

Interest rate risk – stress test

We monitor the impact that an immediate hypothetical increase or decrease in interest rates of 125 basis points applied at the beginning of the year would have on our net interest income assuming a growing balance sheet and current interest rate risk profile. The following table summarises such estimated impact:

	2008 Shs'000	2007 Shs'000
125 basis points increases in interest rates	34,246	5,723
125 basis points decrease in interest rates	(430,748)	(402,224)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

4) Financial risk management objectives (continued)

c) Market risk (continued)

II. Foreign exchange risk

The group is exposed to the risk that the value of financial instruments will fluctuate due to changes in foreign exchange rates. The board of directors sets limits on the level of exposure by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures.

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates as availed by the CBK and should not exceed 20% of the group's core capital.
- The single currency exposure, irrespective of short or long positions should not exceed the limit of 20% of core capital.
- Intra-day foreign exchange exposures are limited within strictly defined limits by the board of directors.

The table in note 47 summarises the group's exposure to foreign currency exchange rate risk at 31 December.

Foreign exchange risk – stress test

Foreign currency exchange risks refer to the potential changes in current and future earnings or capital from movement in foreign exchange rates. The bank through stringent intra-day limit and overnight exposure limits ensures that potential risk of loss arising from foreign exchange fluctuations to the bank's capital is within prudential guidelines. Any material over-night position is covered by a stop-loss order with our international counter-parties. As a policy, the closing exposures are more to do with residual positions rather than a proprietary positions/transactions. The table below summarises the estimated impact of an increase or decrease of 10% the value of the Kenya Shilling against the four major currencies i.e. US Dollar, Sterling Pound, Euro and Japanese Yen.

	2008 Shs'000	2007 Shs'000
10% depreciation of the Kenya Shilling	2,194	597
10% appreciation of the Kenya Shilling	(2,194)	(597)

4) Financial risk management objectives (continued)

d) Capital management

The group's objectives when managing capital are to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders while maintaining an optimal capital structure. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders, issue new shares or sell assets to reduce debt.

The group's objective when managing capital is broadly covered under the following headings;

I. Bank

In line with banking industry, the broader concept of capital is defined by the CBK, which substantially relies on the guidelines developed by the Basel Committee, for supervisory purposes. Those objectives are intended to:

- Sustain a strong capital base to support the development of business.
- To safeguard the group's ability to continue as a going concern.
- To comply with the capital requirements set out by the CBK.

The CBK segregates the total regulatory capital into two tiers;

- Tier 1 Capital (Core Capital): share capital, share premium, plus retained earnings.
- Tier 2 Capital (Supplementary Capital): 25% (subject to prior approval) of revaluation surplus, subordinated debt not exceeding 50% of tier 1 capital and hybrid capital instruments. Qualifying tier 2 Capital is limited to 100% of tier 1 capital.

The CBK requires each bank to maintain at all times;

- A minimum level of regulatory capital of Shs 250 million. This minimum level will be increased gradually to Shs 1 billion by end of 2012.
- A ratio of core capital to the risk–weighted assets plus risk-weighted off-balance sheet assets at or above the required minimum of 8%.
- Core capital of not less than 8% of total deposit liabilities.
- Supplementary capital of not less than 12% of risk-weighted assets plus risk-weighted off-balance sheet items.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

4) Financial risk management objectives (continued)

d) Capital management (continued)

I. Bank (continued)

	2008 Shs'000	2007 Shs'000
Tier 1 Capital	**5,070,239**	**4,058,465**
Tier 1 + Tier 2 Capital	**5,398,487**	**4,286,647**
Risk-weighted assets		
On-balance sheet	32,642,269	24,312,642
Off-balance sheet	3,036,237	1,312,788
Total risk-weighted assets	**35,678,506**	**25,625,430**
Basel ratios		
Tier 1 (CBK minimum – 8%)	14.21%	15.84%
Tier 1 + Tier 2 (CBK minimum – 12%)	14.43%	16.73%
Core Capital / Deposits Ratio (CBK minimum – 8%)	15.13%	16.30%

II. Brokerage and Investment Bank

The Capital Markets Authority, which regulates the brokerage and the investment bank i.e NIC Capital Securities and NIC Capital, respectively, prescribes minimum capitalisation requirements and a working capital of not below 20% of the prescribed minimum shareholders funds or three times the average monthly operating costs whichever is higher. The subsidiaries maintained capital well above the minimum requirement.

	Brokerage Shs'000	Investment Bank Shs '000
Minimum Capital	30,000	50,000
Capital held as at 31 December 2008	348,569	218,828

5) Other risk management objectives

Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risk arises from all of the group's operations and are faced by all business entities.

The group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. The management team ensures that:

- An effective, integrated operational risk management framework that incorporates a clearly defined organizational structure is maintained.
- Each department has defined roles and responsibilities for all aspects of operational risk management.
- Appropriate tools that support the identification, assessment, control and reporting of key risks are used.
- All Information technological services systems architecture are highly scalable and require minimal lead-time to increase capacity to match growth in demand.
- Operational risk systems are subjected to independent reviews including testing from external reputable firms.
- A comprehensive business continuity plan is maintained and reviewed regularly.

I. Compliance risk

Compliance risk is the risk arising from failure to comply with relevant laws, regulations and regulatory requirements governing the conduct of business. It is the composite risk that can result in regulatory sanctions, financial penalties, litigation exposure and loss of reputation.

The compliance function is headed by a Compliance Manager, reporting directly to the Audit and Compliance Committee of the board and the Managing Director for administrative purposes. The function is tasked with the responsibility of:

- Development of compliance policies,
- Advising management on compliance matters,
- Assessment and monitoring of polices and compliance programs,
- Reporting on compliance to the board of directors.

5) Other risk management objectives (continued)

II. Reputation risk

The board of directors is of the opinion that the reputation of the group is of paramount importance to continued prosperity and is the responsibility of the managing director. Reputation risk can arise form social, ethical, or environmental issues, or as a consequence of operations risk events. The group's reputation depends upon the way in which business is conducted, but can also be affected by the way in which customers, to whom we provide financial services, conduct themselves.

Reputation risk is considered and assessed by the board of directors and senior management during the establishment of standards for all major aspects of business and the formulation of policy. These policies, which are an integral part of the internal control systems, are communicated through manuals and statements of policy, internal communication and training. The policies set out operational procedures in all areas of reputation risk, including money laundering deterrence, environmental impact, anti-corruption measures and employee relations.

The group has established a strong internal structure to minimize the risk of operational and financial failure and to ensure that a full appraisal of reputation risk is made before strategic decisions are taken.

6) Critical accounting estimates and judgments in applying the group's accounting policies

In the process of applying the group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

These are dealt with below:

I. Impairment losses on loans and advances

The group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cashflows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

6) Critical accounting estimates and judgments in applying the group's accounting policies (continued)

II. Held -to-maturity investments

The group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the group evaluates its intention and ability to hold such investments to maturity. If the group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value not amortised cost.

III. Goodwill impairment

The group's accounting policy for goodwill is described in Note 3(r). Goodwill is allocated to cash-generating units ('CGU') for the purpose of impairment testing. When the process of identifying and evaluating goodwill impairment demonstrates that the expected cash flows of a CGU have declined and/or that its cost of capital has increased, the effect is to reduce the CGU's estimated fair value. If this results in an estimated recoverable amount that is lower than the carrying amount of the CGU, a charge for impairment of goodwill will be recorded, thereby reducing by a corresponding amount the group's profit for the year. Goodwill is stated at cost less accumulated impairment losses. Significant management judgement is involved in determining the cost of capital assigned to an individual CGU and in estimating its future cash flows.

IV. Property and equipment

Critical estimates are made by the directors in determining depreciation rates for property and equipment.

V. Fair value of derivatives financial instruments

The fair value of financial instruments that are not quoted in a active market are determined using valuation techniques. When valuation techniques are used, they are periodically validated and reviewed by qualified personnel independent of the area that created them. However, volatilities and correlation require management to make estimates. Changes in assumptions of these factors could affect reported fair value of financial assets.

VI. Fair value of trade receivables and payables

The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the group for similar financial instruments.

VII. Taxes

The group is subjected to numerous income taxes and levies by various government and quasi- government regulatory bodies. As a rule of thumb, the group recognises liabilities for the anticipated tax /levies payable with utmost care and diligence. However, significant judgment is usually required in the interpretation and applicability of those taxes /levies. Should it come to the attention of management, in one way or the other, that the initially recorded liability was erroneous, such differences will impact on the income and liabilities in the period in which such differences are determined.

7) Segmental reporting

The groups operation as at 31 December 2008 are all within Kenya, geographical segmental reporting is therefore not relevant. The critical business segments are:

Business segments

Corporate and Institutional Banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

Treasury Dealing and Brokerage

Targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business.

The brokerage focuses on the execution of transactions at the Nairobi Stock Exchange for high net worth and institutional clients.

Retail Banking

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit and transactional banker.

Asset Finance

Targets both the retail and corporate end of the market as the preferred financier in the motor vehicles, machinery and equipment segments in addition to Insurance Premium Financing (IPF) segment.

Investment Banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements.

The segment information provided to the executive committee of management for the reported segments is contained below:

	Corporate & Institutional Banking Shs'000	Treasury Dealing and Brokerage Shs'000	Retail Banking Shs'000	Asset Finance Shs'000	Investment Banking and Other Shs'000	Total Shs'000
2008						
Total operating income	1,277,194	397,859	789,893	573,757	125,750	3,164,453
Profit before tax and impairment allowances	873,849	156,830	310,487	325,441	12,119	1,678,726
Loans and advances to customers	17,040,367	-	4,121,505	9,500,455	-	30,662,327
Customer deposits	27,073,895	-	8,164,486	-	-	35,238,381

7) Segmental reporting (continued)

	Corporate & Institutional Banking Shs'000	Treasury Dealing and Brokerage Shs'000	Retail Banking Shs'000	Asset Finance Shs'000	Investment Banking and Other Shs'000	Total Shs'000
2007						
Total operating income	855,859	275,548	618,353	496,821	129,808	2,376,389
Profit before tax and impairment allowances	512,545	86,683	161,335	309,256	80,155	1,149,974
Loans and advances to customers	12,564,320	-	2,307,233	7,873,379	-	22,744,932
Customer deposits	18,346,176	-	6,459,419	-	-	24,805,595

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

8) Interest income

	2008 Shs'000	2007 Shs'000
Finance leases	1,319,962	954,883
Loans and advances to customers	2,101,548	1,591,414
Treasury bills – Held to maturity	215,437	150,243
Treasury bonds – Held to maturity	17,593	2,105
Treasury bonds – Fair value through profit or loss	22,701	-
Deposits and balances due from banking institutions	70,060	101,279
	3,747,301	**2,799,924**

9) Interest expense

	2008 Shs'000	2007 Shs'000
Customer deposits	1,634,944	1,097,023
Line of credit	36,257	44,447
Deposits and balances due to banking institutions	60,878	18,359
	1,732,079	**1,159,829**

10) Foreign exchange income

Gains on foreign currency dealings arose fromtrading in foreign currency transactions and also on the translation of foreign currency assets and liabilities.

11) Other operating income

The following items are included in other operating income:

	2008 Shs'000	2007 Shs'000
Brokerage Income	52,767	-
Rental income	26,290	21,118
Profit on disposal of equipment	4,948	3,215
Bad debt recoveries	4,971	5,226

12) Impairment loss on loans and advances

a) Specific allowance for impairment

	2008 Shs'000	2007 Shs'000
Balance as at 1 January	479,883	646,707
Charge for the year	164,395	111,023
Write-offs	(22,918)	(277,847)
At 31 December	**621,360**	**479,883**

b) Collective allowance for impairment

	2008 Shs'000	2007 Shs'000
Balance as at 1 January	55,863	66,819
Charge / (release) for the year	30,156	(10,956)
At 31 December	**86,019**	**55,863**

c) Total allowance for impairment

	2008 Shs'000	2007 Shs'000
Balance as at 1 January	535,746	713,526
Charge for the year	194,551	100,067
Write-offs	(22,918)	(277,847)
At 31 December	**707,379**	**535,746**

13) Employee expenses

The following items are included within staff costs:

	2008 Shs'000	2007 Shs'000
Gratuity provision	56	421
NSSF contributions	924	607
Pension costs – defined contribution	52,087	44,185

14) General and administrative expenses

The following items are included under this category:

	2008	2007
Auditors' remuneration	2,954	2,526
Directors' emoluments – fees	5,200	5,360
– other	66,025	46,682
Depreciation (note 28)	102,235	102,283
Amortisation of computer software (note 29)	20,397	26,084
Amortisation of operating lease prepayments (note 30)	125	125
Share registrations costs / listing costs	17,077	13,848

15) Income tax expense

a) Taxation charge

	2008	2007
Current tax		
Income tax based on taxable profit for the year at 30%	463,927	333,993
Prior year over provision - current tax	(24)	(4,037)
	463,903	329,956
Deferred tax: credit for the year (note 36)	(17,410)	(25,736)
	446,493	**304,220**

b) Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2008 Shs'000	2007 Shs'000
Profit before income tax	**1,484,175**	**1,049,907**
Income tax calculated at the statutory rate of 30 %	445,253	314,972
Tax effect of expenses not deductible for tax	1,264	9,313
Prior year over provision - current tax	(24)	(4,037)
- deferred tax	-	(16,028)
	446,493	**304,220**

15) Income tax expense (continued)

c) Taxation payable movement

	2008 Shs'000	2007 Shs'000
At beginning of the year	90,525	76,195
Acquired tax liability	(1,727)	-
Tax charge (note 15 (a))	463,903	329,956
Income tax paid	(460,199)	(315,626)
At end of year	**92,502**	**90,525**
Comprising		
Current income tax recoverable	(2,264)	-
Current income tax payable	94,766	90,525
At end of year	**92,502**	**90,525**

16) Profit for the year

The profit for the year dealt with in the bank financial statements of NIC Bank Limited is Shs 1,030,047,000 (2007 – Shs 744,438,000).

17) Earnings per share

Earnings per share is calculated by dividing the net profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding during the year.

	2008	2007
Profit attributable to equity holders of the parent company (Shs'000)	**1,035,763**	**745,687**
Weighted average number of ordinary shares		
At 1 January	296,692,383	82,414,551
Effects of rights issue exercised	-	10,312,837
Effects of bonus shares issued	-	197,794,922
At 31 December	**296,692,383**	**290,522,310**
Earnings per share (Shs)	**3.49**	**2.57**

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent company. There were no discontinued operations during the year.

18) Dividends

At the Annual General Meeting scheduled for 29 April 2009, a final dividend in respect of 2008 of Shs 0.25 per share (2008 - Shs 0.80 per share) amounting to a total of Shs 74,173,000 (2007 – Shs 237,354,000) is to be proposed by the directors. The total estimated dividend for the year to be paid is therefore Shs 0.50 per share (2008 - Shs 0.80 per share) amounting to a total of Shs 148,346,000 (2007 - Shs 237,354,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

The movement in unclaimed dividends is as follows:

	2008 Shs'000	2007 Shs'000
At 1 January	30,136	26,427
Final dividend declared	237,354	156,588
Interim dividend declared	74,173	-
Dividends paid	(305,111)	(152,879)
At 31 December	**36,552**	**30,136**

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

19) Cash and balances with Central Bank of Kenya

GROUP AND BANK

	2008 Shs'000	2007 Shs'000
Cash on hand	492,080	502,813
Balances with Central Bank of Kenya:		
- Cash ratio requirement	1,689,866	1,433,974
- Balances with Central Bank of Kenya under repurchase agreements	199,864	144,384
- Domestic foreign currency clearing deposit	77,692	27,737
- Other (available for use by the group)	211,360	310,300
	2,670,862	**2,419,208**

The cash ratio requirement is non interest bearing and is based on the customer deposits with the bank as adjusted by the CBK requirements. As at 31 December 2008 the cash ratio requirement was 5% (2007 - 6%) of all customer deposits. These funds are not available for the day to day operations of the group.

20) Items in the course of collection

	GROUP		BANK	
	2008	2007	2008	2007
	Shs'000	Shs'000	Shs'000	Shs'000
Clearing account balance	567,924	554,506	567,924	554,506
Settlement account	7,720	-	-	-
	575,644	554,506	567,924	554,506

21) Deposits and balances due from banking institutions

	GROUP		BANK	
	2008	2007	2008	2007
	Shs'000	Shs'000	Shs'000	Shs'000
Balances due from banking institutions	3,137,712	2,579,211	3,137,712	2,579,211
Deposits due from banking institutions	958,139	103,180	955,826	103,180
	4,095,851	2,682,391	4,093,538	2,682,391

The weighted average effective interest rate for deposits due from banking institutions at 31 December 2008 was 3.16% (2007 – 6.25%).

22) Government securities

(a) Government securities are categorised as follows:

	GROUP AND BANK	
	2008	2007
	Shs'000	Shs'000
Treasury Bills – Held to Maturity	3,232,734	2,411,997
Treasury Bonds – Held to Maturity	437,486	-
Treasury Bonds – Fair value through profit or loss	304,698	-
	3,974,918	2,411,997

22) Government securities (continued)

(b) The maturity profile of Government securities is a follows:

	GROUP AND BANK	
	2008	2007
	Shs'000	Shs'000
Treasury Bills		
Maturing within 90 days of the date of acquisition.	1,689,330	943,257
Maturing after 90 days of the date of acquisition.	1,543,404	1,468,740
	3,232,734	2,411,997
Treasury Bonds – Held to maturity		
Maturing within one year	70,251	-
Maturing after one year	367,235	-
	437,486	-
Treasury Bonds – Fair value through profit or loss		
Maturing after one year	304,698	-

(c) The weighted average effective interest rate for government securities was:

	GROUP AND BANK	
	2008	2007
	%	%
Treasury Bills – Held to maturity	8.53	7.20
Treasury Bonds – Held to maturity	9.60	9.50
Treasury Bonds – Fair value through profit or loss	10.92	-

Securities held to maturity are stated at amortised cost while those classified as "Fair value through profit or loss" are stated at fair value.

23) Derivatives assets / liabilities held for risk management

The amount represents the fair value of forward foreign exchange contracts. These derivative assets and liabilities are measured at fair value through profit or loss.

24) Loans and advances to customers

GROUP AND BANK

	2008 Shs'000	2007 Shs'000
Finance lease receivables	9,500,455	7,873,379
Personal loans	4,121,505	2,307,233
Commercial loans	16,611,446	12,536,487
Bills discounted	428,921	27,833
Gross loans and advances	**30,662,327**	**22,744,932**
Provisions for impairment of loans and advances		
Specific allowance	621,360	479,883
Collective allowance	86,019	55,863
	707,379	**535,746**
	29,954,948	**22,209,186**

Included in net advances of Shs 29,954,948,000 (2007 - Shs 22,209,186,000) are loans and advances amounting to Shs 410,628,000 (2007 – Shs 487,840,000) net of specific provisions, which have been classified as non-performing.

Finance lease receivables, may be analysed as follows:

Gross investment in finance leases

	2008 Shs'000	2007 Shs'000
Not later than 1 year	957,696	916,628
Later than 1 year and not later than 5 years	8,576,888	7,067,332
Over 5 years	1,747	8,675
	9,536,331	7,992,635
Unearned future finance income on finance leases	(35,876)	(119,256)
Present value of minimum lease payments receivable	**9,500,455**	**7,873,379**

The bank enters into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2007: nil).

The weighted average effective interest rates on advances to customers at year end were as follows:

	2008 %	2007 %
Finance lease receivables	15.21	14.14
Personal loans	14.63	14.18
Commercial loans	13.41	13.68
Bills discounted	10.67	7.05

25) Other assets

	GROUP		BANK	
	2008	2007	2008	2007
	Shs'000	Shs'000	Shs'000	Shs'000
Prepayments	90,088	40,708	89,593	40,708
Other receivables	81,234	158,685	77,549	153,418
Trade receivables	32,928	-	-	-
	204,250	199,393	167,142	194,126

26) Amounts due from group companies

BANK

	2008	2007
	Shs'000	Shs'000
Due from NIC Capital Limited	262,598	63

27) Investments

a. Other investments

	2008	2007
NIC Capital Securities Limited	-	157,138
Investment in quoted shares at fair value	33,229	-
Investment in an unquoted equity security	1,000	-
	34,229	157,138

The movement in investments is as follows:

	2008	2007
At start of year	157,138	-
Reclassification to subsidiary	(157,138)	-
Acquisition – unquoted security	1,000	157,138
Additions at cost - Investment in quoted shares	46,152	-
Changes in fair value - Investment in quoted shares (note 37 (b))	(12,923)	-
At end of year	34,229	157,138

In 2007, the bank, through its subsidiary, NIC Capital Limited acquired controlling interest in the former Solid Investment Securities Limited, now renamed NIC Capital Securities Limited (NICCS) with effective control being passed on 1 January 2008. The financial statements of NICCS were therefore consolidated effective 1 January 2008, together with other subsidiaries which are all domiciled and incorporated in Kenya.

All available-for-sale financial assets are denominated in Kenya Shillings. None of the financial assets are impaired.

27) Investments (continued)

b. Investment in subsidiary companies

BANK	Holding %	2008 Shs'000	2007 Shs'000
National Industrial Credit Trustees Limited	100	500	500
Mercantile Finance Company Limited	100	50,000	50,000
The African Mercantile Banking Company Limited	100	1	1
NIC Capital Limited	100	227,165	227,165
NIC Insurance Agents Limited	100	1,000	-
		278,666	277,666

All the subsidiary companies have financial years ending 31 December.

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2007 - Sh nil), and the revenue reserve balance was Shs nil (2007 - Shs nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2008. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2007 - Shs nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2008. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Shs nil (2007 - Shs nil).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2008 show that the company made a profit of Shs 2,168,000 (2007 – Shs 1,254,000).

NIC Capital Limited (NICCL) acquired 57.66% of NIC Capital Securities Limited (NICCSL) with effective control being passed on 1 January 2008. Subsequently, substantially through rights issues, the holding by NICCL in NICCSL has increased to 88.30%. NICCSL offers brokerage services and is a registered broker with the Nairobi Stock Exchange. The audited financial statements for the year ended 31 December 2008 show that the company made a profit of Shs 5,158,000.

NIC Insurance Agents Limited, formerly known as Finance Services (Insurance Agents) Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2008, NIC Bank Limited acquired the minority interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31 December 2008 show that the company made a profit of Shs 309,000.

28) Property and equipment

GROUP	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work In progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2007	315,665	508,638	36,395	-	860,698
Additions	-	25,728	1,767	83,366	110,861
Transfers	-	46,109	-	(46,109)	-
Disposals	-	(44,788)	(20,109)	-	(64,897)
At 31 December 2007	**315,665**	**535,687**	**18,053**	**37,257**	**906,662**
Comprising:					
Cost	16,057	535,687	18,053	37,257	607,054
Valuation – 2003	299,608	-	-	-	299,608
	315,665	**535,687**	**18,053**	**37,257**	**906,662**
At 1 January 2008	315,665	535,687	18,053	37,257	906,662
Additions	-	49,394	6,795	103,564	159,753
Transfers	-	108,266	-	(108,266)	-
Acquisition	-	2,918	-	-	2,918
Surplus on revaluation	54,335	-	-	-	54,335
Disposals	-	(7,797)	(9,985)	-	(17,782)
At 31 December 2008	**370,000**	**688,468**	**14,863**	**32,555**	**1,105,886**
Comprising:					
Cost	-	688,468	14,863	32,555	735,886
Valuation – 2008	370,000	-	-	-	370,000
	370,000	**688,468**	**14,863**	**32,555**	**1,105,886**
DEPRECIATION					
At 1 January 2007	37,632	301,586	18,307	-	357,525
Charge for the year	7,892	83,210	11,181	-	102,283
Eliminated on disposals	-	(44,733)	(15,226	-	(59,959)
At 31 December 2007	**45,524**	**340,063**	**14,262**	**-**	**399,849**
At 1 January 2008	45,524	340,063	14,262	-	399,849
Acquisition	-	-	688	-	688
Charge for the year	7,892	92,635	1,708	-	102,235
Write back on revaluation	(53,416)	-	-	-	(53,416)
Eliminated on disposals	-	(7,590)	(9,877)	-	(17,467)
At 31 December 2008	**-**	**425,108**	**6,781**	**-**	**431,889**
NET BOOK VALUE					
At 31 December 2008	**370,000**	**263,360**	**8,082**	**32,555**	**673,997**
At 31 December 2007	**270,141**	**195,624**	**3,791**	**37,257**	**506,813**

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 295,312,706 (2007 - Shs 177,392,805) which were fully depreciated. The normal depreciation charge on these assets would have been Shs 64,766,851 (2007 – Shs 42,280,973). Computers are included under furniture, fittings and equipment. Work in progress relates to the ongoing branch expansion program into Kisumu City and Thika Municipality.

28) Property and equipment (continued)

BANK	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work In progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2007	315,665	508,638	36,395	-	860,698
Additions	-	25,728	1,767	83,366	110,861
Transfers	-	46,109	-	(46,109)	-
Disposals	-	(44,788)	(20,109)	-	(64,897)
At 31 December 2007	**315,665**	**535,687**	**18,053**	**37,257**	**906,662**
Comprising:					
Cost	16,057	535,687	18,053	37,257	607,054
Valuation – 2003	299,608	-	-	-	299,608
	315,665	**535,687**	**18,053**	**37,257**	**906,662**
At 1 January 2008	315,665	535,687	18,053	37,257	906,662
Additions	-	49,394	6,795	103,564	159,753
Transfers	-	108,266	-	(108,266)	-
Surplus on revaluation	54,335	-	-	-	54,335
Disposals	-	(7,797)	(9,985)	-	(17,782)
At 31 December 2008	**370,000**	**685,550**	**14,863**	**32,555**	**1,102,968**
Comprising:					
Cost	-	685,550	14,863	32,555	732,968
Valuation – 2008	370,000	-	-	-	370,000
	370,000	**685,550**	**14,863**	**32,555**	**1,102,968**
DEPRECIATION					
At 1 January 2007	37,632	301,586	18,307	-	357,525
Charge for the year	7,892	83,210	11,181	-	102,283
Eliminated on disposals	-	(44,733)	(15,226)	-	(59,959)
At 31 December 2007	**45,524**	**340,063**	**14,262**	**-**	**399,849**
At 1 January 2008	45,524	340,063	14,262	-	399,849
Charge for the year	7,892	91,924	1,662	-	101,478
Write back on revaluation	(53,416)	-	-	-	(53,416)
Eliminated on disposals	-	(7,590)	(9,143)	-	(16,733)
At 31 December 2008	**-**	**424,397**	**6,781**	**-**	**431,178**
NET BOOK VALUE					
At 31 December 2008	**370,000**	**261,153**	**8,082**	**32,555**	**671,790**
At 31 December 2007	**270,141**	**195,624**	**3,791**	**37,257**	**506,813**

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 295,312,706 (2007 – Shs 177,392,805) which were fully depreciated. The normal depreciation charge on these assets would have been Shs 64,766,851 (2007 – Shs 42,280,973). Computers are included under furniture, fittings and equipment. Work in progress relates to the ongoing branch expansion program into Kisumu City and Thika Municipality.

Buildings were revalued at Shs 370 million as at 31 December 2008 by registered, independent valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2008, the net book value of buildings based on original cost was Shs 121,135,000 (2007 – Shs 124,532,000).

29) Intangible assets

	2008 Shs'000	2007 Shs'000
GROUP		
Computer software (note 29(a))	53,910	45,203
Goodwill (note 29(b))	119,371	-
NSE Licence (note 29(c))	251,000	-
	424,281	**45,203**
BANK		
Computer software	**53,910**	**45,203**

Details of the intangible assets are as follows:

a) Computer software

	2008 Shs'000	2007 Shs'000
COST		
At 1 January	159,858	148,093
Additions	29,104	11,765
At 31 December	**188,962**	**159,858**
AMORTISATION		
At 1 January	114,655	88,571
Change for the year	20,397	26,084
At 31 December	**135,052**	**114,655**
NET BOOK VALUE		
At 31 December	**53,910**	**45,203**

b) Goodwill

	2008 Shs'000	2007 Shs'000
Acquisition of subsidiary (note 40 (a))	**119,371**	-

c) NSE Licence

	2008 Shs'000	2007 Shs'000
NSE Licence	**251,000**	-

The above licence refers to the seat at the Nairobi Stock Exchange held by the group through NIC Capital Securities Limited.

30) Operating lease prepayments

	2008 Shs'000	2007 Shs'000
Leasehold land		
GROUP AND BANK		
COST		
At 31 December	10,000	10,000
AMORTISATION		
At 1 January	2,000	1,875
Charge for the year	125	125
At 31 December	2,125	2,000
NET BOOK VALUE	7,875	8,000

31) Customer deposits

GROUP AND BANK

	2008	2007
Current accounts	8,577,185	6,930,110
Savings accounts	2,806,009	2,594,354
Call deposits	4,255,052	2,151,271
Fixed deposits	19,503,419	13,129,860
Other	96,716	-
	35,238,381	24,805,595

32) Deposits and balances due to banking institutions

GROUP AND BANK

Maturing within 90 days:

	2008	2007
Deposits due to banking institutions	4,843	-

The weighted average effective interest rate for deposits due to banking institutions at 31 December 2008 was 5.26%.

33) Line of credit

GROUP AND BANK

The bank has an unsecured revolving medium term line of credit with Agence Francaise De Development (PROPARCO) for on-lending to customers with varying maturities as shown below. As at 31 December 2008, the amount outstanding was US $ 8,503,525 (2007 – US $ 10,310,864).

	2008 Shs'000	2007 Shs'000
Maturity		
Payable within one year	219,383	115,788
Payable after one year and within three years	342,900	271,264
Payable after three years	100,992	263,048
	663,275	**650,100**

The weighted average effective interest rate on the line of credit at 31 December 2008 was 5.22% (2007 – 7.57%).

34) Amounts due to group companies

BANK

		2008 Shs'000	2007 Shs'000
Deposits held	NIC Capital Limited	38,401	88,326
	- Mercantile Finance Company Limited	5,210	4,526
	- NIC Capital Securities Limited	204,197	-
	- NIC Insurance Agents Limited	585	-
Other payables	- Mercantile Finance Company Limited	42,020	42,020
		290,413	**134,872**

35) Other liabilities

	GROUP		BANK	
	2008 Shs'000	2007 Shs'000	2008 Shs'000	2007 Shs'000
Bills payable	343,783	547,200	343,783	547,200
Other payables and accruals	393,586	397,266	365,311	380,199
Legal and other claims	83,788	-	20,000	-
Trade payables	76,402	-	-	-
Leave pay provision	14,293	15,241	13,881	14,916
	911,852	**959,707**	**742,975**	**942,315**

Legal and other claims relate substantially to a provision for charges brought against the group by customers of the brokerage subsidiary, NIC Capital Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided at 31 December 2008.

36) Deferred tax liability

The net deferred tax liability, computed at the enacted rate of 30%, is attributable to the following items:

	GROUP		BANK	
	2008	2007	2008	2007
	Shs'000	Shs'000	Shs'000	Shs'000
Assets:				
Leave pay provision	(4,288)	(4,572)	(4,164)	(4,475)
Accelerated capital allowances	(22,428)	(15,064)	(22,386)	(15,064)
Collective allowance for impairment	(25,806)	(16,759)	(25,806)	(16,759)
	(52,522)	**(36,395)**	**(52,356)**	**(36,298)**
Liabilities:				
Revaluation surplus	74,659	43,617	74,659	43,617
	22,137	**7,222**	**22,303**	**7,319**
Movement in net deferred tax liability is as follows:				
As at 1 January	7,222	32,958	7,319	32,958
Credited directly to revaluation surplus (note 37(b))	32,325	-	32,325	-
Income statement credit (note 15 (a))	(17,410)	(25,736)	(17,341)	(25,639)
At 31 December	22,137	7,222	22,303	7,319

37) Share Capital and Share Premium

(a) Share Capital and Share Premium

GROUP AND BANK

	Number of shares	Share capital Shs'000	Share premium Shs'000
Balance at 1 January 2007	82,414,551	412,073	299,943
Rights issue	16,482,910	82,414	1,071,389
Rights issue expenses	-	-	(41,411)
Bonus issue	197,794,923	988,975	(988,975)
Balance at 31 December 2007	296,692,384	1,483,462	340,946
Balance at 31 December 2008	296,692,384	1,483,462	340,946

As at 31 December 2008 the authorised share capital of the company comprised of 400,000,000 ordinary shares (2007: 400,000,000) with a par value of Shs 5. The issued shares as at 31 December 2008 are 296,692,384 (2007: 296,692,384) and are fully paid.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the bank.

NOTES TO THE FINANCIAL STATEMENTS

37) Share Capital and Share Premium (continued)

(b) Revaluation surplus

	GROUP Building Revaluation Shs `000	GROUP Available for-sale investments Shs `000	GROUP Total Shs `000	BANK Building Revaluation Shs `000
As at I January 2007	**104,768**	**-**	**104,768**	**104,768**
Transfer of excess depreciation	(4,276)	-	(4,276)	(4,276)
Deferred tax on excess depreciation	1,283	-	1,283	1,283
As at 31 December 2007	**101,775**	**-**	**101,775**	**101,775**
As at I January 2008	101,775	-	101,775	101,775
Transfer of excess depreciation	(4,276)	-	(4,276)	(4,276)
Deferred tax on excess depreciation	1,283	-	1,283	1,283
Changes in fair value on available for sale- financial-assets	-	(12,923)	(12,923)	-
Surplus on revaluation	107,750	-	107,750	107,750
Deferred tax on revaluation surplus (note 36)	(32,325)	-	(32,325)	(32,325)
As at 31 December 2008	**174,207**	**(12,923)**	**161,284**	**174,207**

38) Off balance sheet financial instruments, contingent liabilities and commitments

a) Contigent liabilities

GROUP AND BANK

	2008 Shs'000	2007 Shs'000
Letters of credit	1,303,084	2,097,602
Letters of guarantee and performance bonds	4,391,968	2,452,562
	5,695,052	**4,550,164**

In the ordinary course of business, the bank conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the balance sheet.

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The bank will only be required to meet these obligations in the event of default by the customers.

38) Off balance sheet financial instruments, contingent liabilities and commitments (continued)

b) Operating lease arrangements

i) The group as a lessor

At the balance sheet date, the group had contracted with tenants for the following future lease receivables:

	2008 Shs'000	2007 Shs'000
Within one year	1,801	14,543
In the second to fifth year inclusive	199	1,964
	2,000	**16,507**

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years.The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

ii) The group as a lessee

At the balance sheet date, the group had outstanding commitments under operating leases which fall due as follows:

	2008 Shs'000	2007 Shs'000
Within one year	50,483	36,241
In the second to fifth year inclusive	115,837	104,444
	166,320	**140,685**

Operating lease payments represent rentals payable by the group for its office premises. Leases are negotiated for an average term of 6 years.

c) Capital commitments

	2008 Shs'000	2007 Shs'000
Authorised and contracted for	103,752	73,038
Authorised but not contracted for	268,232	329,240
	371,984	**402,278**

NOTES TO THE FINANCIAL STATEMENTS

38) Off balance sheet financial instruments, contingent liabilities and commitments (continued)

d) Other capital commitments

Acquisition of Savings & Finance Commercial Bank Limited

Subject to regulatory approval from the Minister of Finance of Kenya (acting through the Central Bank of Kenya, obtaining approvals from the Bank of Tanzania and the Fair Competition Commission of Tanzania, and the approval of NIC Bank's shareholders, the group intends to acquire a 51% stake in one of Tanzania's mid-sized commercial bank, Savings & Finance Commercial Bank Limited (S&F). S&F was founded as a non-bank financial institution in 1994, converted to a fully fledged Commercial Bank in 2005 and has branches in Dar es Salaam, Mwanza and Arusha. As at 31 December 2007, S&F had total assets of TZS 42.6 billion and shareholders' funds of TZS 5.9 billion. For the year ended December 31 2007, S&F generated profit before tax of TZS 1.4 billion on an operating income base of TZS 3.7 billion. The Directors are confident that the regulatory authorities involved and the shareholders will expeditiously grant the requisite approvals and thus facilitate completion of the transaction by 30th April 2009.

e) Other credit commitments

Credit commitments are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The bank may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.

39) Notes to the consolidated cash flow statement

a) Cash generated from operations

	2008 Shs'000	2007 Shs'000
Reconciliation of profit before taxation to cash generated from / (used in) operations		
Profit before taxation	1,484,175	1,049,907
Adjustments for:		
Depreciation	102,235	102,283
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	20,397	26,084
Profit on sale of equipment	(4,948)	(3,217)
Profit before working capital changes	1,601,984	1,175,182
Increase in balances with Central Bank of Kenya (cash ratio requirement)	(255,892)	(130,552)
Increase in balances with Central Bank of Kenya (Domestic Foreign currency clearing deposit)	(49,955)	(27,737)
Increase in advances to customers	(7,745,762)	(5,639,070)
(Increase) / decrease in Treasury bonds – Held to maturity	(437,486)	50,556
Increase in Treasury bonds – Held for trading	(304,698)	-
Increase in Treasury bills maturing after 90 days	(74,664)	(435,182)
Decrease / (increase) in derivatives held for risk management	168,746	(87,183)
Decrease / (increase) in other assets	22,063	(53,289)
Increase in customer deposits	10,432,786	2,827,517
(Decrease) / increase in other liabilities	(192,217)	490,478
Increase in line of credit	13,175	371,905
Cash generated from / (used in) operations	**3,178,080**	**(1,457,375)**

39) Notes to the consolidated cash flow statement (continued)

b) Cash and cash equivalents

	2008 Shs'000	2007 Shs'000
Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes		
Cash on hand	492,080	502,813
Balance with Central Bank of Kenya under repurchase agreement	199,864	144,384
Balance with Central Bank of Kenya – other	211,360	310,300
Treasury bills (maturing within 90 days)	1,689,330	943,257
Deposits and balances due from banking institutions	4,095,851	2,682,391
Items in course of collection	575,644	554,506
Deposits and balances due to banking institutions	(4,843)	-
	7,259,286	**5,137,651**

c) Proceeds from sale of equipment

	2008 Shs'000	2007 Shs'000
Disposal at cost (note 28)	17,782	64,897
Depreciation eliminated on disposal (note 28)	(16,733)	(59,959)
Profit on disposal (note 11)	4,948	3,215
Proceeds on sale of equipment	**5,997**	**8,153**

40) Business combination

On 31 December 2007, the bank acquired 57.66% of NIC Capital Securities Limited (formerly Solid Investment Securities Limited) through it's subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the group has increased it share of the subsidiary to 88.30%.

a. Purchase consideration

	Shs'000
Purchase consideration	406,779
Direct costs relating to the acquisition	16,642
Total purchase consideration	423,421
Fair value of net assets acquired	304,050
Goodwill	119,371

Goodwill is attributable to the acquisition of NIC Capital Securities Limited, one of the brokerage companies in the country .The brokerage company has a seat in the Nairobi Stock Exchange which gives the group the right to directly deal and trade on the bourse. The directors expect to reap benefits through synergies and economies of scale through this acquisition.

40) Business combination (continued)

b. Acquisition of subsidiary, net of cash used

	Shs'000
Fair value of net assets	345,329
Minority interest	(41,279)
Goodwill	119,371
Total purchase consideration	**423,421**
Purchase consideration settled in cash	423,421
Less amounts paid out in 2007	(157,138)
Cash and cash equivalents in subsidiary	(204,160)
Cash outflow on acquisition	**62,123**

c. Pro-forma statement in accordance with IFRS 3

As a result of group acquisition of NIC Capital Securities Limited, the prior year's figures, with the exception of intangible assets highlighted in note 29, the financial statements are not materially different from those as at 31 December 2008.

d. Minority interest

	Shs'000
On acquisition of subsidiary	39,361
Share of profit	1,918
At 31 December	**41,279**

41) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placements are made in the bank by staff, directors, their associates and companies associated with directors. Advances to customers at 31 December 2008 include advances and loans to staff and to companies associated with directors. Contingent liabilities at 31 December 2008 include guarantees and letters of credit for companies associated with directors.

	Companies associated to directors		Employees / Staff	
	2008	2007	2008	2007
	Shs'000	Shs'000	Shs'000	Shs'000
Loans and advances to customers:				
At 1 January	326,860	328,738	315,361	233,913
Net movement during the year	117,548	(1,878)	(15,347)	81,448
At 31 December	**444,408**	**326,860**	**300,014**	**315,361**
Interest earned	**56,795**	**48,824**	**25,483**	**17,400**

These loans and advances are performing and are adequately secured.

41) Related party transactions (continued)

	Companies associated to directors 2008 Shs'000	Companies associated to directors 2007 Shs'000	Employees / Staff 2008 Shs'000	Employees / Staff 2007 Shs'000
Customer deposits:				
At 1 January	3,534,295	3,537,368	29,307	48,507
Net movement during the year	967,681	(3,073)	21,180	(19,200)
At 31 December	4,501,976	3,534,295	50,487	29,307
Interest paid	209,246	135,596	1,932	298
Guarantees and letters of credit to companies associated with directors	302,205	144,479	-	-

Other amounts outstanding at balance sheet date are disclosed in notes 26 and 34.

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2008 Shs'000	2007 Shs'000
Salaries and other benefits	239,097	202,834
Directors' remuneration		
Fees for services as directors	5,200	5,360
Other emoluments (included in key management compensation above)	66,025	46,682
	71,225	52,042

42) Assets pledged as security

As at 31 December 2008, there were no assets pledged by the group to secure liabilities and there were no secured group liabilities.

43) Fair value

The directors consider that there is no material difference between the fair value and carrying value of the group's financial assets and liabilities where fair value details have not been presented.

44) Fiduciary activities

The bank holds asset security documents on behalf of customers with a value of Shs 19,505,377,920. (2007 – Shs 16,908,516,903). These securities are held by the Custody Services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.

NOTES TO THE FINANCIAL STATEMENTS

45) (a) Liquidity Risk

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	4 to 5 Years Shs'000	Over 5 Years Shs'000	Total Shs'000
2008							
ASSETS							
Cash and balances with Central Bank of Kenya	1,657,878	790,085	143,333	1,874	-	77,692	2,670,862
Items in the course of collection	575,644	-	-	-	-	-	575,644
Deposits and balances due from banking institutions	4,095,851	-	-	-	-	-	4,095,851
Government securities	1,192,455	496,875	1,543,404	430,925	258,681	52,578	3,974,918
Loans and advances to customers	3,396,318	3,508,639	8,472,205	8,625,797	4,753,661	1,198,328	29,954,948
Other assets	204,250	-	-	-	-	-	204,250
Current income tax recoverable	-	-	2,264	-	-	-	2,264
Total assets	**11,122,396**	**4,795,599**	**10,161,206**	**9,058,596**	**5,012,342**	**1,328,598**	**41,478,737**
LIABILITES							
Customer deposits	15,734,962	16,475,458	2,988,891	39,070	-	-	35,238,381
Deposits and balances due to banking institutions	4,843	-	-	-	-	-	4,843
Derivative liabilities held for risk management	81,563	-	-	-	-	-	81,563
Line of credit	32,715	-	186,668	342,900	100,992	-	663,275
Current income tax payable	-	-	94,766	-	-	-	94,766
Other liabilities	911,852	-	-	-	-	-	911,852
Unclaimed dividends	36,552	-	-	-	-	-	36,552
Total liabilities	**16,802,487**	**16,475,458**	**3,270,325**	**381,970**	**100,992**	**-**	**37,031,232**
Net liquidity gap	**(5,680,091)**	**(11,679,859)**	**6,890,881**	**8,676,626**	**4,911,350**	**1,328,598**	**4,447,505**
2007							
Total assets	6,372,702	3,765,632	7,591,812	6,619,339	4,938,296	1,276,083	30,563,864
Total liabilities	12,725,766	10,887,980	2,361,002	298,267	156,231	106,817	26,536,063
Net liquidity gap	**(6,353,064)**	**(7,122,348)**	**5,230,810**	**6,321,072**	**4,782,065**	**1,169,266**	**4,027,801**

NOTES TO THE FINANCIAL STATEMENTS

45) (b) Liquidity Risk

(UNDISCOUNTED CASH FLOWS)

	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
2008						
FINANCIAL LIABILITIES						
Customer deposits	15,800,599	17,801,473	3,229,090	42,042	-	36,873,204
Line of credit	32,920	-	196,412	396,598	116,807	742,737
Derivative assets held for risk management	81,563	-	-	-	-	81,563
Total financial liabilities	**15,915,082**	**17,801,473**	**3,425,502**	**438,640**	**116,807**	**37,697,504**
FINANCIAL ASSETS						
Cash and balances with Central Bank of Kenya	200,000	-	-	-	-	200,000
Items in the course of collection	575,644	-	-	-	-	575,644
Deposits and balances due from banking institutions	4,104,186	-	-	-	-	4,104,186
Government securities	1,208,081	514,961	1,711,944	572,096	481,206	4,488,288
Loans and advances to customers	3,450,931	3,623,605	9,135,579	11,793,190	8,535,747	36,539,052
Total financial assets	**9,538,842**	**4,138,566**	**10,847,523**	**12,365,286**	**9,016,953**	**45,907,170**
Net liquidity gap	**6,376,240**	**13,662,907**	**(7,422,021)**	**(11,926,646)**	**(8,900,146)**	**(8,209,666)**
2007						
Total financial liabilities	11,786,415	11,626,834	2,434,329	365,396	322,786	26,535,760
Total financial assets	6,995,329	3,228,576	8,038,061	8,047,218	7,520,813	33,829,997
Net liquidity gap	**4,791,086**	**8,398,258**	**(5,603,732)**	**(7,681,822)**	**(7,198,027)**	**(7,294,237)**

46) Interest Rate Risk

	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non – interest bearing Shs'000	Total Shs'000
2008							
FINANCIAL ASSETS							
Cash and balances with Central Bank of Kenya	199,864	-	-	-	-	2,470,998	2,670,862
Items in the course of collection	-	-	-	-	-	575,644	575,644
Deposits and balances due from banking institutions	4,095,851	-	-	-	-	-	4,095,851
Government securities	1,192,455	496,875	1,543,404	430,925	258,681	52,578	3,974,918
Loans and advances to customers	29,368,901	164,749	421,298	-	-	-	29,954,948
Total financial assets	**34,857,071**	**661,624**	**1,964,702**	**430,925**	**258,681**	**3,099,220**	**41,272,223**
FINANCIAL LIABILITES							
Customer deposits	9,505,302	16,475,458	2,988,891	39,070	-	6,229,660	35,238,381
Deposits and balances due to banking institutions	-	4,843	-	-	-	-	4,843
Derivative liabilities held for risk management	-	-	-	-	-	81,563	81,563
Line of credit	493,577	-	169,698	-	-	-	663,275
Total financial liabilities	**9,998,879**	**16,480,301**	**3,158,589**	**39,070**	**-**	**6,311,223**	**35,988,062**
Interest rate sensitivity gap	**24,858,192**	**(15,818,677)**	**(1,193,887)**	**391,855**	**258,681**	**(3,212,003)**	**5,284,161**
2007							
Total financial assets	25,423,888	555,330	1,468,740	-	-	2,916,513	30,364,471
Total financial liabilities	5,506,263	10,887,980	2,270,477	298,267	263,048	6,229,660	25,455,695
Interest rate sensitivity gap	**19,917,625**	**(10,332,650)**	**(801,737)**	**(298,267)**	**(263,048)**	**(3,313,147)**	**4,908,776**

NOTES TO THE FINANCIAL STATEMENTS

47) Foreign Exchange (Currency) Risk

	GBP Shs'000	USD Shs'000	EURO Shs'000	OTHERS Shs'000	TOTAL Shs'000
2008					
FINANCIAL ASSETS					
Cash and balances with Central Bank of Kenya	446,403	530,533	264,009	4,319	1,245,264
Deposits and balances due from banking institutions	43,537	576,724	251,500	763,174	1,634,935
Loans and advances to customers	243,243	7,593,564	230,678	-	8,067,485
Total financial assets	**733,183**	**8,700,821**	**746,187**	**767,493**	**10,947,684**
FINANCIAL LIABILITES					
Customer deposits	748,366	5,182,969	655,258	19,828	6,606,421
Deposits due to banking institutions	-	-	-	4,843	4,843
Line of credit	-	552,966	110,309	-	663,275
Total financial liabilities	**748,366**	**5,735,935**	**765,567**	**24,671**	**7,274,539**
Net balance sheet position	**(15,183)**	**2,964,886**	**(19,380)**	**742,822**	**3,673,145**
OFF BALANCE SHEET POSITION	**-**	**(2,924,897)**	**-**	**(709,967**	**(3,634,864)**
2007					
Total financial assets	273,085	5,806,481	620,900	899,344	7,599,810
Total financial liabilities	265,975	3,912,592	612,736	1,451	4,792,754
Net balance sheet position	**7,110**	**1,893,889**	**8,164**	**897,893**	**2,807,056**
OFF BALANCE SHEET POSITION	**(1,513)**	**(1,908,986)**	**(14,037)**	**(891,239)**	**(2,815,775)**

NOTES

PROXY FORM

The Company Secretary,
NIC Bank Limited,
NIC House
Masaba Road
P.O. Box 44599
Nairobi GPO, 00100

I / We ....

of ....

being a member / members of NIC Bank Limited and entitled to ....

votes hereby appoint ....

of ....

or failing him ....

of ....

as my / our Proxy to vote for me / us on my / our behalf at the Annual General meeting of the company to be held on Wednesday, 29 April 2009 and at any adjournment thereof.

As witness my / our hand this .... day of 2009

Signature(s) of

....

Note: In case of a Corporation, the Proxy must be made under its Common Seal.

FOMU YA UWAKILISHI

Katibu wa kampuni,
NIC Bank Limited,
NIC House
Masaba Road
P.O. Box 44599
Nairobi GPO, 00100

Mimi / Sisi ....

wa anuani hii ....

nikiwa mwanachama / tukiwa wanachama wa NIC Bank Limited na nikiwa /tukiwa na haki ya kura

....

namchagua / tunamchagua ....

wa sanduku la posta ....

na akiwa hatapata nafasi nimechagua / tumechagua ....

wa sanduku la posta ....

akiwa mwakilishi wangu / wetu kunipigia / kutupigia kura kwa niaba yangu / yetu katika Mkutano wa Mwaka wa Kampuni utakaofanyika Jumatano 29 Aprili 2009 au tarehe yoyote iwapo mkutano utahairishwa.

Nashuhudia kwa mkono / mikono yangu / yetu siku hii ya

tarehe .... mwezi wa 2009

Sahihi

....

Elewa : Mwakala akiwa anawakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kampuni hiyo (common seal)